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The European Bathroom & Kitchen Product Markets

- 2020 Edition -



Romania

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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ROMANIA

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Romania is an independent and sovereign state located in Southeastern Europe. It shares land borders with five countries: Ukraine in the north, the Republic of Moldova in the east, Hungary and Serbia in the west, and Bulgaria in the south – and additionally borders the Black Sea. The total land area of Romania is 238,391 km². The country is divided into 41 counties (*Judee* in Romanian), with the capital, Bucharest, holding special administrative status. The Romanian topography is varied, almost evenly divided among mountains, hills, and plains, with the Carpathian Mountains and the Danube Delta that greatly affect the overall regional landscape. The most important river of Romania is the Danube, which demarcates the eastern part of the border with Serbia and the large part of the border with Bulgaria. The Transylvanian Plateau, which occupies central Romania, is made up of numerous valleys and extensive arable slopes. The remaining areas of Romania are predominantly lowlands.

Romanians make up most of the population, followed by Hungarians and the Roma. Other minorities include Ukrainians, Turks, Germans, Serbs, Aromanians, Lipovans and Tartars. According to the 2011 Census (latest official data), the population of Romania was nearly 20.3 million inhabitants in 2010. Current estimates indicate there are approximately 19.4 million inhabitants in the country. Recent dramatic declines in the total population have been mainly driven by emigration to Western European countries such as the UK and Germany, particularly following Romanian accession into the European Union (EU) in 2007. In addition, a concurrent process relates to the growing number of Romanians who have been moving from urban centres to rural areas in recent years, further accentuating a de-urbanisation trend that, despite a deceleration in 2017, contrasts sharply with much of the rest of Europe. Several explanations have been offered for this process, such as lower living costs in rural areas, better lifestyles, and more working opportunities than in cities.

Macroeconomic Overview

In 2019, the Romanian economy remained positive but slightly less than what was experienced in the previous year. The key contributing factors to the performance come down to cautious private consumption, despite the attempt by the Government to ease the fiscal policy in the form of tax cuts; increases in minimum and public sector wages; and pension reform. According to the European Commission, the real GDP underwent a strong growth in 2019 and the Romanian economy (along with Poland) has one of the fastest-growing economies in the EU.

The main propellant of such positive performance may be identified in the private consumption, which has been sustained by fiscal policy measures and a drop in unemployment to below 4% in 2019. Furthermore, double-digit wage growth in real terms for the year further confirms the tight labour market conditions and the continuity of the positive evolution of public wages. External demand continues to

represent a strong driver in the increased industrial output of Romania, despite the fluctuations in industrial capacity utilisation. After Romania joined the European Union on 1 January 2007, numerous enterprises moved their global offices to the country due to the low labour costs, loose fiscal policy, and availability of a highly skilled workforce.

In a bid from the government to improve private consumption, Romania saw a decrease in inflation. The Central Bank continued maintaining their key monetary policy rate at 2.5% due to potential negative impacts of rising inflation on budgetary deficit targets, private investment, and exports. However, amidst the COVID-19 pandemic outbreak in March 2020, the rate was cut to 2.0% to help the economy face this crisis.

The fact that growth has been driven by government handouts has further raised concerns from the European Commission and foreign investors about its sustainability on public finances. Consumer-induced growth would require support from macroeconomic stability, which had been further hindered in 2019 by political volatility, an unstable fiscal environment, and the outbreak of the COVID-19 pandemic. The overall Romanian conjuncture seems characterised by potential negatives as well as reasons for optimism. The local workforce remains highly attractive at the current cost level in a regional context, though some signs of increased skills mismatch have become more apparent in the past few years. Moreover, the economy continues to greatly benefit from private consumption, sustained by the stark increases of the average wage, with a positive impact on real earnings.

On the other hand, the insurgence of a few risk factors has been linked to recent tax changes in the banking sector, which are deemed potentially damaging by EU observers, with direct effects on accessibility to loans at the cost level and lending standards. Both the services and manufacturing sectors are extensively dependent on external demand; the slowing down of the German and Italian economies, which absorb over a third of the Romanian exports, showed signs of losing steam in 2019.

More generally, the economy is expected to see a drop in 2020 given the negative impact COVID-19 has had across the globe. Consumer spending has been the main driver of growth in recent years amid rapid wage increases and low unemployment. Consequently, the country-wide lockdown has naturally hindered spending and raised unemployment, with the IMF expecting the economy to contract strongly before returning to growth in 2021. This forecast could dampen the outlook for private investments, reduce exports, and hamper growth.

Residential Construction

Overview

Residential construction remained largely positive in 2019, building up from the growth achieved in 2018, as confirmed by the Romanian National Statistical Office

(INS). Demand for new residential dwellings in 2019 proved to be higher than that of the late 2000s when the peak of urbanisation had been reached. The latest revival of new housing demand may be ascribed to several concurrent factors that have further facilitated the access to housing. The first is mean equivalised net income seeing considerable improvement in 2019, giving households stronger purchasing power. Another factor concerns mortgage rates, which have fallen continuously from 2009 to a low of 2.5% in 2019. The increased accessibility to mortgages has led to a 101.2% surge of outstanding housing loans since 2008, also sustained by policy initiatives such as the First Home Programme.

According to the European Commission, major challenges face the overall housing sector in Romania. The quality of housing – mainly the existing stock but also new dwellings – remains a critical social issue. Access to sanitation amenities and sanitary hot water remains well below the EU average. The number of households is lower than the number of dwellings, which would suggest an oversupply of housing and ample provision of adequate accommodation for the population. The average living area and number of rooms in a Romanian dwelling is also below the EU average. According to Eurostat, overcrowding and the lack of liveable dwelling space remains a major issue in the country. A further issue of concern is linked to the housing cost overburden rate, which in Romania is much higher when compared to the European average.

New Housing

The residential sector has remained the main driver of growth in the Romanian real estate market. An increase in both apartment and house completions was witnessed for the sixth consecutive year in 2019. Apart from Bucharest, the largest demand for new houses on the regional residential market is in Cluj-Napoca, Timisoara, Iasi, and Constanta. The surrounding towns have seen over 52,600 new homes delivered annually as part of residential projects, according to the National Institute of Statistics (NIS).

A further analysis of construction areas confirms a marked growth for dwellings completed in urban areas with an increase from 58% in 2018 to 60% in 2019, according to the NIS. A relatively high proportion of apartments are in mixed end-use buildings, typically shared with office space. Expansion of the new housing market has arguably been strongly supported by the public mortgage scheme First Home Programme, with a budget of almost RON 2 billion, which is slightly below the funding allocated during the 2017 fiscal year. The policy has positively affected the absorption ratio of new dwellings placed on the market by developers, achieving over 80% on average.

As for 2019, the funding cap allocated within the First Home Programme remained in line with the value of the previous year. This implies a gradual phasing out of the policy, hence constraining the capacity to meet market demand and expected to result in a diversification of such demand in favour of mortgage schemes with higher interest rates. The initial impact phasing out the incentive scheme in 2020 is expected to result in a wait-and-see pattern among consumers and a potential

transition period of price stagnation after years of continuous growth.

Housing RMI

According to the 2011 Census in Romania, most apartments are in buildings aged from 15 to 55 years, in line with the trend observable in other Eastern European countries. Given the poor energy efficiency of the existing residential building stock, the Government has established different policy frameworks in promoting and sustaining its renovation. Furthermore, despite some fluctuations, the expenditure for current and extraordinary repair of the existing residential park has been on the increase since 2008, peaking in 2015 when it reached 3.4 billion euros according to the European Commission. Given the rise in private consumption and an investment rebound, these factors resulted in the overall housing RMI being positive in 2019.

According to the latest Romanian National Energy Climate Plan 2021-2030, a central role in the modernisation of heating systems is given to the development of programmes for the improvement of the insulation capabilities that separate the interior heated spaces from the exterior, as well as to increase the efficiency of the indoor heating and hot water distribution. Among the first policy measures has been the adoption of the Law 372/2005 regarding the energy performance of existing buildings. It states all buildings must have an 'Energy Pass', which contains the energy characteristics of the respective building, in compliance with the EU Directive 2002/91/EC on the Energy Performance of Buildings.

The slow-paced nature of the implementation of the cost-optimal levels of minimum energy performance requirements. The slow-paced nature of implementing the optimal cost levels for meeting minimum energy performance requirements, in the context of the Energy Performance of Buildings Directive (Directive 2010/31/EU), is believed to have led to the opening of infringement proceedings by the European Commission in 2019. Current estimates confirm that around half of Romanian dwellings need to be refurbished to enhance their thermal insulation capabilities and, by the same token, comply with the 372/2005 Law. A large part of the domestic dwelling park still needs to be modernised and insulated, which in turn, is expected to positively impact the overall sales of heating appliances in the foreseeable future.

Non-Residential Construction

According to the estimates of the Buildings Performance Institute Europe, in 2015 the total floor area of the Romanian non-residential stock accounted for over 67 million m². Of this number, the highest share was buildings destined for wholesale and retail, followed by educational buildings and offices. With the pickup in retail infrastructure contributing to the positive attribution in 2019, offices and hotels also proved to be some of the most active segments in 2019, contributing to the overall growth. In particular, the latest data confirm the presence of a constant growth for the office sector, with the delivery of 385,000 m² in Bucharest alone in 2019, an increase of 7% compared to the previous year. Development of the hospitality

segment (with 1,500 hotels, it is an increasingly important sector for the overall national economy) showed that Romania has become an attractive emerging market for new players in the industry.

The degree of non-residential segment expansion is strongly connected to the stability and predictability of the Romanian business and fiscal environment. To such extent, the outlook for the office, hospitality, and retail markets remains quite optimistic for the foreseeable period. Demand will favour the development of regional hubs, cities like Cluj-Napoca and Timisoara, which will be the Cultural Capital of Europe in 2021.

II.2 Key Figures

RO - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

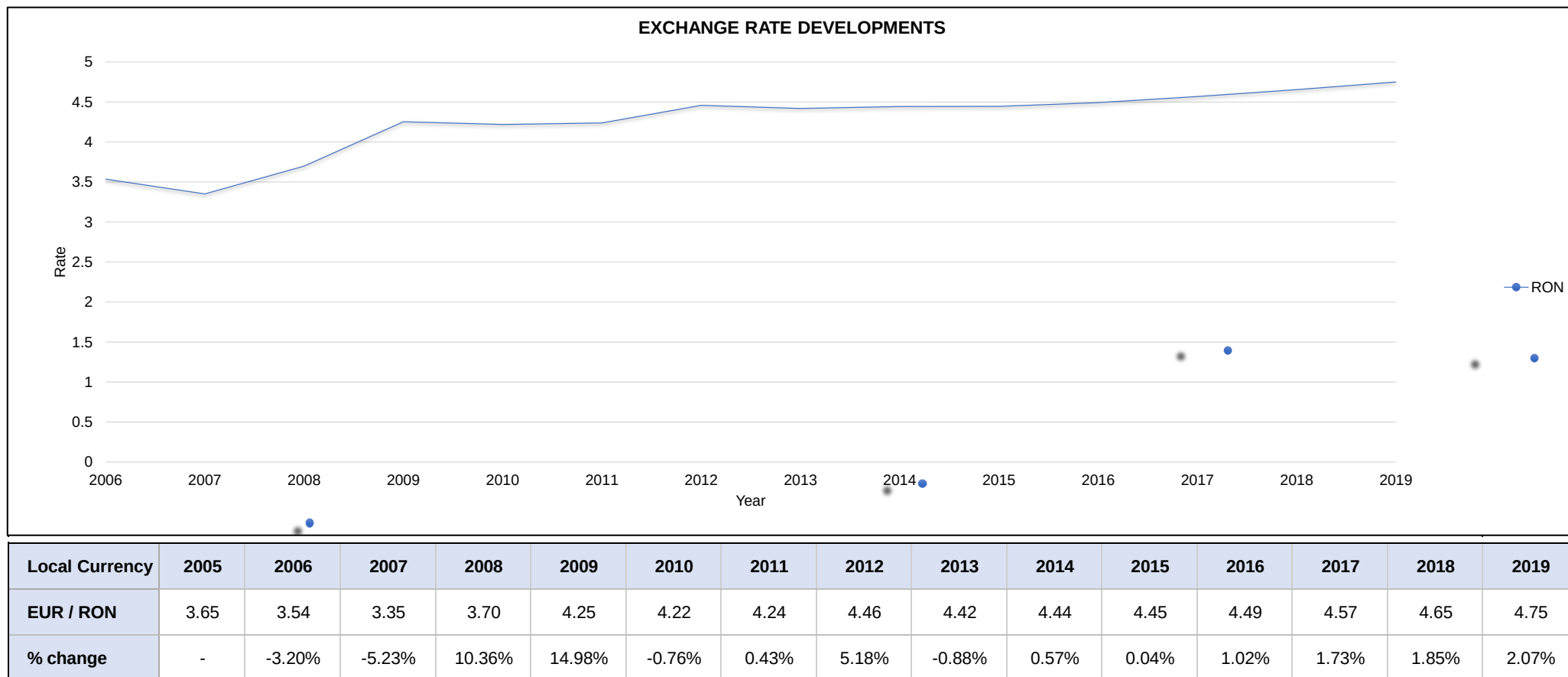
RO - KEY MACROECONOMIC INDICATORS

Value	Year																
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	9.00	6.59	4.83	7.85	5.58	6.11	5.80	3.34	4.00	1.08	- 0.60	- 1.56	1.34	4.63	3.83	2.25	1.46
GDP (% change)	4.67	8.03	7.23	9.31	- 5.52	- 3.90	2.01	2.08	3.52	3.41	3.87	4.80	7.11	4.44	4.08	- 5.00	3.90
Government Balance (% of GDP)	- 0.69	- 1.36	- 3.05	- 4.61	- 6.86	- 6.37	- 4.26	- 2.49	- 2.48	- 1.72	- 1.35	- 2.39	- 2.83	- 2.82	- 4.58	- 8.87	- 6.99
Private Consumption (% change)	1.98	1.98	1.98	1.98	1.98	1.98	1.98	1.98	0.15	4.71	3.87	4.80	7.11	4.44	4.08	- 6.47	4.72
Unemployment Rate (%)	7.15	7.14	6.31	5.54	6.28	6.97	7.15	6.79	7.10	6.80	6.81	5.90	4.93	4.19	3.91	10.10	6.00

Source : IMF

N.B. No data available beyond 2021 at the time of publication.

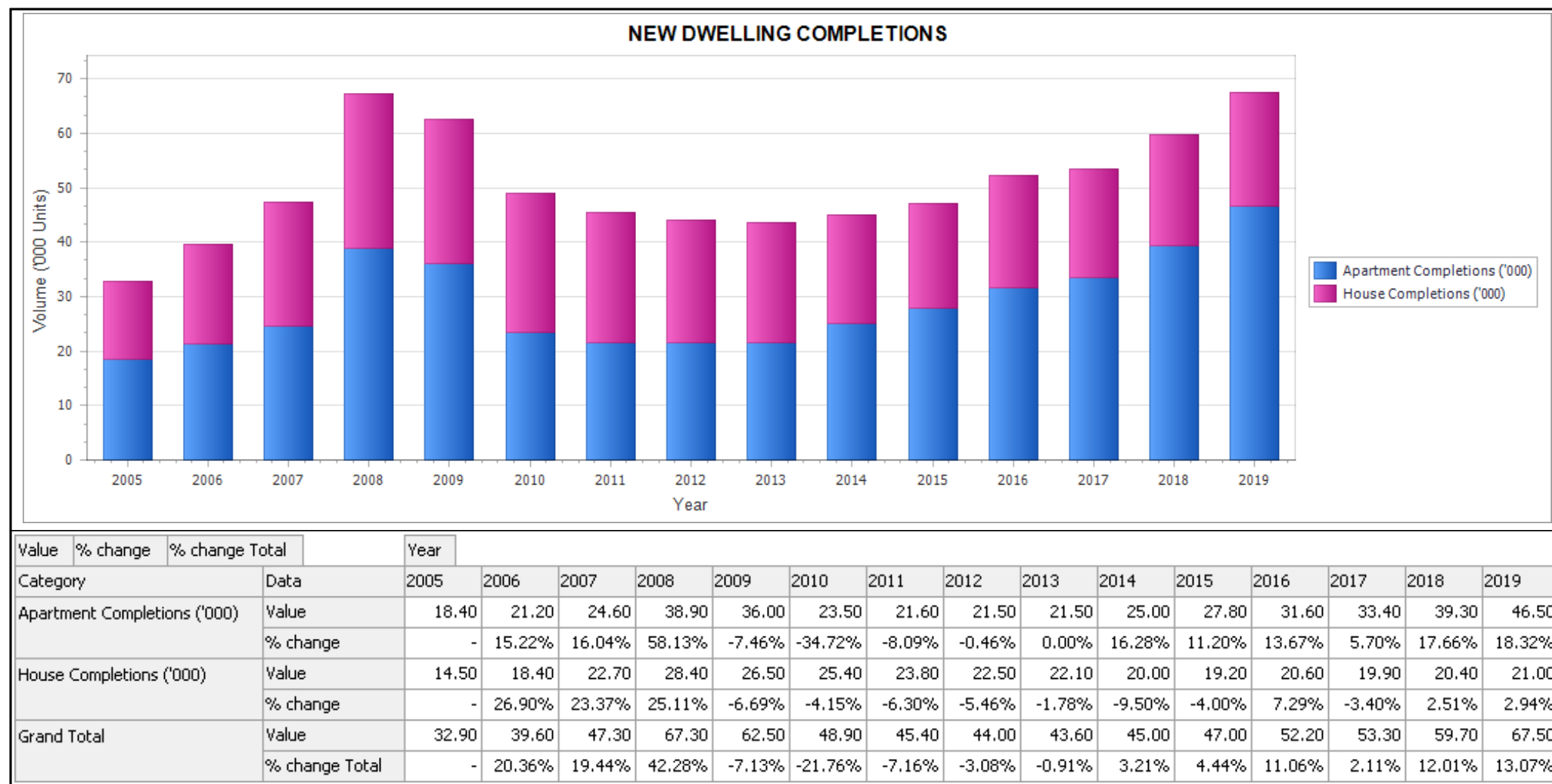
II.4 Historical and Current Exchange Rates
RO - EXCHANGE RATES : HISTORICAL AND CURRENT



Source: OANDA

The Romanian New Lei (RON) is the Currency of Romania. The Exchange Rates Shown are the RON to the EUR.

II.5 New Dwelling Construction
RO - NEW DWELLING COMPLETIONS : HISTORICAL AND FORECASTS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.6 Dwelling Stock by Type and Tenure
RO - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	53.36
	Apartments ('000)	4 750.00
	Houses : Rural (%)	30.73
	Houses : Rural ('000)	2 736.00
	Houses : Urban (%)	15.91
	Houses : Urban ('000)	1 416.00
Dwelling Stock by Tenure	Primary Owned (%)	92.69
	Primary Owned ('000)	8 251.00
	Primary Rented : Public (%)	2.21
	Primary Rented : Public ('000)	197.00
	Secondary (%)	5.10
	Secondary ('000)	454.00

Source: BRG based on Country Statistics.

II.7 Overview of Impact of COVID-19 on Forecasts

RO – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [expected start of easing]	Country-wide lockdown as of 24 March 2020 with the first stages of easing of restrictions from 15 May 2020. 1 June 2020 saw Romania ease restrictions further, allowing outdoor cafes and restaurants to reopen, as well as international road and rail travel. Outdoor cafes will reopen with social distancing guidelines. Romanians can travel between cities without restrictions and outdoor events with up to 500 people are allowed. Non-contact outdoor sporting events can be held without an audience.
Number of officially confirmed cases	41,275 cases [2,126 confirmed deaths] as of 23 July 2020 / Population 19 mln.
General measures in place to support the economy	The European Commission has approved a RON 16 bn (approx. EUR 3.3 bn) Romanian scheme to support small and medium-sized enterprises in response to the coronavirus outbreak. The scheme was approved under the State aid Temporary Framework adopted by the European Commission on 19 March 2020, as amended on 3 April 2020. Under the scheme, support will be granted in the form of direct grants and state guarantees for investment and working capital loans. The aim of the scheme is to help businesses cover their immediate working capital or investment needs, thus ensuring the continuation of their activities. In addition, the government have supported the economy via; • Accelerating VAT refund • Suspending tax controls • Extending the payment terms for local taxes paid by the population • Postponing the payment of utilities and rents for several small enterprises • Temporary freeze on payment of loan instalments until 31 December 2020.
Statistics on affected employees	The unemployment rate saw an increase of 5.2% in May 2020, from the previous 4.8% seen in April.
Measures in place to mitigate economic impact on INDIVIDUALS	The government has given partial coverage of the wages of parents who have been made to stay at home whilst schools are suspended and the measures to support the business environment, including partial coverage of salaries for people in danger of being fired.
Statistics on affected companies	N/A
Specific measures affecting BUILDING CONSTRUCTION and RMI	Safety guidelines need to be followed on construction sites. DIY stores and wholesalers remained open for trade with only Leroy Merlin closing its stores amidst the coronavirus pandemic.
Measures in place to mitigate economic impact on COMPANIES	State-guaranteed loans Subsidised interest rates Several tax reliefs State covering part of the costs of technical unemployment
Support measures from international organisations (EU, IMF, World Bank, other)	Funding issued by the European Commission of RON 16 bn (see details above). EUR 750 bln EU Recovery Fund approved in July 2020.

Sources:

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ROMANIA

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The distribution network in Romania has witnessed structural changes in recent years, driven by new European players entering the market and the strengthening of the DIY retail channel. However, structural weaknesses of the infrastructure network continue to greatly affect construction product distribution in the country. To this extent, the quality of Romania's transport infrastructure is varied. With 1,075 km of the Danube and 234 km of the Black Sea coastline, shipping has long been important to the Romanian economy, which has prominence over public roads and on railways. The road network is considered inadequate given the size of the country and is not well maintained. To offset any further deterioration of the transportation network, the Romania government has approved in September 2016 the revised General Master Plan for Transport (*Master Planul General de Transport*). The programmatic document details the interventions in transport infrastructure up until 2030, with a total value of 43.5 billion euros, for further improvement and extension of the existing road transportation network and the construction of new highways and expressways.

The distribution of sanitary products is basically separated from the distribution of building materials, although some building merchants offer these products as well. There are several distribution channels for bathroom products in Romania. The main method is the traditional 'three-step method' used in the professional channel, which sees bathroom products pass from a manufacturer/importer to specialised sanitary and heating wholesaler, then on to installers; this approach is used by VILLEROY & BOCH's MONDIAL brand, KLUDI, and RAVAK. Direct distribution is also visible on the Romanian market, with bathroom products passing directly from a manufacturer to the installer – this method is sometimes used by FIBREX, FIBROCOM, and MARTPLAST. Finally, bathroom products are also distributed in a 'three-step' manner in the retail channel. MELINDA IMPEX and MAGDOLNA IMPEX are typical examples of wholesalers, which act as intermediaries between manufacturers/importers and retailers, including DIY chains.

Since the liberalisation of the market from state ownership, cash and carry outlets emerged along with an increase of DIY stores and supermarkets/hypermarkets. These are increasingly focusing on expanding their product portfolio with bathroom products. In the light of the severe downward fluctuation of the overall economic conjuncture, the Romanian DIY segment was deeply affected by the economic crisis of 2008. Several important market players went bankrupt (PS INTEX, ARTERA, CASA PLUS, and DELTA DISTRIBUTION), while other firms faced a heavy decline in sales as well as liquidity problems.

The high incidence of lack of regulation on imported goods has resulted in a pervasive black market, which was a serious cause of concern for large foreign companies present on the Romanian market and Romanian manufacturers, due to perceived constraints posed to the domestic growth of demand. Nevertheless, in 2002 the Romanian government introduced steep import taxes, which no longer

encouraged parallel imports.

Wholesale Level

The high preference accorded to the three-step distribution in the Romanian market, combined with the strong links between many leading manufacturers and wholesalers makes the wholesale segment a key component of bathroom product distribution. The continued dominance of three-step distribution and the wholesale channel owes much to the discounts and rebates associated with bulk purchases of bathroom products. The wholesale channel tends to be the main route to market for established and well-recognised brands. Meanwhile, newer entrants and niche foreign players are more likely to sell directly to installers. The strong ties with installers, the perceived availability of a high-quality and reliable installation service are among the critical characteristics that have traditionally supported the wholesale channel, despite the entrance of new retailers (DIY and internet) offering products at extremely competitive prices.

The main suppliers that have acquired a position of relevance in the wholesale segment of the Romanian bathroom market are outlined below:

- BLACK SEA SUPPLIERS from Constanta: acts in the economy price segment. The company has 31 depots (including its headquarters in Constanta) in Romania. BLACK SEA SUPPLIERS imports taps and mixers (for sinks, washbasins, bidets, showers and baths), shower enclosures, shower wall products, hydromassage baths, exposed plastic cisterns and ceramic sanitary ware products. Its main commercial focus relies on brands such as GROHE, HANNE and ROCA;

- the BRAVO GROUP imports from Germany, Italy, the USA, France and Poland, focusing mainly on high-end branded products. The company is involved in providing consultancy before and after the purchases as well as in assisting contractors and construction companies. Among the products that the BRAVO GROUP imports there is the GALA ceramic sanitary range, INDA and TAB shower enclosures, as well as PRACTIC shower trays and it distributes BISK and INDA shower accessories and INDA bathroom furniture. The company also distributes GEBERIT plastic cisterns and GROHE products. The BRAVO GROUP is one of the main tile importers, distributing MAPISA, and MIRAGE products;

- MELINDA IMPEX INSTAL S.R.L is located in Odorheiu Secuiesc. The company has a warehouse with an area of 10,000 m² and one showroom at its headquarters. MELINDA IMPEX is primarily a wholesaler but started its retail activity in 2004. In 2004, MELINDA IMPEX was restructured and was split into the following companies: MELINDA IMPEX STEEL S.A. (steel products and insulation materials), MELINDA IMPEX INSTAL S.A. (heating and bathroom products), MELINDA IMPEX FILIALA CONSTRUCTII and MELINDA IMPEX FILIALA TÂMLARIE (furniture production). Apart from Odorheiu Secuiesc, the company has depots in another fourteen Romanian cities, including Bucharest, Cluj Napoca and Timisoara;

- SANIPLUS is based in Arad. The company distributes ESTAP steel baths and steel shower trays, CR plastic cisterns and STYLETECH shower enclosures. The company also sells AQUAFORM shower enclosures and BANOPERITO baths from Poland;

- SANOTECHNIK: imports/distributes FORMATIC acrylic baths, shower trays and hydromassage baths, as well as hydromassage baths from SANOTECHNIK's Chinese manufacturing plant. The company also imports Chinese taps and mixers, hydrotherapy cubicles, shower panels, bath screens as well as shower enclosures, selling them under its own brand name. SANOTECHNIK supplies among others the DIY stores PRAKTIKER, HORNBACH, AMBIENT, DEDEMAN and BRICOSTORE, the cash and carry outlets METRO and SELGROS. Furthermore, the company also supplies TIGER AMIRA, VEGA DESIGN and BRIC.

Retail Level

DIY Retailers

The Romanian DIY market is far from fully mature and is currently undergoing major expansion and transformation. Throughout the last two decades, in particular the 2000s, the DIY sector has benefited from fast economic growth, propelled by the positive evolution of the disposable income levels. The accentuated fluctuation of the latter, however, in turn, has hampered sales growth also in the light of the fact that the average monthly income of the typical Romanian household remains low within an overall European context.

The last decade beginning in 2009 has seen a major transformation of the DIY channel with the entrance into the segment of new players and the erosion of existing market positioning of players. To this extent, the cases of PRAKTIKER and BRICOSTORE are noteworthy, as they were the two main market players in the first decade of the 2000s and were adversely affected by new entrants on the DIY market (e.g. BAUMAX and OBI) and the rapid growth of DEDEMAN.

In 2019, the Romanian DIY channel continued to experience robust growth as a channel of distribution for bathroom and heating products. The extent of growth is strongly supported by the remarkable growth of DEDEMAN in 2019, whose turnover increased by 41%, sustained by the presence of 50 stores, two logistics centres and over 9,800 employees. Another trajectory of the consolidation of the DIY channel in Romania relates to the further expansion of the presence of the British KINGFISHER group, which had already acquired BRICOSTORE depots in 2016 and made the takeover of the Romanian PRAKTIKER chain with its 27 stores.

There are five main players active on the Romanian DIY market:

- BRICO DEPOT, which opened its first store in Romania in March 2002 in Bucharest through its Hungarian office BRICOSTORE HUNGÁRIA and currently its

15 stores belong to the KINGFISHER group;

- PRAKTIKER ROMANIA S.R.L., which opened its first superstore in 2002 in Bucharest. The retailer has known several changes in the ownership since the German PRAKTIKER announced bankruptcy in 2013 and is currently undergoing an operational integration with the BRICO DEPOT, after the takeover by the KINGFISHER group;

- the retailer MATHAUS is the latest player to enter in the DIY market in Romania, after the decision of ARABESQUE, the Romanian distributor of construction material, to expand its activities beyond the commercialisation of building material. Such transition has been further facilitated by the acquisition of the retail network of the French company MR BRICOLAGE, which opened its first outlet in 2006 in the Vitin area, and currently operates two stores (one in Bucharest and one in Iasi);

- the German DIY chain HORNBACH opened its first Romanian depot in 2007 after investing approximately €25 million in it and currently has six stores in Romania;

- the French company, LEROY MERLIN, opened its first outlet in Romania in August 2011. Currently, LEROY MERLIN has 16 outlets in Romania, including three in Bucharest and two in Cluj-Napoca. The accession of the French retailer has resulted from the takeover of BAUMAX, which entered the Romanian market in 2006 under the name of BAUMAX ROMÂNIA S.R.L.

Specialist/Other Retailers

On a local level, there are a number of independent retailers and showrooms specialising in bathroom products spread throughout the country. These retailers have remained popular as they offer product and installation advice. Cash and carry outlets also comprise a notable proportion of the bathroom market's specialist/other retailer segment, favoured by some consumers for their low prices and the ease of acquiring stock. There are several important specialist/other retailers who offer bathroom products on the Romanian market, detailed below.

- The Swedish chain IKEA, the world leading retailer of furniture and home accessories, has gained in share in Romania in recent years. The chain offers a wide range of bathroom products, including sanitary ware, taps and mixers, bathroom accessories and furniture.

- AMBIENT started trading in 1993, being among the first specialist retailers established in Romania. In 1995, AMBIENT opened its first store starting the retail activity and later in 1997, its first depot was opened, selling building products. In 2000, AMBIENT started its greenfield investments in Sibiu, purchasing two different sites, one with 20,000 m² and the other with 8,000 m² of floor area, in order to build the company's new offices and warehouses. The company currently has 14 outlets. Since 2015 the company has opened the insolvency procedure with the split in to two business units, namely the retail to end-use consumers and the distribution division. The company offer includes sanitary ware products such as basins,

pedestals, WCs, bidets and urinals; baths, including hydromassage baths; and conventional shower cubicles.

- DELTA DISTRIBUTION was established in 1996 as a specialist distributor of ceramic tiles, opening its first store in 1997. In the following years, the company developed nationwide distribution activity, opening 46 distribution centres all over Romania. In 2008/2009, DELTA DISTRIBUTION faced serious financial problems and went into insolvency. Between 2009 and 2011, the company restructured its activity and reduced the number of its distribution centres and stores to 12 showrooms nationwide. It also developed a DELTA STUDIO concept and rebranded its showrooms. From 2017, the company has initiated a partnership with the PORCELANOSA GRUPO, with the establishment of the first flagship showroom for the Spanish sanitary ware manufacturer in Romania. The company offer includes bidets, washbasins, WCs, faucets and shower cabins.

ROMSTAL is the most important specialist heating and bathroom product retailer in Romania. The company was established in 1991 with a mixed Italian-Romanian capital investment, dealing with a wide range of equipment, accessories and spare parts for sanitary, heating and air-conditioning installations; tools and materials for installations, private and industrial buildings; electrical equipment, devices and metal work. Since 1992, ROMSTAL IMEX has been marketing sanitary goods in Moldova (Chisinau). The company has also been present on the Ukrainian market since 2002. The quantity and diversification of product portfolio, the quality of service, and the national retail outlets network put the company in top place in the rank of suppliers. ROMSTAL imports mainly from Italy, France, Belgium, the Czech Republic and Spain. The company's largest showroom, ROMSTAL PIPERA in Bucharest, opened in 2005. In 2007, ROMSTAL acquired a Serbian distributor, DOMING D.O.O., for €10 million. In 2008, the company opened franchise outlets in Russia. Regarding bathroom products, the company offer includes sanitary ware such as WCs, washbasins, bidets, pedestals, baths and shower trays. The main manufacturers included in the ROMSTAL's offer are VILLEROY & BOCH, IDEAL STANDARD, GEBERIT and GROHE.

Resulting from the joint venture between the German REWE group and the OTTO GROUP, SELGROS opened its first Romanian store in 1999 in Brasov. By 2018, SELGROS had 22 outlets in Romania.

Internet Retailers

The Romanian online market has increased its relevance at a fast pace in recent years, with a further 22% of growth registered in 2019 compared to the previous year, benefiting from wider smartphone ownership and a wide product offering at low prices. However, whilst the share of e-commerce in Romania still remains one of the lowest in the EU, it is growing at one of the fastest rates in Eastern Europe, after Russia and Ukraine, in terms of the total annual turnover, according to a study by ZIARUL FINANCIAR. In fact, in the regional context, the penetration of online shopping remains far behind other Western European countries.

In terms of bathroom products, a few large DIY retailers have developed online platforms where they offer the acquisition of their products and home delivery service. Such retailers include HORNBACH, IKEA and DEDEMAN. In particular, IKEA has sought to increase its presence in the Romanian market by strengthening its e-commerce platform. To this extent, the Swedish retailer has not just potentiated its online platform by widening also its network of collection points on the Romanian territory.

A story of success of development despite being a purely online retailer, is represented by eMAG, founded in 2009 and currently operating in Romania, Hungary and Bulgaria. In November 2018, it opened a new 126,000 m² warehouse, just outside Bucharest, making it the largest of its kind in Central and Eastern Europe.

Despite the above-mentioned trends, the presence of online retailers offering solely sanitary ware products remains still underdeveloped; nonetheless, the relevance of online distribution channel may increase over the forecast period further widening the access and offer to bathroom products at the national level. To this extent it may be worth noting that it is likely that the gradual emergence of internet distribution will first favour small, easily installed products, such as taps and mixers, meanwhile larger more expensive products with logistical issues, such as baths, will continue to remain bound to the purchase in showrooms and specialist retail stores in the medium term.

III.2. RO - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)												
				Year End	€ million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other	
								Total	Heat	Bath	Plumbing	Vent/Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify
TIGER AMIRA	S.C. TIGER AMIRA COM S.R.L.	Specialist Retailer	Heating, Sanitary	2018	5.6	11	National	XXX	X	XXX			XXX		X		X	X		
EURO-INSTAL	POLTERGEIST S.R.L.	Wholesaler/Retailer/Installer	Heating and Sanitary/Plumbing	2018	30.2	16	National	XXX	XXX	X	XX				X		X	X		Cladding, Plaster Prods & Tools
MELINDA IMPEX	MELINDA-IMPEX INSTAL S.A.	Wholesaler/Importer/Retailer	Heating and Sanitary/Plumbing	2018	52.1	16	National	XX	XX	XX	XX									
BLACK SEA SUPPLIERS	BLACK SEA SUPPLIERS S.R.L.	Wholesaler/Importer	Heating and Sanitary/Plumbing	2018	93.8	31	National	XX	XX	X										
MAGDOLNA	MAGDOLNA IMPEX S.R.L.	Wholesaler/Importer	Heating and Sanitary/Plumbing	2018	14.6	6	National	XXX	XX	XX	XX									
PLAN	PLAN THERM IMPEX S.R.L.	Wholesaler/Importer	Heating and Sanitary/Plumbing	2018	14.6	5	Oradea, Cluj Napoca, Brasov	XX	XX	X	X									
ROMSTAL	ROMSTAL IMEX S.R.L.	Specialist Retailer	Heating, Sanitary/Plumbing & Vent/Air Con	2018	146.0	140	National	XXX	XX	XX	XX	XX								
AMBIENT	AMBIENT S.A.	Specialist Retailer	Heating/Sanitary, Plumbing, Tiles, Building Materials, Roofing, Insulation	2018	30.4	15	National	XX	X	XX	X			XXX	X	X	X	X	5%	Cladding, Plaster Prods & Tools
METRO AG	METRO CASH & CARRY ROMANIA S.R.L.	General retailer	Food and non-food products (including heating and sanitary)	2018	1 114.0	29	National	XX	XX	XX	XX	X	XX	XX	XX	XX	XX	XX	XXX	Food products, electrical goods
DEDEMAN	DEDEMAN S.R.L	DIY retailer	DIY Assortment	2018	1 056.0	51	National	XX	XX	XX	XX		XX	XX	XX	XX	XX	XX	XX	Cladding, Plaster Prods & Tools
KINGFISHER	PRAKTIKER ROMÂNIA S.R.L.	DIY retailer	DIY Assortment	2018	1.1	28	National	XX	XX	XX	XX		XX	XX	XX	XX	XX	XX	XX	Cladding, Plaster Prods & Tools
MR. BRICOLAGE	BRICO EXPERT S.R.L.	DIY retailer	DIY Assortment	2018	0.7	3	Regional	XX	XX	XX	XX		XX	XX	XX	XX	XX	XX	XX	Cladding, Plaster Prods & Tools
KINGFISHER	BRICOSTORE ROMANIA S.A.	DIY retailer	DIY Assortment	2018	189.0	15	National	XX	XX	XX	XX		XX	XX	XX	X	XX	X	X	Tools
HORNBACH	HORNBACH CENTRALA S.R.L.	DIY retailer	DIY Assortment	2018	166.0	6	Bucharest (3), Timișoara, Brasov	XX	XX	XX	XX		XX	XX	XX	XX	XX	XX	XX	Cladding, Plaster Prods & Tools
BAUMAX	BAUMAX ROMÂNIA S.R.L.	DIY retailer	DIY Assortment	2018	1.5	4	National	XX	XX	XX	XX	X	XX	XXX	XX	XX	XX	XX	XX	Cladding, Plaster Prods & Tools

Source: BRG and Industry interviews

ROMANIA

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



1.1 Market Overview : Baths and Shower Trays

To note: A considerable upward revision has been made to the market sizes for synthetic and hydromassage baths. Please see table 1.8 for more details.

Market Characteristics and Product Mix

The Romanian market has been historically characterised by the high preference for baths over shower trays, a trend further accentuated in the aftermath of the economic crisis, when bath sales were clearly exceeding shower tray sales per annum. To this extent, several concurring reasons may be considered as having further accentuated such a trend; ranging from space-saving considerations to the price sensitive nature of the Romanian market. In fact, space-saving considerations continue to play a minor role among end users when opting for the installation of a bath. A further trend that corroborated the relevance of price considerations is the high incidence of preference by the consumer for cheap single head mixer taps suitable for baths, rather than more expensive thermostatic shower mixers. Nonetheless, the recent improvement of the economic conjecture mirrored by a structural increase in the investments for new housing and home renovation have supported the acceleration of the penetration of shower trays. To this extent, the shift is further propelled by an overall change in the perception of bathrooms as minimalist spaces and the higher incidence of aesthetic personalisation and digitalisation considerations.

Overall, the Romanian bath market is relatively mature with intense competition among both international and local manufacturers as well as importers. At the product level, it may be noteworthy to observe that there has been a continuous shift away in customer preference from cast iron/steel baths in favour of synthetic baths. Moreover, the production of steel baths and shower trays is gradually being reduced by many manufacturers, with most of the supply being attributed to specialist distributors and contractors.

In line with the common characteristic of other Eastern European countries, the overall park still has a large proportion of cast iron baths since the pre-1990s baths sold on the market were mainly cast iron and steel, manufactured by URBIS (cast iron) and ROMUPS (steel). The domestic cast iron production was halted in 1995 and, ever since, the market has been rapidly contracting. The cast iron bath market is nowadays marginal, with only a few pieces imported each year, mainly design baths.

Certainly, the synthetic bath market has been the fastest growing segment during the last decade, although sales have not been immune to the downward fluctuations in new housing and housing RMI activity caused by the economic crisis. Historically, the majority of Romanian producers of synthetic baths have tended to manufacture fibreglass products, which were fairly common in Romania due to their relatively low cost. Over the years, however, a constantly higher number of manufacturers have diversified their offering in favour of acrylic products, in order to compete with the supply on neighbouring markets.

The market for hydrotherapy products was virtually non-existent in Romania in the early 1990s and started to rise towards the end of the 1990s. Since then, sales had experienced a rapid growth until 2008. After 2008, the Romanian hydrotherapy products market contracted in the aftermath of the global economic crisis and has following a long-term declining trend, although sales did increase during a few exceptional years.

Recent Market Trends

In 2019, the Romanian bath and shower tray continued its trend of growth in line with the strong performance of the economy and robust number of dwelling completions. Sales of baths continued to increase with the synthetic baths showing strong growth and gaining share from cast iron and steel alternatives, as both categories continued to decline. Nonetheless, there was a positive result for the traditional baths segment which managed to grow at a faster pace than in 2018. Within the hydrotherapy products market, sales of hydromassage baths continued a downward trend in 2019, whilst hydrotherapy shower cubicles and conventional shower cubicles experienced some minor growth. As for shower trays, the sales growth remained strong in 2019 despite the competition of walk-in showers. This suggests that Romanian consumers are increasingly switching from bath to shower tray solutions, particularly in the new housing segment. However, new homes are sometimes equipped with both a bath and a walk-in shower, which removes the need to have shower tray.

RMI demand for shower trays continued to grow in 2019, suggesting that functionality and a degree of personalisation of the products are becoming significant drivers within the decision-making process of end consumers. Nonetheless, bath sales continued to be highly dependent within the RMI sector on like-for-like replacements, although many of these replacements were of the previously popular steel baths by synthetic baths, which are now the dominant product in the baths market in Romania. As a result of the continuous expansion of the dwelling completions, the demand for synthetic baths has steadily remained on a track of growth and it should continue to do so over the coming years. Despite a comparatively stronger growth trend, sales of shower trays continued to be greatly driven by the increased demand for synthetic products. Given the total size of the Romanian shower tray market, the sales of ceramic models continued to remain a niche market segment.

Prices and Market Values

In 2019, there was a generalised increase in the average MSP (manufacturers' selling price) in local currency for both baths and shower trays in Romania. Most products experienced like-for-like increases although the change in product mix for steel baths and steel/cast iron shower trays led to a decline in the overall MSP for these products. Although manufacturers operating on the Romanian bath and shower tray market continued to apply favourable discounts in order to attract a wider clientele, in a widely competitive environment, a part of them had to increase

the average MSP. In the two dominant products in the Romanian market (synthetic baths and synthetic shower trays) a shift towards more expensive products continues to take place, which has further increased the average MSP for these products, thus increasing the market value up for 2019.

Moreover, it is worth noting that the continuation of the tight monetary policy by the Romanian Central Bank has had an impact on the value of the Romanian leu (RON) against the euro in 2019.

New Housing

In 2019, the increase in dwelling completions has continued to consolidate further with a substantial rise in both the building of apartments and houses. Shower trays and walk-in showers continued to gain share in new housing to the detriment of baths, a trend that has started in the last decade. Housing contractors, however, continue to prefer to fit new dwellings with baths wherever possible due to the higher profit margins and ease to source such product variants.

Housing RMI

In light of the relative maturity of the Romanian market, sales into the RMI sector comprise most of overall sales of baths and shower trays. The positive performance of the Romanian economy and increase in disposable income had a positive impact in 2019, hence sustaining RMI demand for baths. The weakening of the consumer preference for baths and slow like-for-like replacement of baths has led to sales of shower trays to the housing RMI segment to increase in 2019. In terms of product mix, the major part of sales of baths and shower trays to housing RMI was attributed to synthetic baths.

As the purchase of hydromassage baths in Romania is highly discretionary, the remodelling segment accounts for the clear majority of sales in Romania. Therefore, although weakened, demand for hydromassage baths from the housing RMI segment continued to drive sales in 2019 despite declining from 2018. The consolidation of such decline may be ascribed to the higher market penetration of competing products such as hydrotherapy shower cubicles and shower panels.

Non-Housing

After a decline in the previous year, in 2019 the positive development in the maintenance and upgrading of hotels and leisure facilities resulted in a strong increase in sales of baths and shower trays in the non-housing segment. In line with the trend observed in the new housing and housing RMI segments, demand from non-housing continued to favour baths over shower trays. At the product level, the preference for the capped acrylic models by the end-use consumers was further strengthened. The increased penetration in the market of higher quality shower trays and baths sold to non-housing has also increased the penetration in the market of both major international manufacturers and imported products, whereas the main domestic players focus their bathroom product range production

within the lower and medium range. Despite the positive development of the domestic non-residential market, sales of baths and shower trays to non-housing continued to account for a relatively small share of the overall sales volume in 2019. To this extent, no major change in the consistency of demand coming from this end-use segment is expected in the foreseeable future.

The positive scenario is supported by the continuation of the growth rate of investment in Romania, measured in GDP, which received a further boost in 2019. The main driver was the private investment in the construction of non-residential facilities, as well as the acceleration of the renovation activity of hotels and leisure centres. In line with the positive structural conjuncture, also the sales of hydromassage baths to non-housing have seen a slight degree of expansion. In fact, despite that niche nature of such market in volume terms, sales of hydromassage baths remained prominent, within the non-housing segment, particularly sustained by demand coming from specific geographic areas such as Dobrogea, Banat and Transylvania, where tourism activity is highly concentrated.

Supply Structure

The niche Romanian market for cast iron baths was led by importers from China, Portugal and Bulgaria, which have further consolidated their market presence at the expense of branded products such as ROCA. Meanwhile, the exports of cast iron baths and shower trays were marginal and consisted entirely of re-exports from Romanian distributors.

In line with the trend of the previous years, the Romanian market for synthetic baths is characterised by the prominence of domestic players such as MART PLAST, BELFORM and WEST CO IMPEX, with the latter assuming the leadership of this market in 2018 and consolidating the market leader position in 2019 by increasing substantially its share. CERSANIT and SANOTECHNIK are the other main players in this market. Among the western European players present in the market, VILLEROY & BOCH continued to sell synthetic baths via its Romanian local subsidiary. IDEAL STANDARD lost some share in the market and GEBERIT increased its share slightly.

SMAVIT remained the market leader in the steel baths market in 2019, followed by MELINDA IMPEX's own brand GOBE. FERRO, ROCA and KALDEWEI were the other main players in this market.

In 2019, the Romanian ceramic shower tray market continued to see the consolidation of leadership by GEBERIT (KOO). The sales of KOO continued to account for a substantial amount of the overall sales of ceramic shower trays. Although, the company started to experience growing competition from IDEAL STANDARD in 2015, the latter manufacturer had succeeded in consolidating its relevance in such product segment by 2019.

Since specialist ROMUPS exited the steel shower tray segment, the supply has heavily relied on imports. To this extent MELINDA IMPEX, with its GOBÉ branded

imports from China, has seen a considerable contraction of demand. Such trend is part of a more general pattern of historical trend of constant contraction, further favouring the presence on the market of unbranded imports.

The Romanian synthetic shower tray segment is dominated by local manufacturers that in 2019 continued to increase their sales. Despite the presence of local manufacturers of fibreglass shower trays, ('enamelled') the mineral cast and solid surface product variants have continued gaining an ever-increasing share; hence fibreglass products are expected to disappear from the Romanian market in the foreseeable future. Moreover, SANOTECHNIK remained the market leader in 2019 (sold in DIY), followed by BELFORM and FIBREX. No major changes have occurred at the level of channel of distribution as MART PLAST was sold mainly in DIY outlets, while the Czech RAVAK focused on distribution via wholesalers, meanwhile the most important commercial partner of WEST CO was DEDEMAN. The Polish manufacturer AQUAFORM continued to consolidate its relevance in the synthetic shower tray market. In general, imports from China and Poland expanded considerably reaching a sizeable amount of the overall Romania synthetic shower tray market.

In 2019, most sales of hydromassage baths were in the hands of local producers such as FIBREX, BELFORM and MART PLAST as well as foreign manufacturers such as SANOTECHNIK, whose market growth is being a hit to the sales of the domestic manufacturers. BELFORM experienced a strong decline in sales in 2019 which led to losing the market leader position to FIBREX.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has endeavoured to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

2020 is expected to see an overall decline in the market as a result of the COVID-19 pandemic and industry feedback at the time of writing. indicated that the market had seen a decline already. With budgets being tighter for consumers, sales of baths and shower trays are expected to decline in all end use sectors, apart from those shower trays installed in new housing, which should grow marginally in 2020.

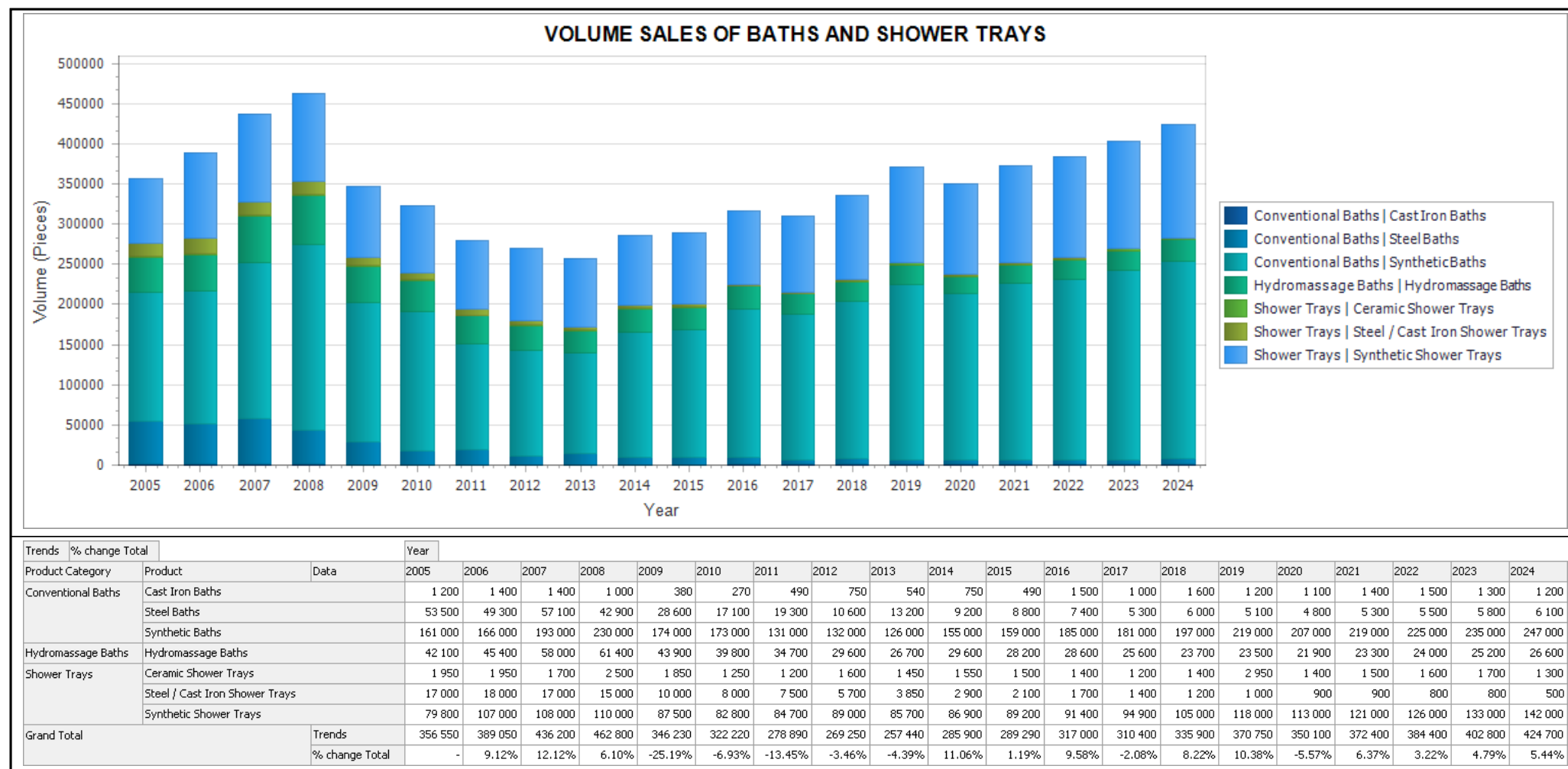
The overall baths and shower trays market is anticipated to return to growth in 2021, surpassing the volumes seen in 2019. The market is expected to be primarily driven by replacement sales, with demand from new build and non-housing expected to show the fastest growth rates. As Romania continues to converge with the European Union and the availability of funds for these convergence continues, it is expected that the construction industry should perform well from 2021 onwards, together with strong demand for renovations of a dwelling park that remains quite old. This should positively impact the overall bath and shower tray market in Romania, which is likely to grow further as a result of improving

construction activity, not limited just to the capital, but also in the context of other regional residential markets such as Iasi and Timisoara, sustained by increased levels of demand of housing in urban centres. In volume terms, the market is not expected to shift away in terms of preference from the synthetic baths, whose growth will be mainly driven by like-for-like replacement.

The market growth for baths and shower trays is likely to experience an expansionary phase over the forecast period, sustained by strong underlying demand for most products. Sales are likely to recover strongly in the years to come, with new construction activity likely to remain significantly stronger when compared to levels reached in the last five years. The Romanian bath and shower tray market is likely to be highly driven by stable but positive levels of consumer consumption propensity and improved general macroeconomic indicators.

1.2 Historical Trends and Forecasts

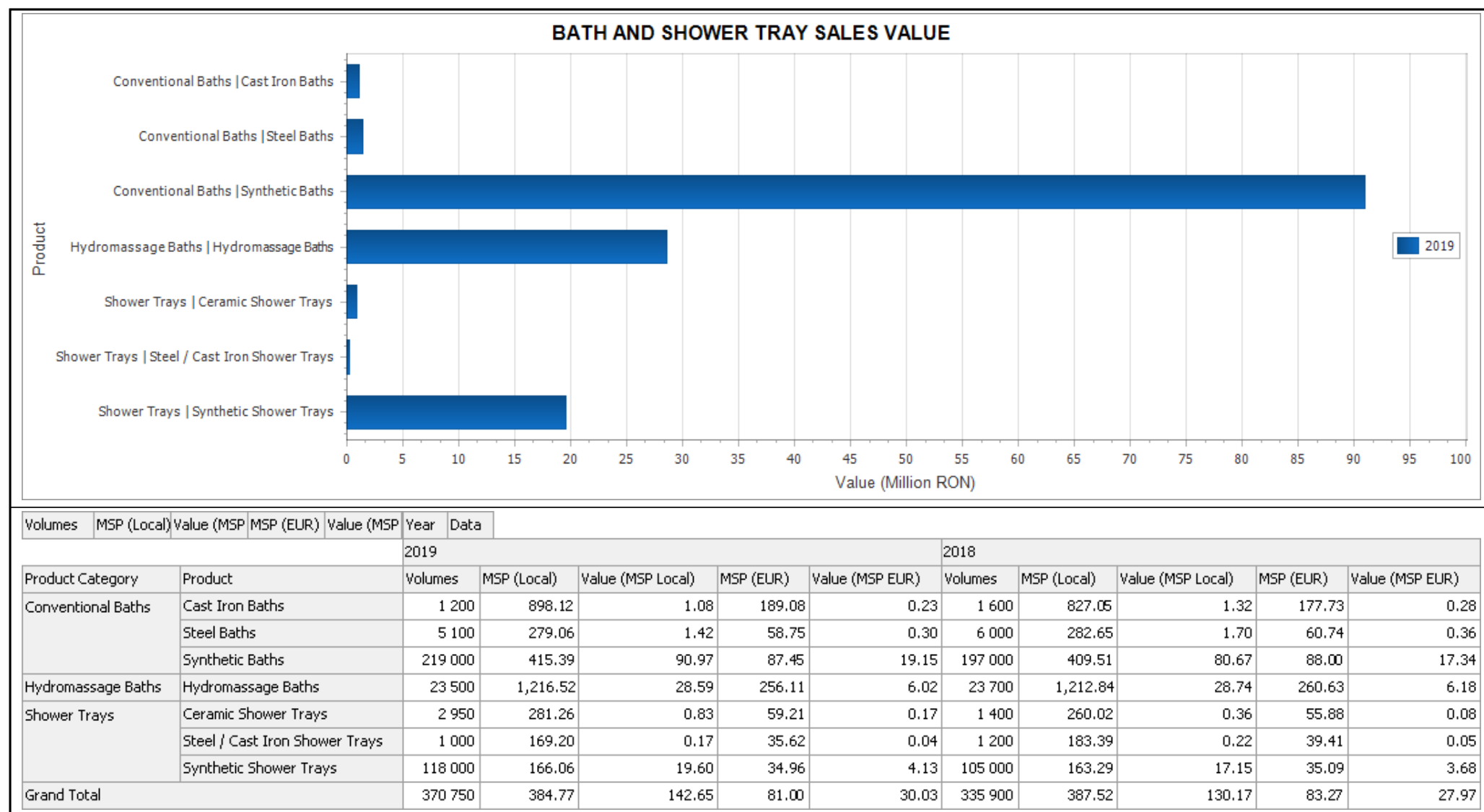
RO - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

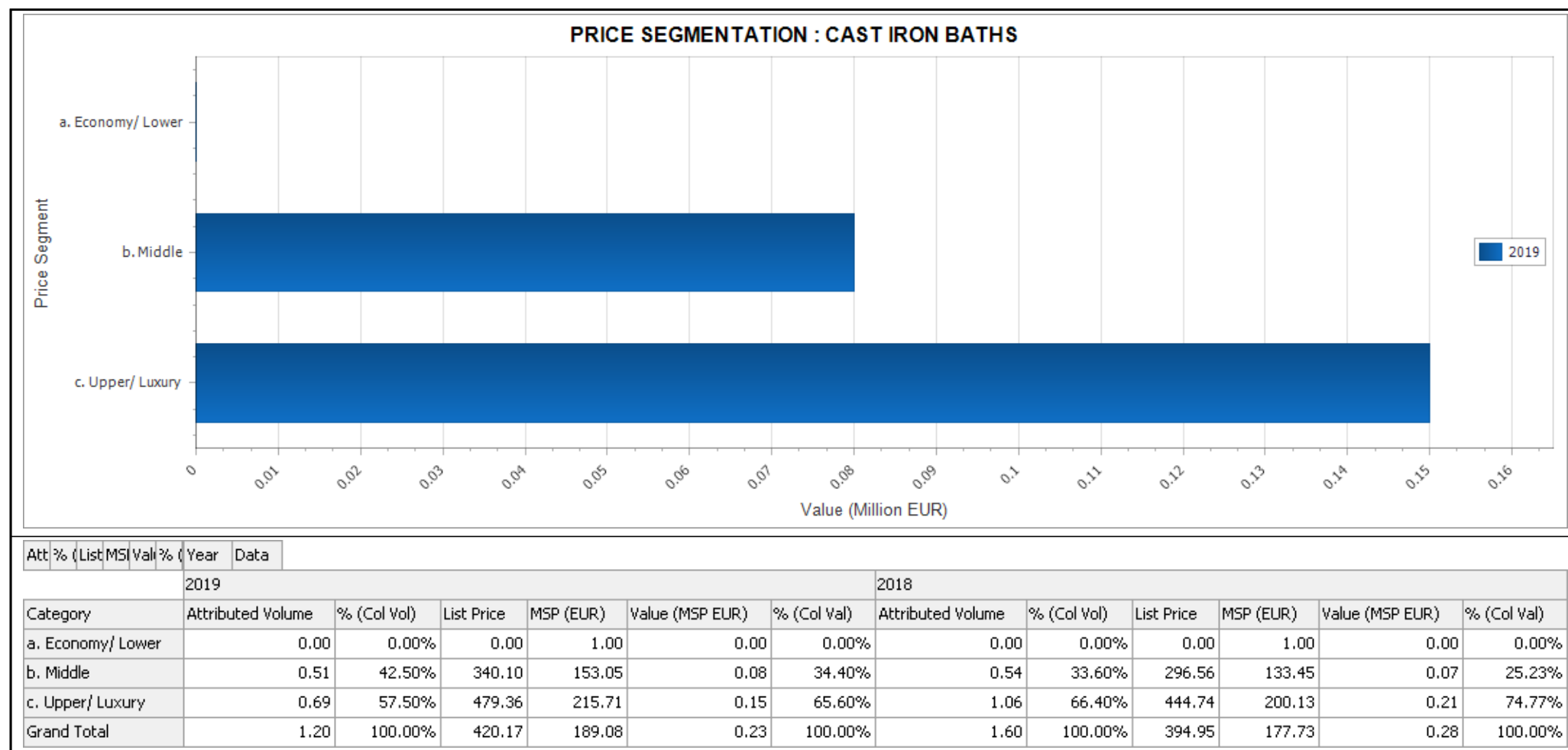
RO - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Prices Shown in RON. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

1.3.2 Price Segmentation : Cast Iron Baths

RO - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

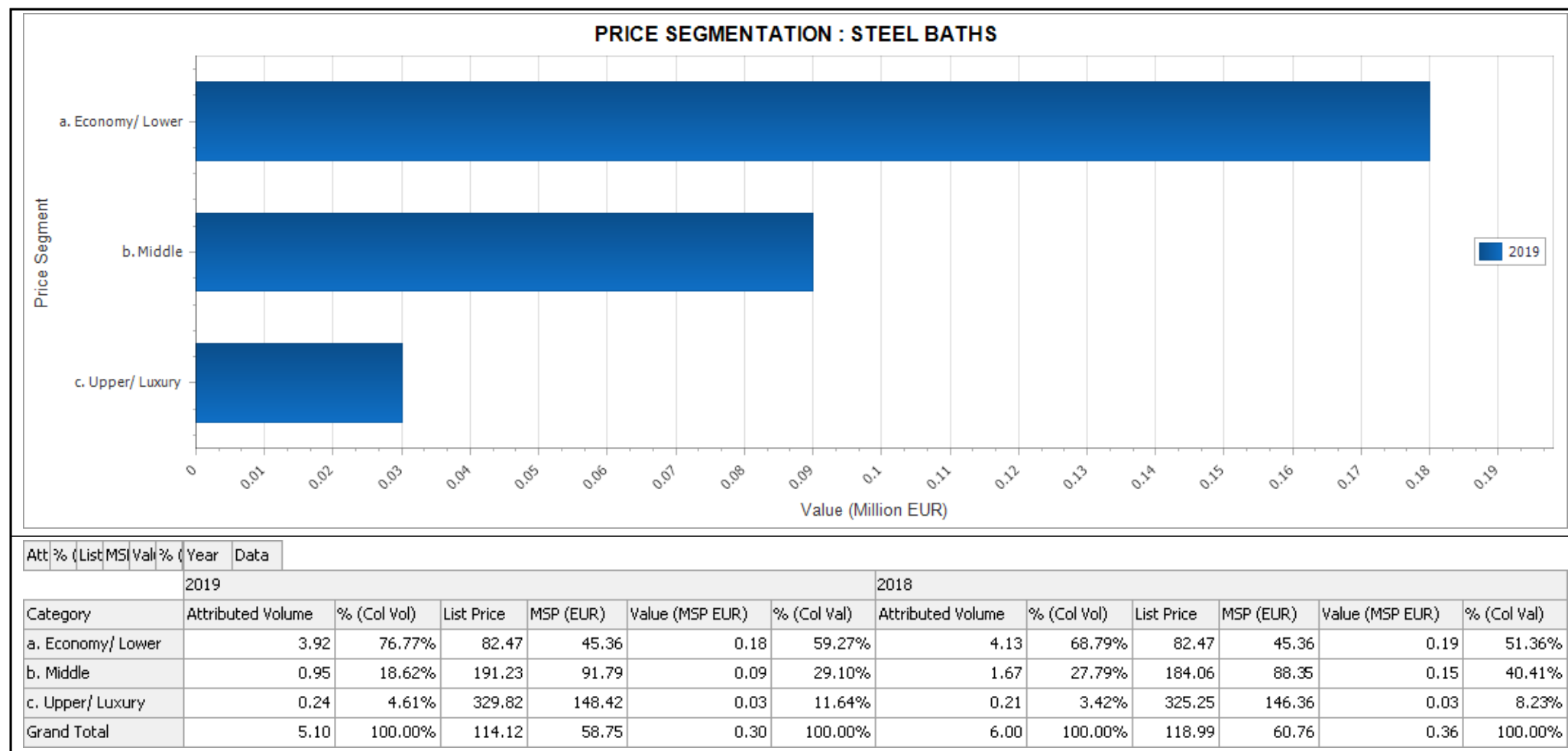


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€190, Upper/ Luxury >€190

1.3.3 Price Segmentation : Steel Baths

RO - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

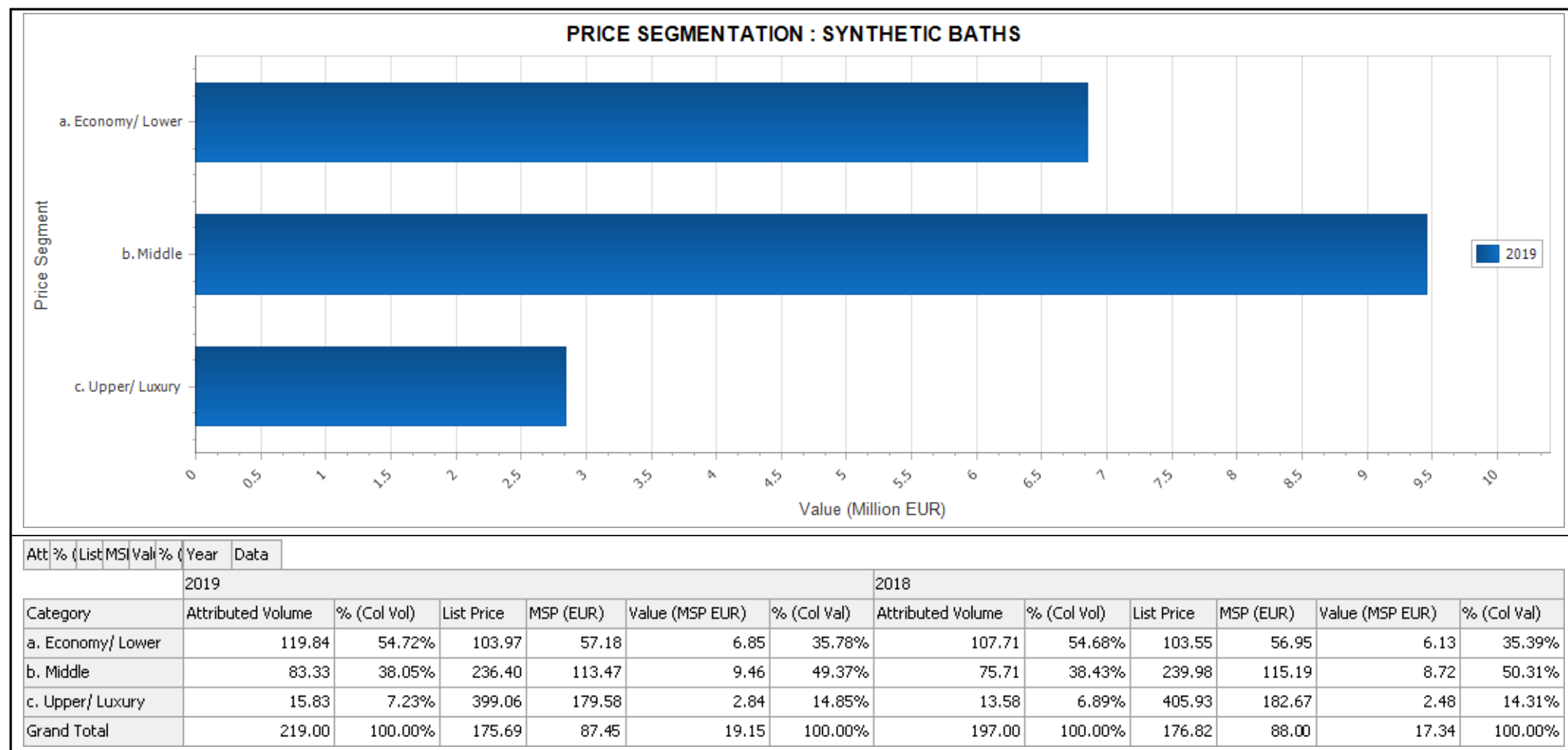


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

1.3.4 Price Segmentation : Synthetic Baths

RO - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

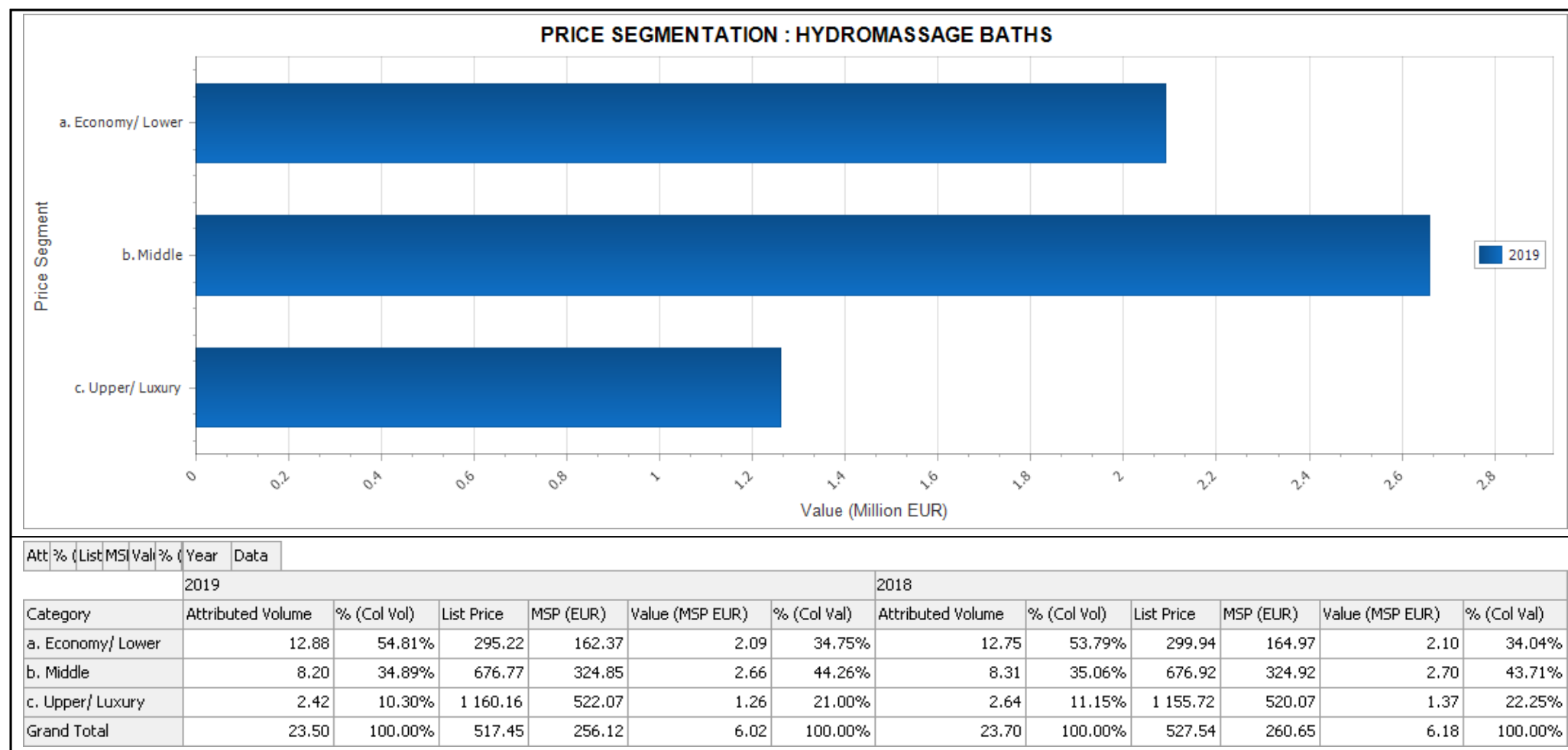


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.3.5 Price Segmentation : Hydromassage Baths

RO - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

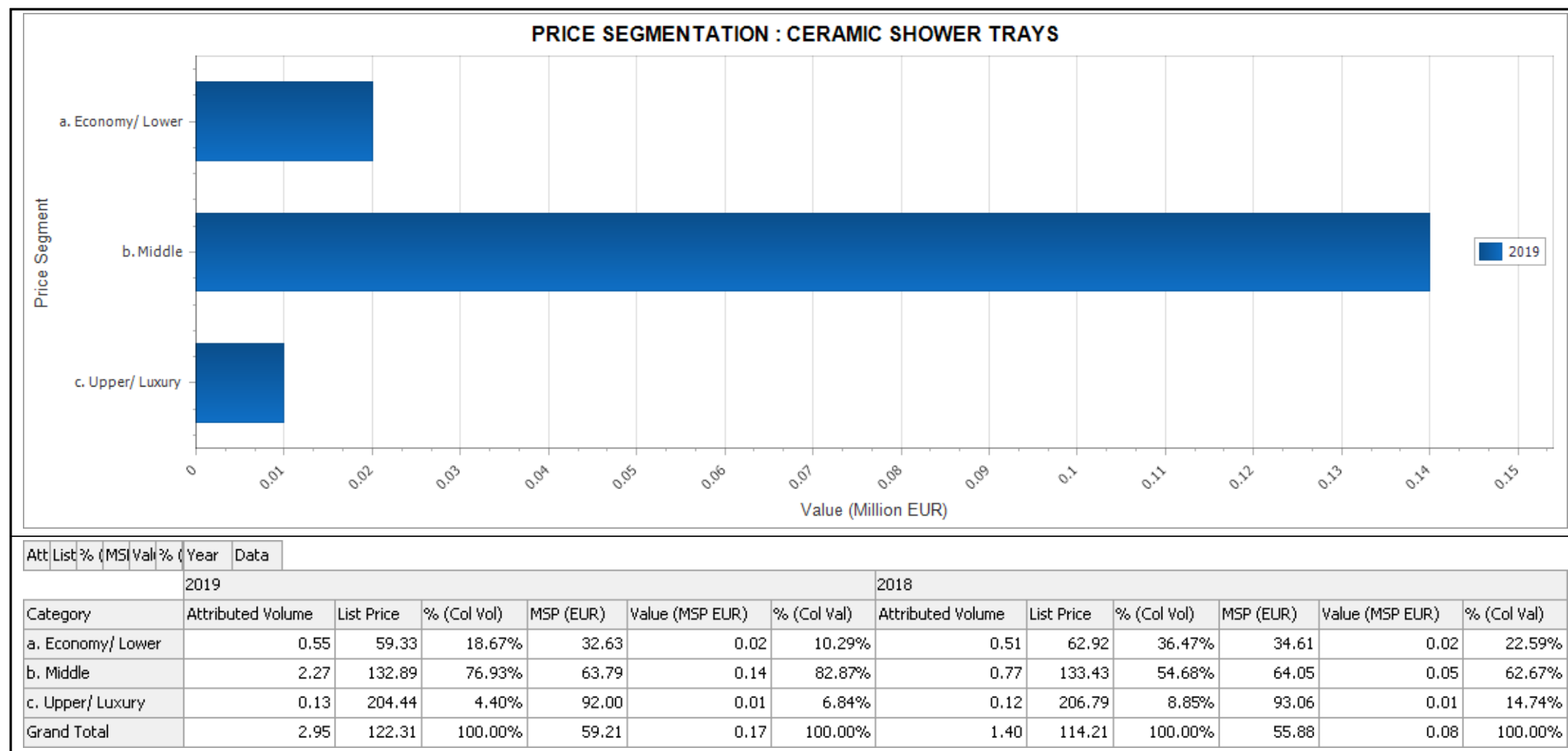


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

1.3.6 Price Segmentation : Ceramic Shower Trays

RO - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

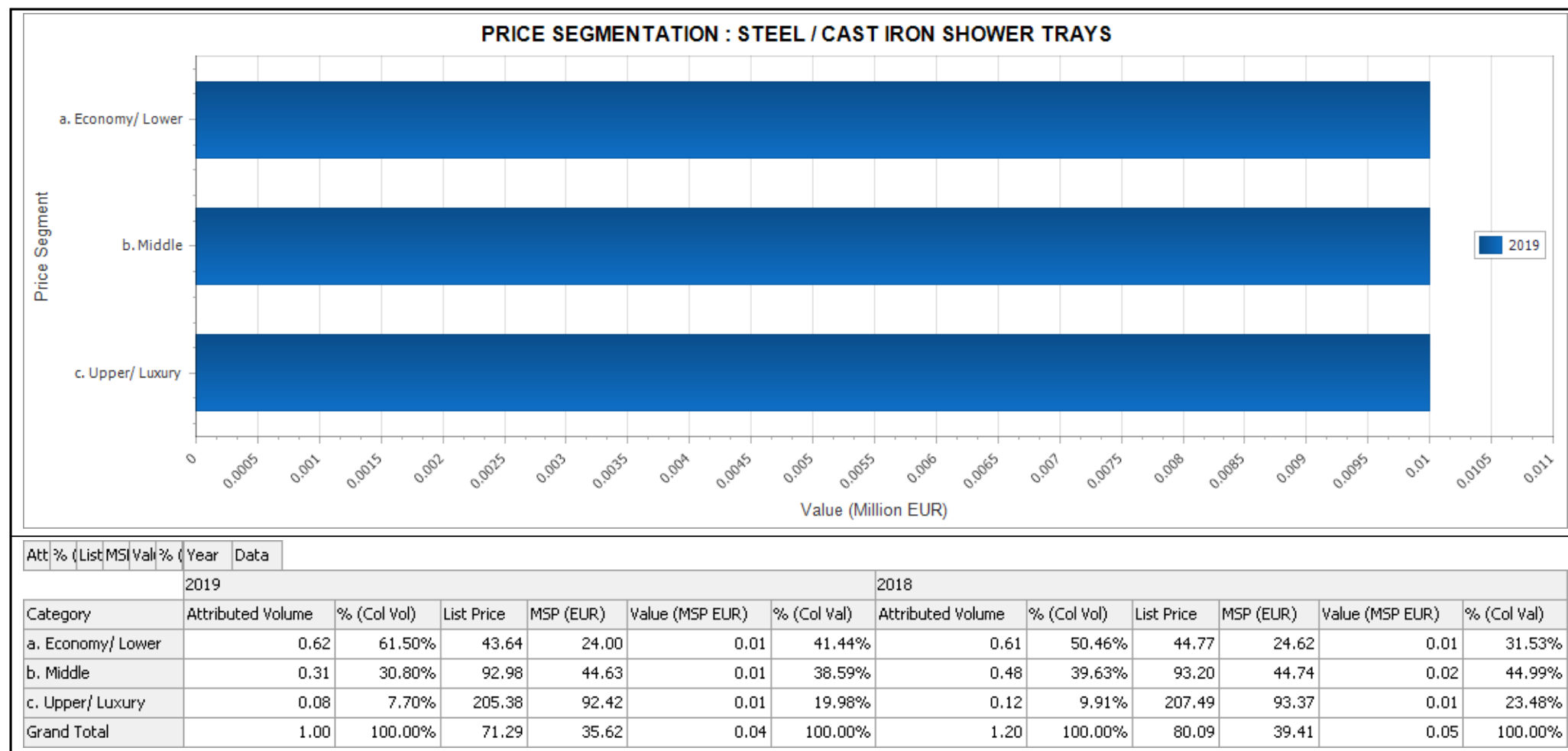


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

1.3.7 Price Segmentation : Steel/ Cast Iron Shower Trays

RO - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

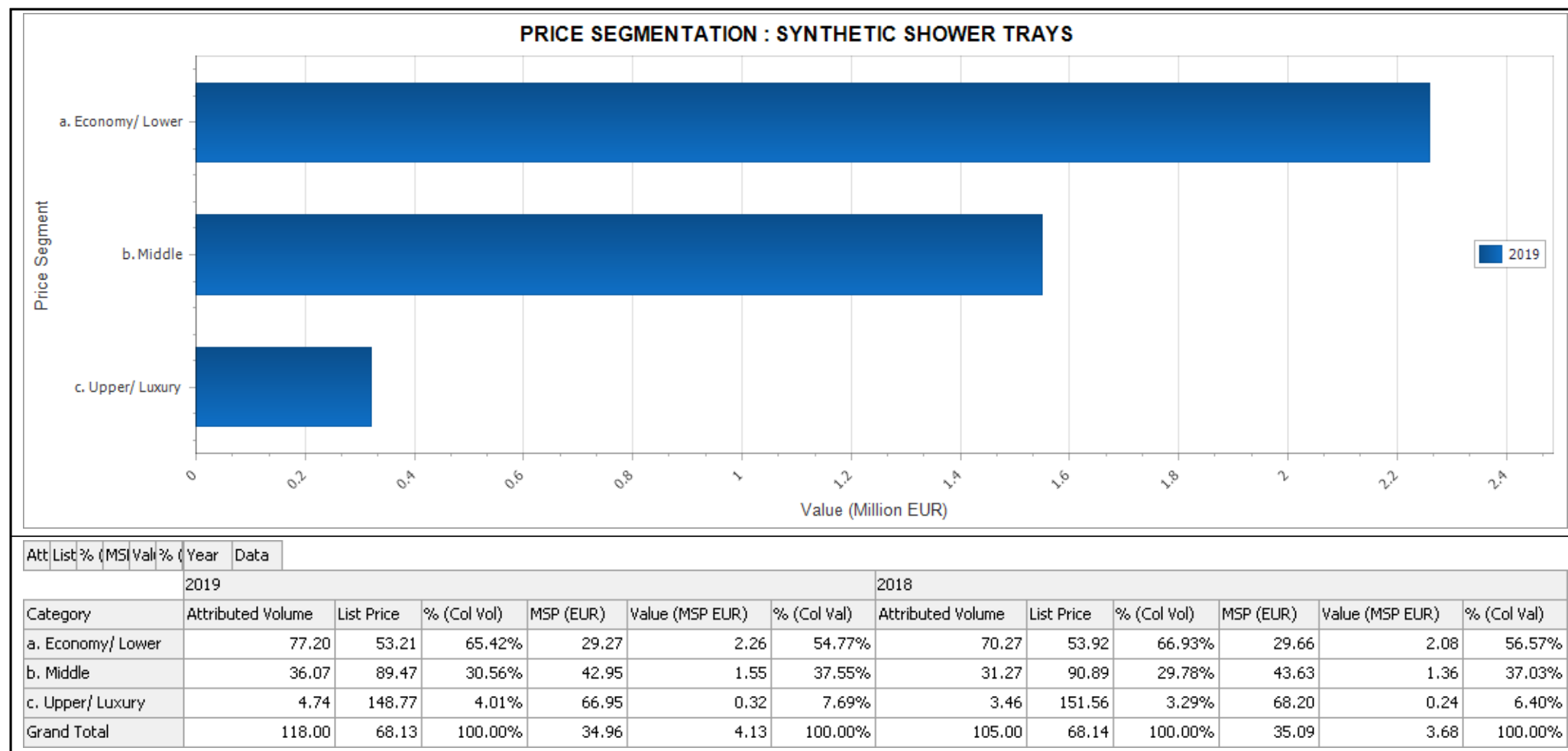


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€60, Upper/ Luxury >€60

1.3.8 Price Segmentation : Synthetic Shower Trays

RO - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

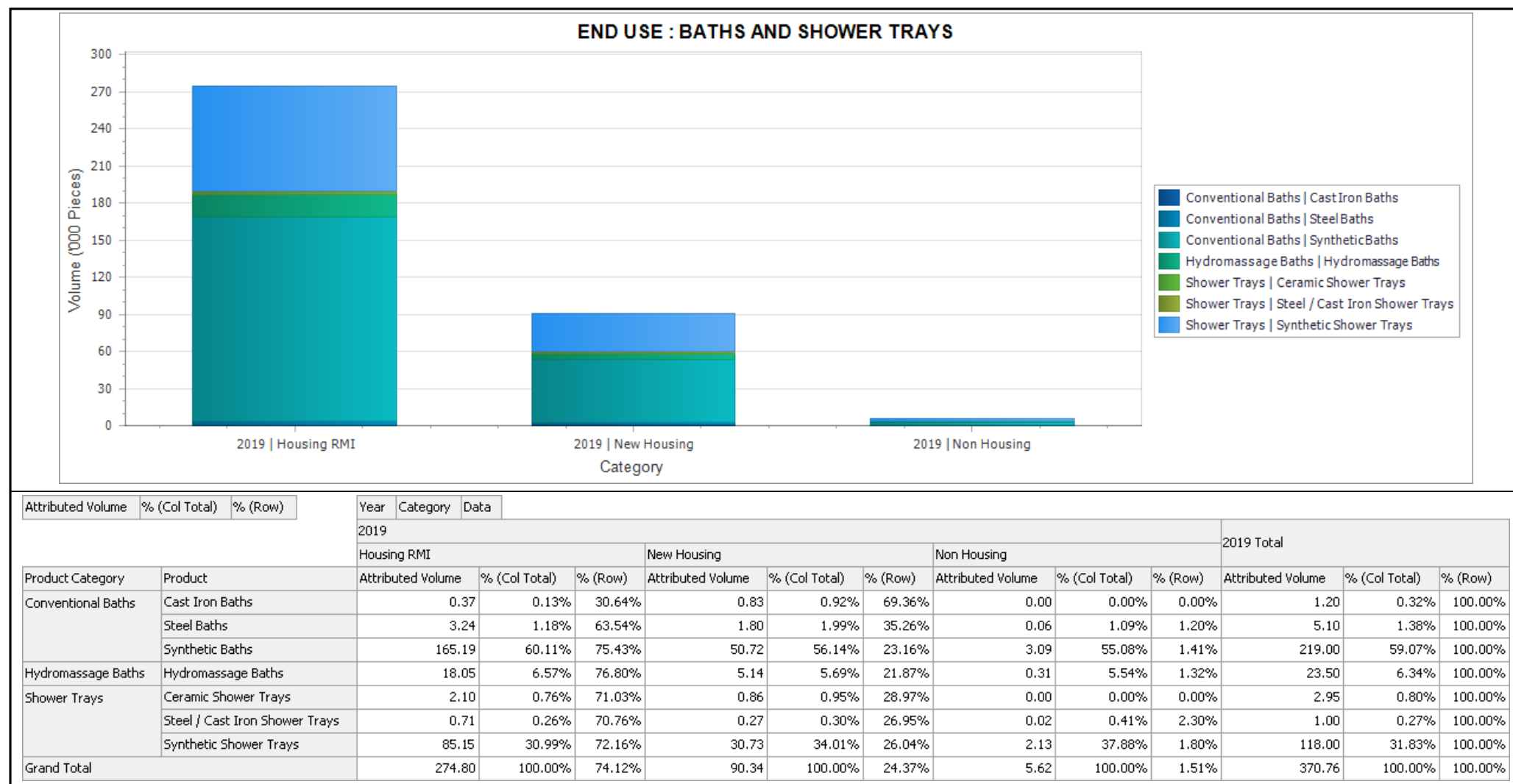


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€50, Upper/ Luxury >€50

1.4.1 End Use : Base Year

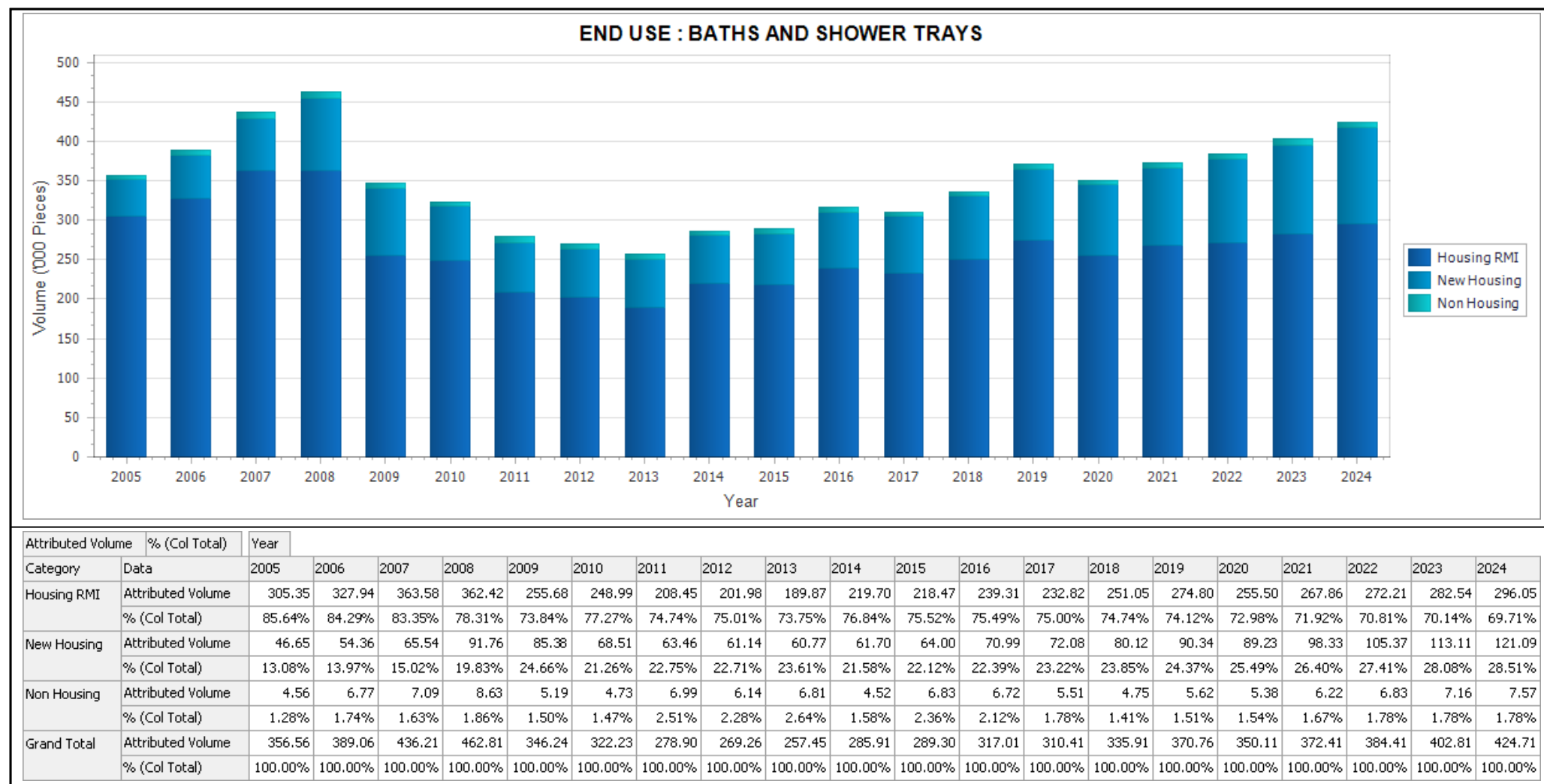
RO - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

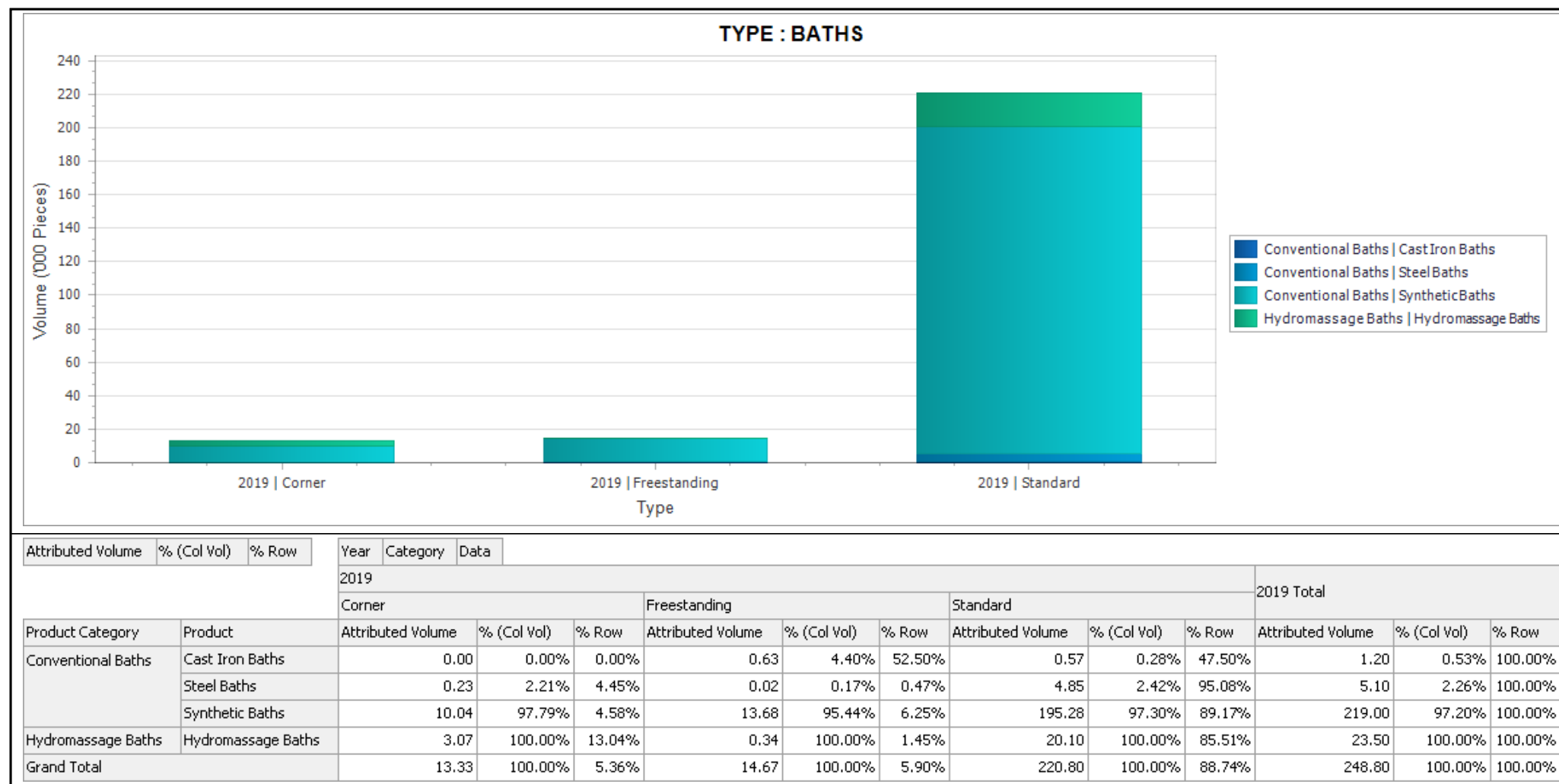
RO - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

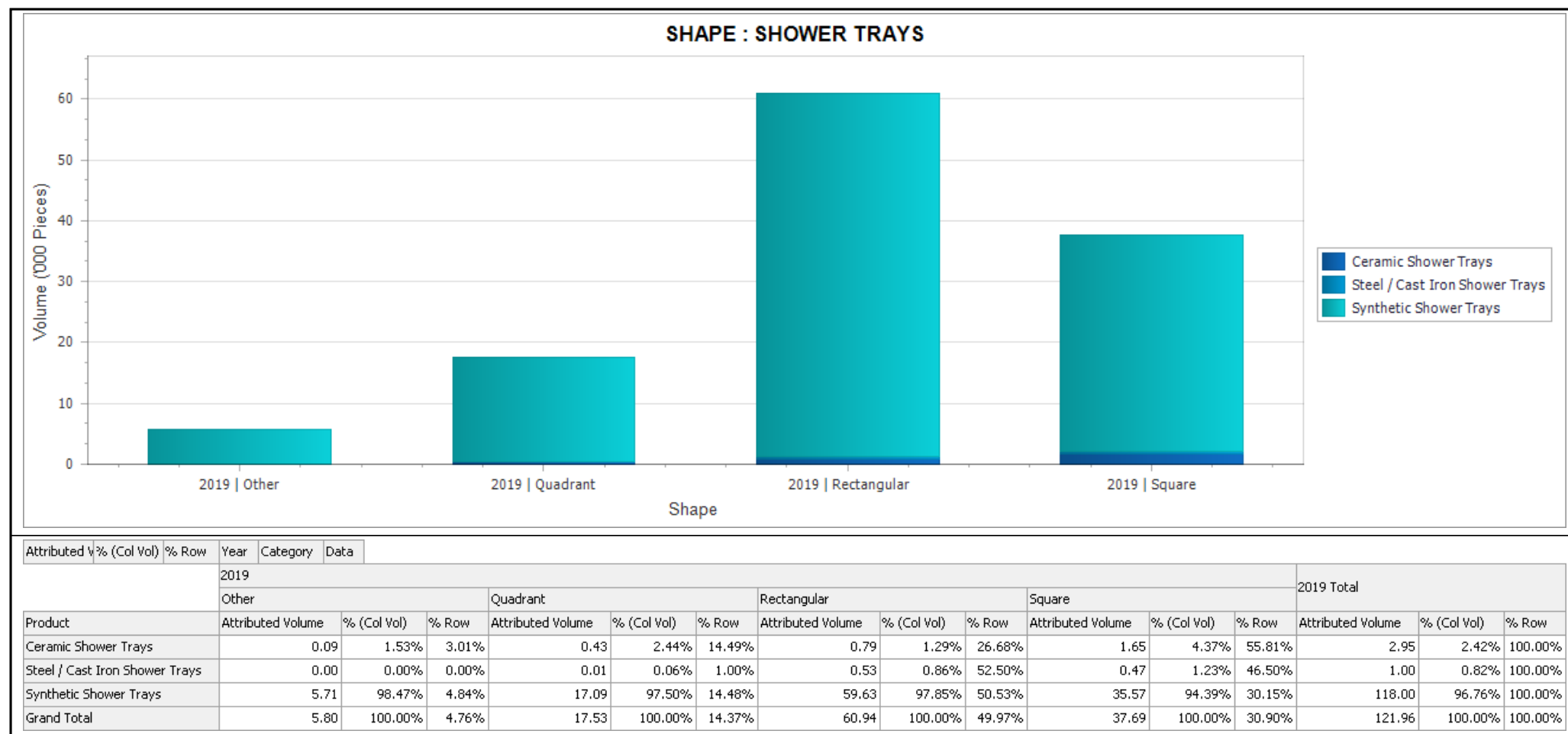
RO - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

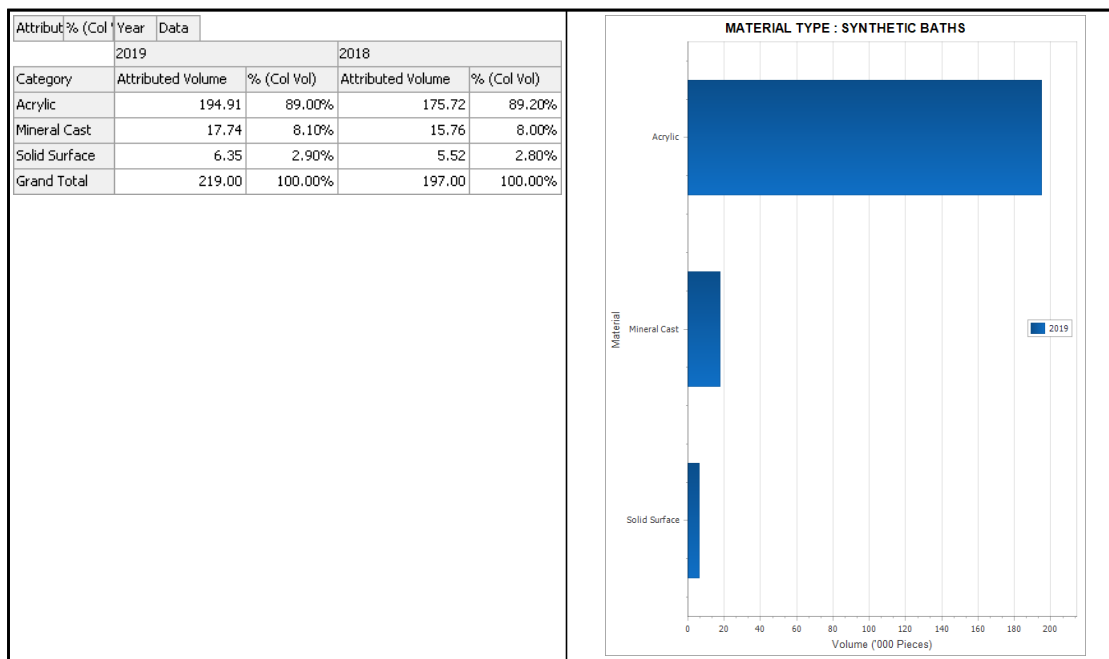
RO - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.5 Sales by Material : Synthetic Baths

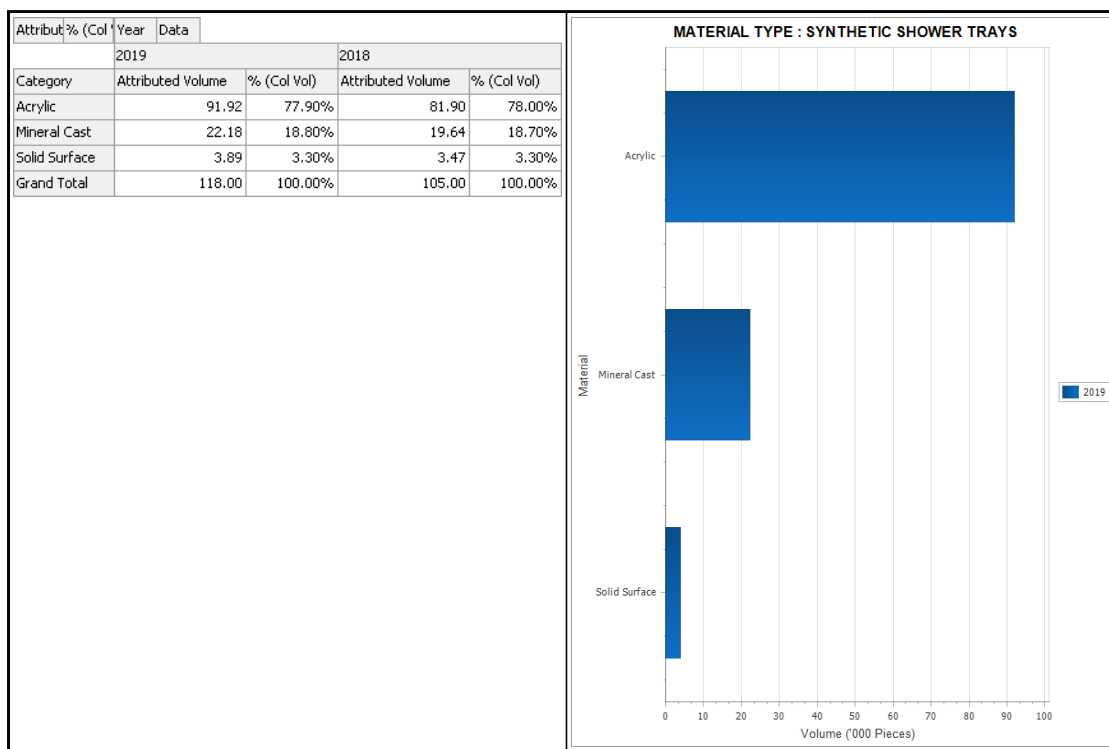
RO - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.6 Sales by Material : Synthetic Shower Trays

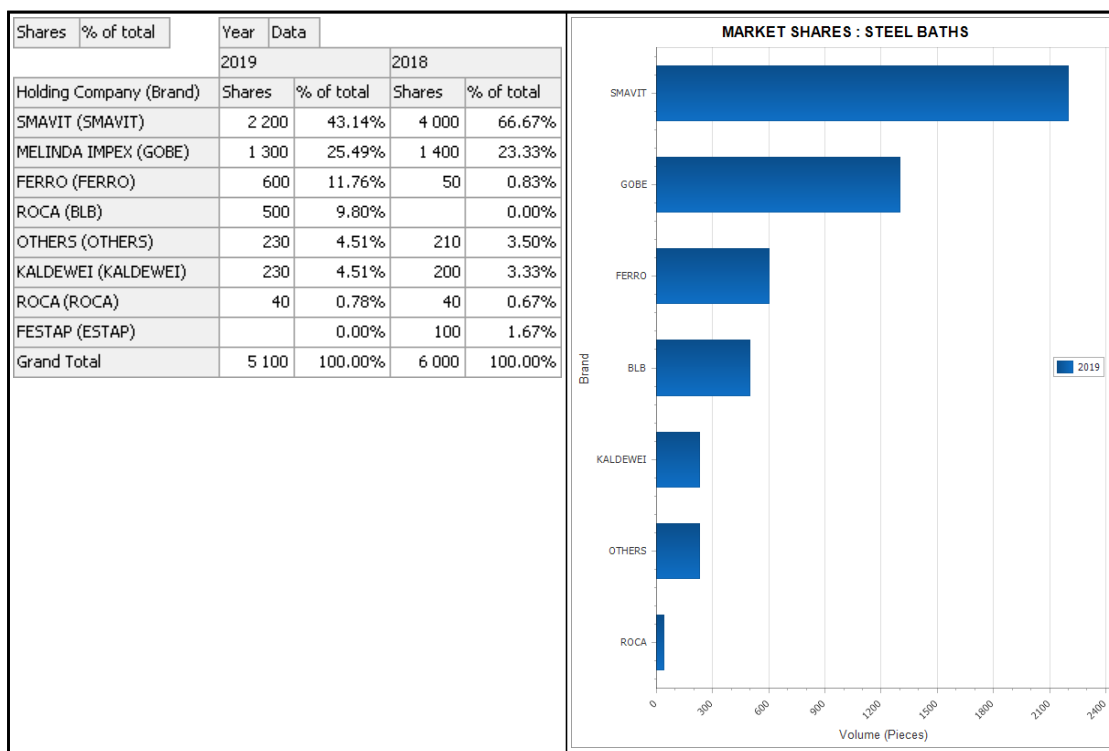
RO - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Steel Baths

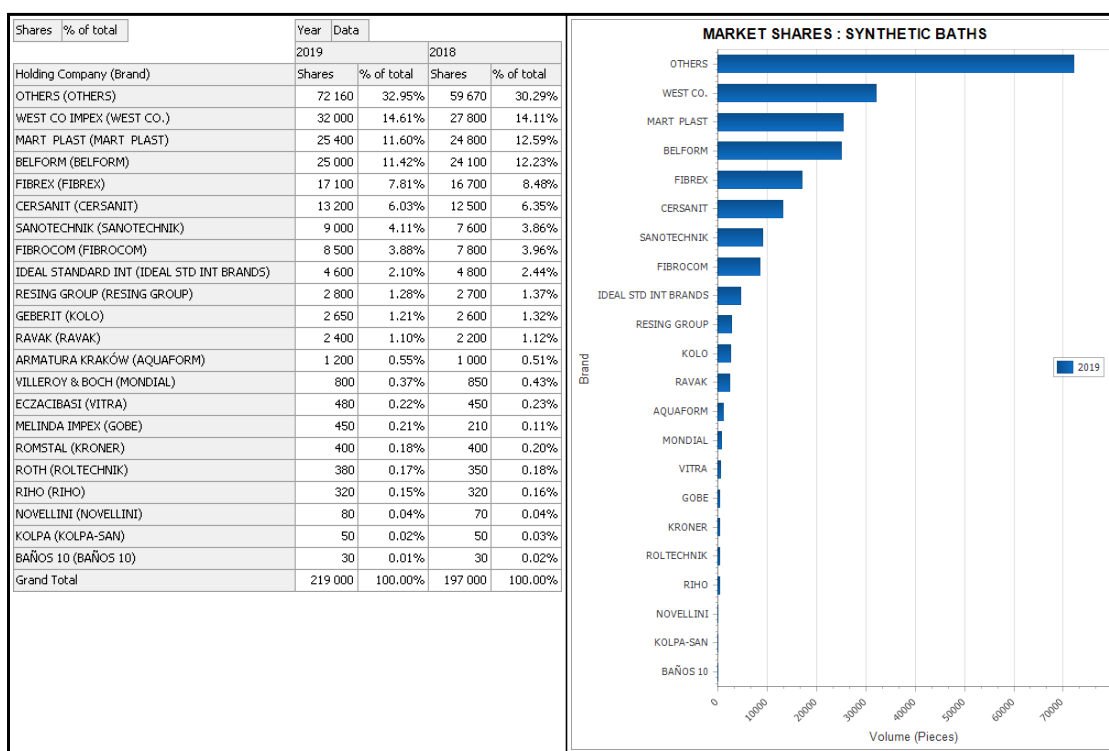
RO - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Synthetic Baths

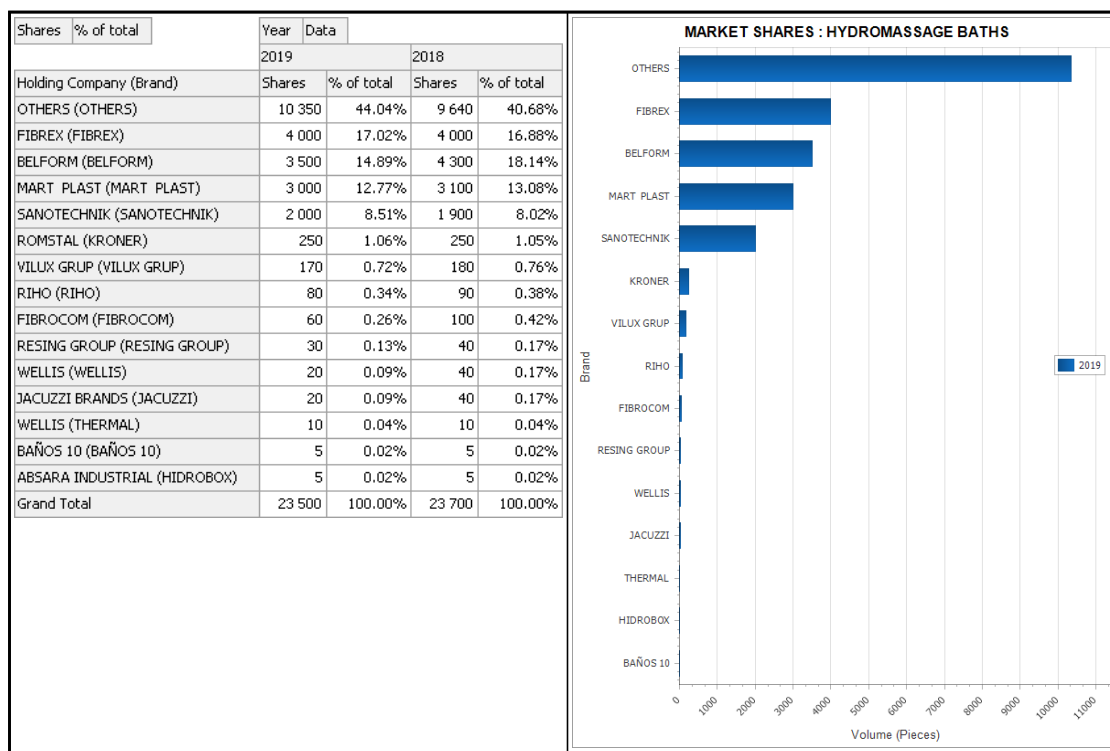
RO - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Hydromassage Baths

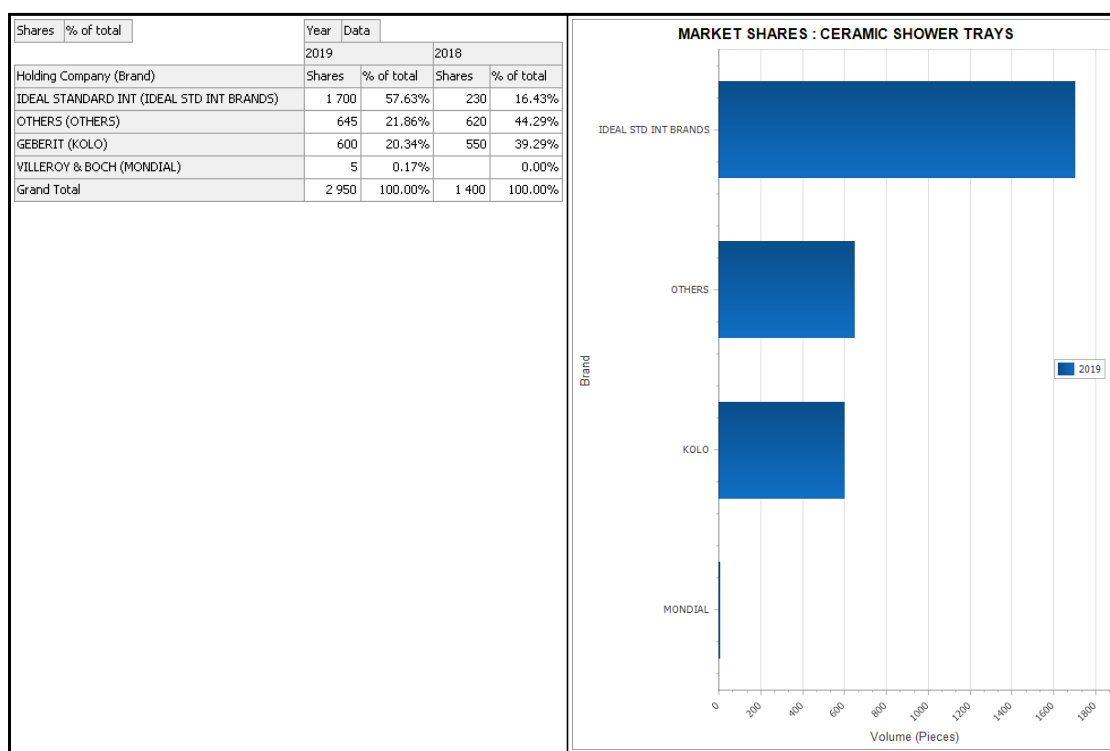
RO - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Ceramic Shower Trays

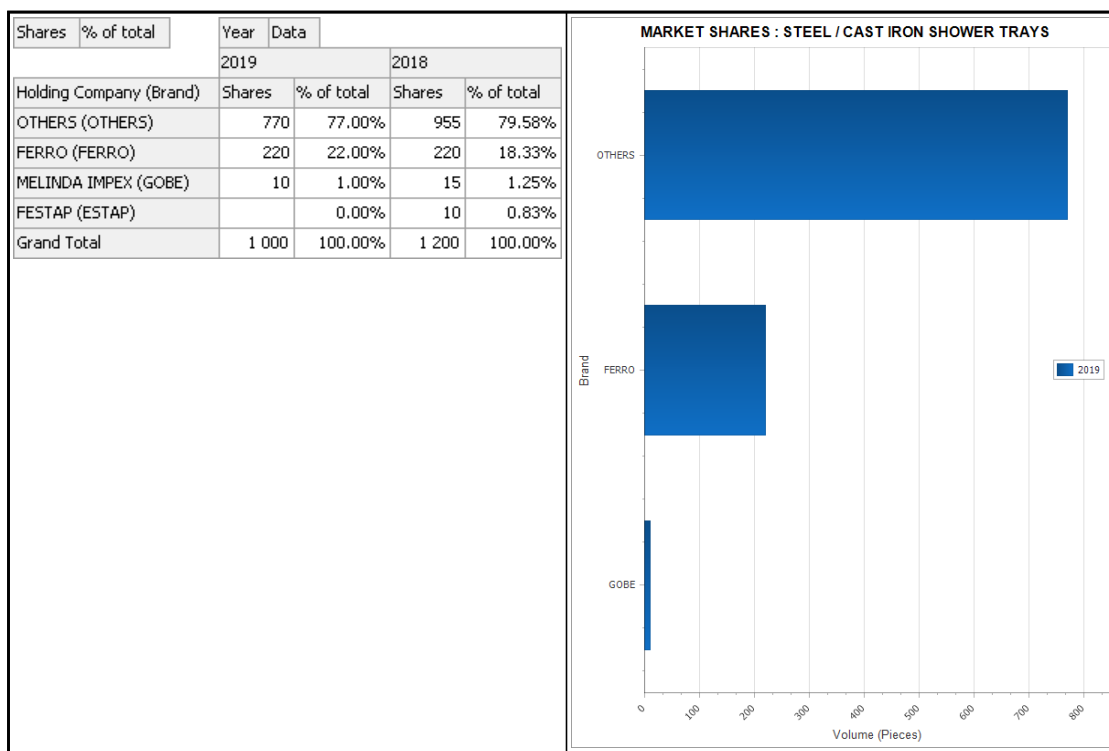
RO - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.5 Market Shares : Steel / Cast Iron Shower Trays

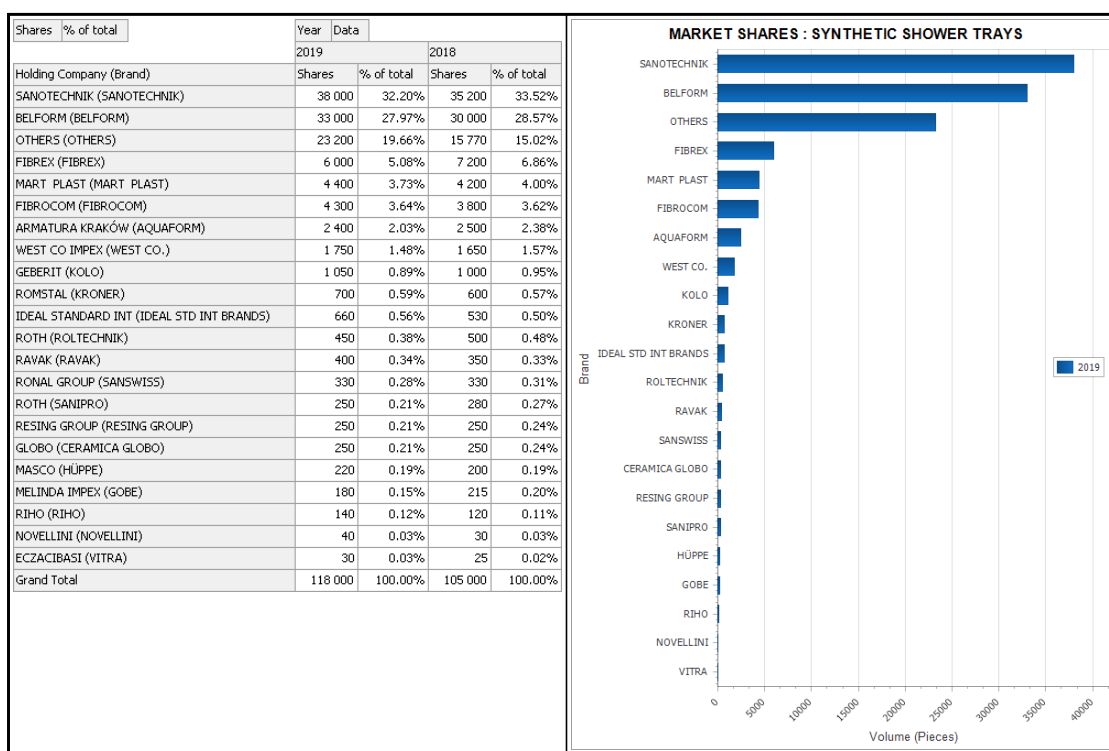
RO - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.6 Market Shares : Synthetic Shower Trays

RO - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 RO - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	68	82.1%	100	44.2%	99	61.1%	126	50.4%
Spain	12	13.8%	26	11.5%	7	4.3%	14	5.6%
Bulgaria	2	2.5%	5	2.2%	4	2.2%	8	3.2%
Poland	1	1.2%	3	1.3%	0	0.1%	1	0.4%
OTHERS	0	0.4%	92	40.7%	53	32.3%	101	40.4%
Total	83	100.0%	226	100.0%	163	100.0%	250	100.0%

Source : Trademap

1.6.2 RO - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Hungary	2	83.7%	4	66.7%	6	82.4%	13	81.3%
Moldova, Republic of	0	16.3%	2	33.3%	1	17.6%	3	18.8%
Total	2	100.0%	6	100.0%	7	100.0%	16	100.0%

Source : Trademap

1.6.3 RO - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Italy	55	44.8%	117	33.9%	97	57.4%	190	48.5%
China	38	30.9%	65	18.8%	42	24.7%	62	15.8%
Poland	11	9.3%	52	15.1%	1	0.8%	9	2.3%
Portugal	10	8.3%	15	4.3%	0	0.0%	0	0.0%
Germany	6	5.2%	32	9.3%	0	0.0%	33	8.4%
OTHERS	2	1.5%	64	18.6%	29	17.1%	98	25.0%
Total	123	100.0%	345	100.0%	170	100.0%	392	100.0%

Source : Trademap

1.6.4 RO - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Switzerland	0	62.9%	2	28.6%	0	0.0%	0	0.0%
Bulgaria	0	18.7%	1	14.3%	0	0.0%	0	0.0%
Ukraine	0	12.1%	1	14.3%	0	0.0%	0	0.0%
Austria	0	6.2%	3	42.9%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	1	0.0%	5	0.0%
Total	0	100.0%	7	100.0%	1	0.0%	5	0.0%

Source : Trademap

1.6.5 RO - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	5 122	80.2%	9 259	58.4%	4 650	78.0%	8 461	56.5%
Poland	508	7.9%	2 068	13.0%	582	9.8%	2 274	15.2%
Bulgaria	212	3.3%	896	5.6%	225	3.8%	945	6.3%
Spain	103	1.6%	548	3.5%	61	1.0%	377	2.5%
Turkey	80	1.2%	233	1.5%	97	1.6%	332	2.2%
Italy	79	1.2%	722	4.6%	91	1.5%	695	4.6%
OTHERS	285	4.5%	2 139	13.5%	253	4.2%	1 880	12.6%
Total	6 389	100.0%	15 865	100.0%	5 958	100.0%	14 964	100.0%

Source : Trademap

1.6.6 RO - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Italy	1 887	92.3%	6 148	82.8%	1 841	94.8%	6 324	88.4%
Moldova, Republic of	84	4.1%	363	4.9%	70	3.6%	264	3.7%
Germany	26	1.2%	314	4.2%	0	0.0%	1	0.0%
OTHERS	47	2.3%	600	8.1%	30	1.6%	564	7.9%
Total	2 044	100.0%	7 425	100.0%	1 942	100.0%	7 153	100.0%

Source : Trademap

1.7.1

Route to Market: Baths
RO - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

25.7%
Wholesalers / Merchants
25.7%

Retail Level

Manufacturer	Wholesaler
7.1%	1.5%
Internet Retailers	
8.6%	

Manufacturer	Wholesaler
48.8%	3.9%
DIY Retailers	
52.7%	

Manufacturer	Wholesaler
14.1%	4.4%
Specialist Retailers	
18.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.7%	11.9%	0.9%	10.5%	3.7%
Installers				
29.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.6%	3.7%	7.8%	42.1%	14.8%	28.6%
Residential					
98.6%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.3%	0.0%	0.0%	0.0%	1.1%
Non-Residential					
1.4%					

New Build		Residential RMI	
23.5%		75.1%	
Project	Non-Project	Project	Non-Project
4.2%	19.3%	1.7%	73.4%

New Build		Non-Residential RMI	
0.8%		0.6%	
Project	Non-Project	Project	Non-Project
0.7%	0.1%	0.5%	0.1%

1.7.2

Route to Market: Baths
RO - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

26.2%
Wholesalers / Merchants
26.2%

Retail Level

Manufacturer	Wholesaler
9.3%	2.3%
Internet Retailers	
11.5%	

Manufacturer	Wholesaler
47.4%	3.4%
DIY Retailers	
50.8%	

Manufacturer	Wholesaler
13.2%	4.1%
Specialist Retailers	
17.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.5%	12.5%	1.1%	10.1%	3.5%
Installers				
29.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.4%	3.5%	10.4%	40.7%	13.8%	28.5%
Residential					
98.4%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.4%	0.0%	0.0%	0.0%	1.2%
Non-Residential					
1.6%					

New Build		Residential RMI	
25.9%		72.5%	
Project	Non-Project	Project	Non-Project
5.2%	20.7%	1.6%	70.9%

New Build		Non-Residential RMI	
1.0%		0.6%	
Project	Non-Project	Project	Non-Project
0.8%	0.1%	0.6%	0.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.3 Route to Market - Consolidated View : Baths

RO - ESTIMATED DISTRIBUTION FOR BATHS : 2019

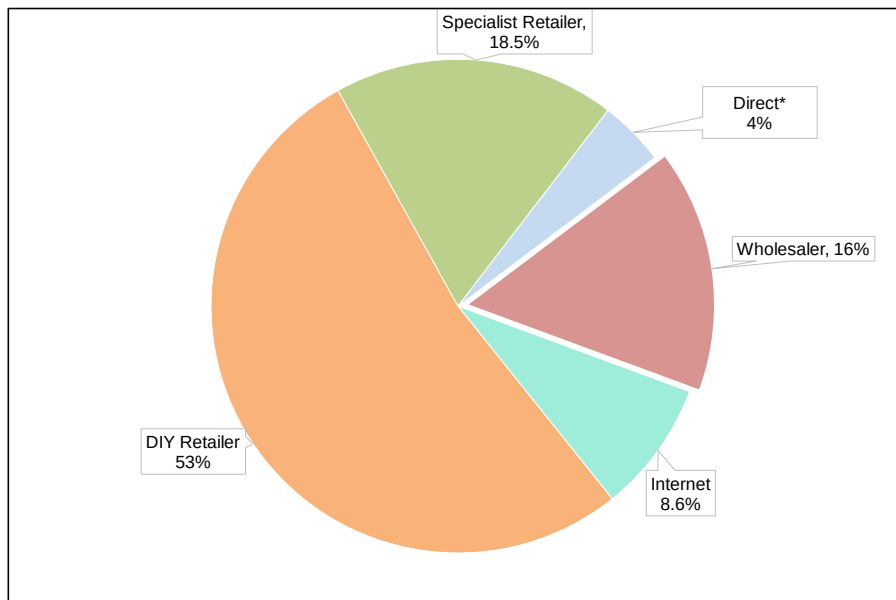
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.9%	8.6%	52.7%	18.5%	4.3%	5.9%	1.2%	92.7%	0.2%
100%					7.1%		92.9%	

1.7.4 Route to Market - Consolidated View : Baths

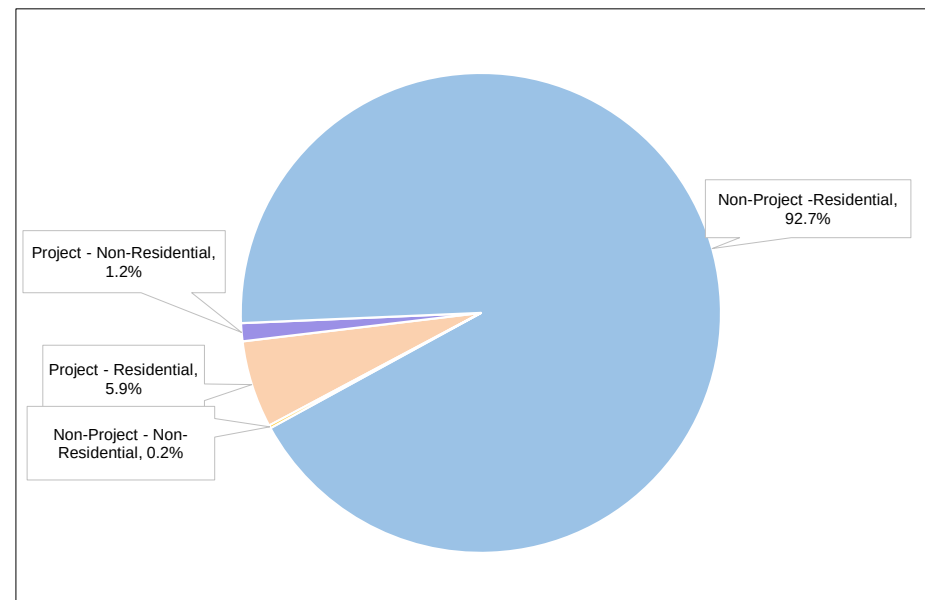
RO - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.4%	11.5%	50.8%	17.3%	3.9%	6.8%	1.4%	91.6%	0.2%
100%					8.2%		91.8%	

RO - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



RO - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5 Route to Market: Shower Trays
RO - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	40.9%
	Wholesalers / Merchants
	40.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	8.9%	2.2%	39.0%	2.3%	7.7%	13.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.1%		41.3%		21.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.1%	19.4%	1.1%	8.3%	4.3%
Installers				
35.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.4%	3.0%	10.0%	33.1%	17.1%	33.7%	0.0%	0.4%	0.0%	0.0%	0.0%	1.4%
	Residential						Non-Residential					
	98.2%						1.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	25.8%			72.5%			1.2%			0.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	4.6%		21.1%	1.6%		70.9%	1.0%		0.2%	0.5%		0.1%

1.7.6 Route to Market: Shower Trays
RO - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	41.2%
	Wholesalers / Merchants
	41.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	11.6%	3.3%	35.8%	1.2%	7.9%	14.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	14.9%		37.0%		22.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.8%	18.9%	1.5%	7.4%	4.4%
Installers				
34.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.7%	3.2%	13.4%	29.6%	17.6%	32.3%	0.0%	0.5%	0.0%	0.0%	0.0%	1.7%
	Residential						Non-Residential					
	97.8%						2.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	33.5%			64.3%			1.4%			0.7%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	6.0%		27.5%	1.4%		62.9%	1.2%		0.2%	0.6%		0.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

RO - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

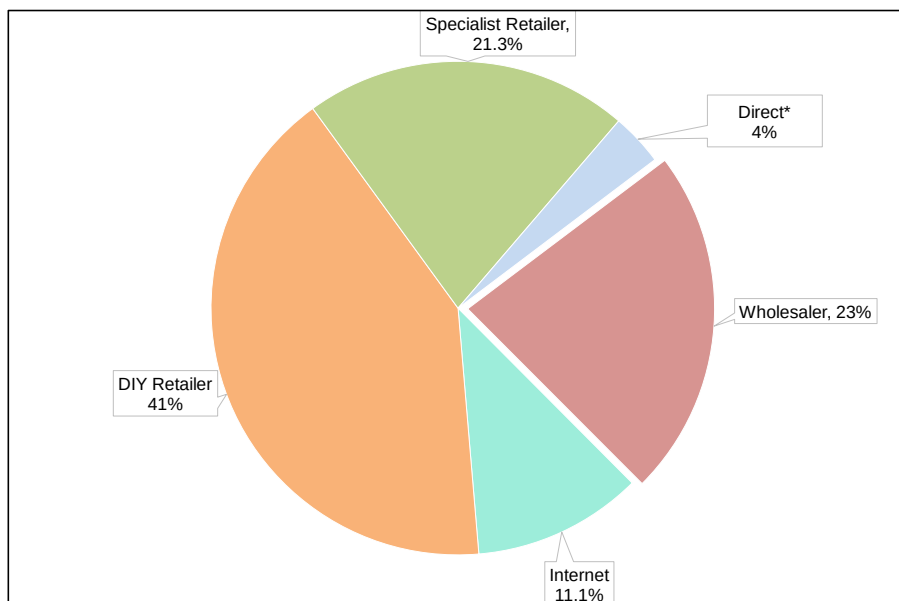
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.8%	11.1%	41.3%	21.3%	3.4%	6.2%	1.5%	92.0%	0.2%
100%					7.8%		92.2%	

1.7.8 Route to Market - Consolidated View : Shower Trays

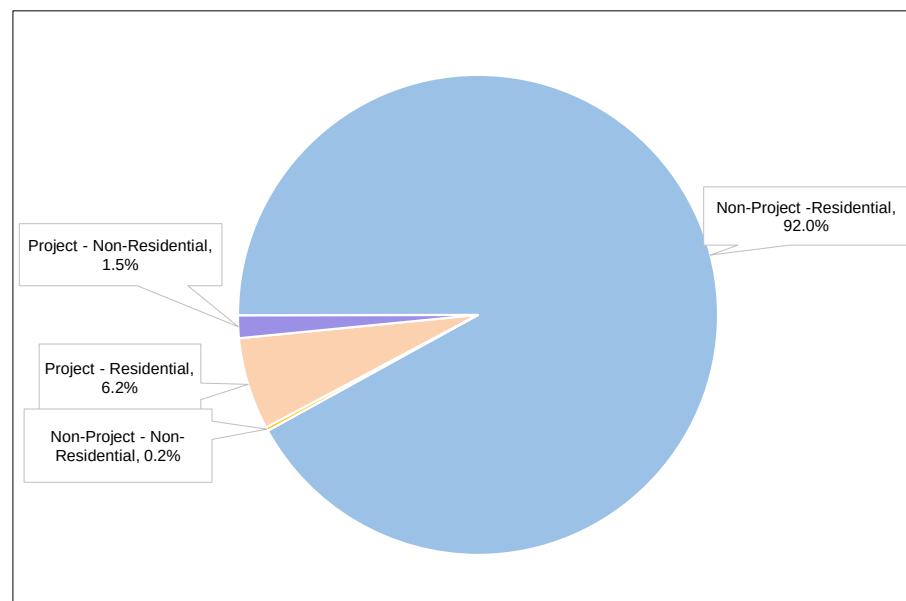
RO - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
22.6%	14.9%	37.1%	22.0%	3.5%	7.5%	1.9%	90.4%	0.3%
100%					9.3%		90.7%	

RO - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



RO - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



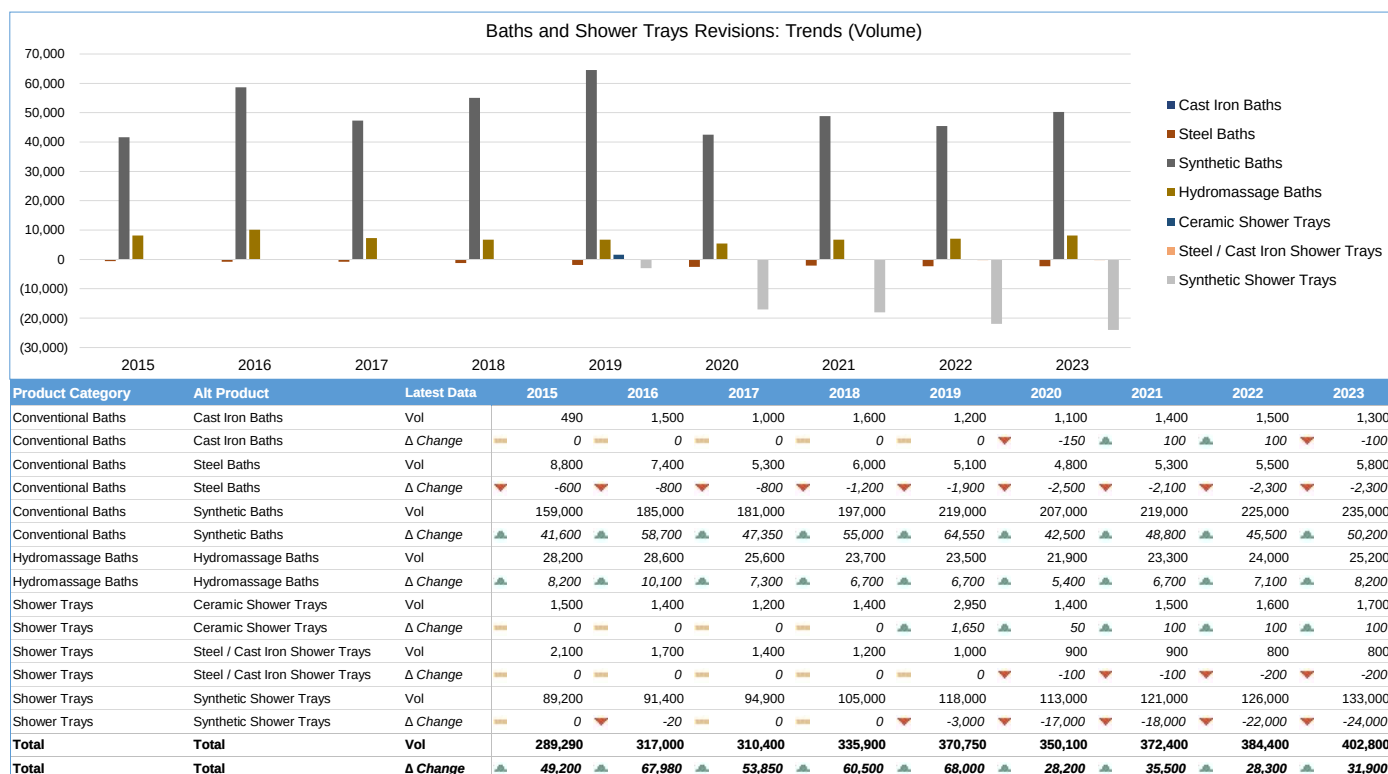
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Romanian Baths and Shower Trays Market (July 2020)

RO - REVISIONS IN THE ROMANIAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: July 2019



Minor revisions, largely based on revised manufacturer sales data, were made to the historical market sizes for cast iron and steel bath. Both material types were favoured historically but have fallen sharply over the last two decades. Steel baths, in particular, have continued to witness strong declines in demand, in turn due to preference for synthetic baths but also due to strong decrease in new housing completions, especially between 2009 and 2013. Steel baths have historically been fitted in new build projects, with new housing output declining by around 35% between 2009 and 2013, but even acrylic baths are now preferred here.

Market sizes were revised up for all other bath types, as well as synthetic shower trays, in turn due to rising imports. Historically, the Romanian market has been dominated by domestic supply, such as MART PLAST, BELFORM and WEST CO., but imports have gained importance considerably, especially on joining the European Union (EU) in 2007. Indeed, imports of synthetic products, including baths, from other European countries, such as Poland and Bulgaria, but also China have grown rapidly since the mid-2000s, from 2.7 tons in 2005 to 6.5 tons by 2019. Not all of these imports were previously accounted for and, therefore, considerable upward revisions were made to the market data. The market continues to be dominated by low priced products, but even imports of higher quality products, such as the ones imported from Germany, Italy and Spain are on the rise.

ROMANIA

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



2.1 Market Sector Overview : Sanitary Ware

To note: A major upward revision has been made to the market sizes for ceramic sanitary ware and, but to lesser extent, concealed plastic cisterns and non-ceramic washbasins. Please see table 2.8 for more details.

Market Characteristics and Product Mix

The Romanian sanitary ware market has been subject to major structural changes in the last 20 years. Prior to 1990s, the domestic ceramic sanitary ware (CSW) market was very much reliant on the demand deriving from the public sector. After 1990, as the state-sponsored construction declined, the private ownership of houses has exponentially grown. This factor coupled with the increase in level of disposable incomes, has gradually resulted in major investment in the renovation and maintenance works of existing dwellings. A corollary effect of such a trend has been linked to the shift of individuals finishing or renovating construction projects, moving from being previously solely initiated by the state (including installing and/or replacing the bathroom). The concurring nature of the above-mentioned trends have had a positive effect on the overall volumes of sales of sanitary ware.

The Romanian CSW market continued to grow steadily over 2000-2008, primarily driven by increasing RMI activity and a growing number of new completions, both in the residential and non-residential contexts. In fact, the continuous development of new build activity during this period also facilitated the growth in sales of ceramic sanitary ware. In terms of volumes, the overall market reached its high peak in 2008. The onset and the effects of the economic crisis have deeply affected the sanitary ware market as investments in the refurbishment activity and new housing output have been severely constrained. Moreover, as the unemployment rate grew significantly, also the propensity to invest in the renovation activity was negatively affected, resulting in a considerable contraction of sanitary ware products going to housing RMI in the late 2000s, with the market reaching a low in 2013, following five years of ups and downs. From 2014 onwards, sanitary ware sales began a growing trend, supported by a strong construction sector and an increase in private consumption, with many Romanian consumers increasing their spending on bathroom renovations.

The CSW market consists mostly of water closet (WC) sales, and is still dominated by floor standing WCs, followed by ceramic washbasins and washbasins/countertops. Moreover, pedestals and half pedestals continued to account for a relatively important share of the overall market for ceramic sanitary ware.

Sales of exposed plastic cisterns account for the great majority of all cisterns commercialised in Romania. The continuation of such a preference further corroborates the extent to which, despite the sanitary ware market being dominated by non-discretionary products, such a segment remained highly price driven, which translated into strong demand for relatively cheap exposed plastic cisterns, particularly from RMI housing. The market for concealed plastic cisterns is limited

by the small but growing market for wall hung WCs. The market penetration of the latter is expected to become more significant in the foreseeable future as the commercial market, which traditionally adopts the greatest proportion of wall hung WCs, has begun to fully recover. Within the category of other CSW, the market was historically dominated by sales of bidets, followed by (ceramic) cisterns and half pedestals. Bidet sales have grown over the past decade within the total sales of other CSW products. However, it has been noted that this trend has been propelled by the high influence that Italian manufacturers are exercising on the Romanian market, as it presents a potential for growth. Within the other CSW, sales of ceramic shower trays have also been marginal.

The increased market penetration of shower product variants has resulted in an expansion of the demand for synthetic shower trays in new build. Conversely, it is assumed that the bulk of sales of ceramic shower trays, therefore, is rather driven by the housing RMI segment and like-for-like type of replacement activity. Meanwhile, sales of urinals have been greatly driven by extensive investments in new and refurbishment projects within the non-residential markets namely retail, airports and leisure infrastructure. The trend of the last decade has been characterised by a significant rebound propelled by a double-digit degree of growth of the non-housing segment especially retail and hospitality type of buildings.

Recent Market Trends

Sales of CSW enjoyed another year of growth in 2019, as a result of the sharp increase in the number of dwelling completions and the rising demand from the RMI sector. RMI demand which is the main driver for the market remained strong as the Romanian economy continues to grow supported by European Union funds which have helped to create jobs and increased the disposable incomes of consumers. Non-housing demand also grew strongly in 2019 as many hotel renovations continued to take place. A notable characteristic of the sanitary ware market is the reduced penetration in the market by foreign players driven namely by the decrease in the value of the Romanian leu (RON) against the euro. There is an increasing number of unbranded CSW in the Romanian market coming mostly from China, India and Turkey which have gained share in 2019. These brands are often sold directly to contractors for projects but also to consumers targeting the economy and low-price segments.

Sales of WCs and washbasins have seen an acceleration of growth, compared to the previous year, in volume terms, with regards to the overall sanitary ware market. This reflects the move away from pedestals, which prevents the 'other CSW' sector to grow further and confirmed that Romanian consumers have increased the propensity to spend in ordinary and extraordinary repair of the existing residential as well as the acceleration of demand coming from the non-residential sector. A small increase in sales of concealed plastic cisterns was also observed in 2019. However, the number of wall hung WC's sold remains small as many of the concealed cisterns are installed with floor standing WCs due to the high costs of installation associated with wall hung WCs.

Prices and Market Values

In 2019, the average MSP (manufacturers' selling price) continued to increase in local currency terms, as a result of the devaluation of the leu against the euro and the changes in product mix with more expensive products gaining market share. The average MSP (manufacturer's selling price) increased across all product segments, apart from that of exposed plastic cisterns, where most manufacturers lowered their prices or kept them stable, in order to gain market share in a very competitive market. Growing disposable incomes also encouraged manufacturers to increase slightly the average MSPs of sanitary ware products which are usually sold to housing RMI, further increasing the dynamism in a segment which is traditionally characterised by a rather price-sensitive purchasing approach.

New Housing

The positive development of the delivery of large-scale projects in 2019 confirmed the extensive investment and continuation of the Romanian construction market, with an increase seen in both apartment and house completions, which resulted in an increased number of CSW going to the new housing segment.

The main source of demand of sales for WCs from new housing lies within floor standing models which, in turn, benefited the sales for exposed plastic cisterns. However, there is also an increasing number of concealed cisterns installed with floor standing WCs in new housing and therefore sales will grow as dwelling completions increase. As for the washbasins and other CSW sectors, the main trend is the increasing share of countertop washbasins as the number of pedestals and pedestal washbasins decline, a trend that continued in 2019.

Housing RMI

The RMI sector remains the major source of the overall sales of sanitary ware products in 2019, further corroborating the extent of maturity reached by the Romanian market for sanitary ware products. Demand from the RMI sector continues to rise but the growth has slowed down in 2019 after several years of strong growth as demand is reaching volumes close to the ones seen in 2008. It is worth mentioning that sales of affordable exposed plastic cisterns and unbranded CSW represent the largest proportion of overall sales of sanitary ware products to the housing RMI sector. To this extent, most affordable imports sold to housing RMI in 2019 came from China, India, Turkey, Egypt and Bulgaria.

Non-Housing

In 2019, demand from the non-housing sector experienced a strong increase, primarily linked to the many renovations of hotels that took place. The growing number of renovation works of non-residential sites, coupled with a constant growth for the retail sector and the office segment have benefited to a limited extent the demand for sanitary ware in non-housing types of application. Moreover, sales of

WCs continued to account for the largest portion of overall sales, with a high share of floor standing models installed with exposed plastic cisterns. The degree of expansion of the sales of sanitary ware products to non-housing should increase in the foreseeable future due to a high rate of absorption of available space within the non-residential construction market in Romania and the increased relevance of the deviation from “Bucharest first, other cities later” when it comes to develop new retail and business spaces. However, as the growth rate of the market is strongly linked to the stability and predictability of the business environment, it is likely that it will grow at an accelerated pace should investors regain trust in the Romanian economy.

Supply Structure

The Romanian market for sanitary ware products has remained relatively stable in terms of supply structure. The local brand CERSANIT, now part of the Polish conglomerate the ROVESE GROUP, continued to dominate the Romanian market. Another notable player is ROCA with its brands ROCA and GALA. The local brand MONDIAL, controlled by VILLEROY & BOCH experienced a strong decline in sales in 2019. IDEAL STANDARD and GEBERIT were the other key companies in this market. The remaining portion of the market remains rather fragmented and characterised by the presence of multiple manufacturers, including the Turkish manufacturer brands VITRA and SEREL, the GOBE brand from domestic distributor MELINDA IMPEX and SANOTECHNIK.

The plastic cistern market remained heavily reliant on imports. The standard product under the previous regime was apparently the high-level cast iron cistern, but this pattern has seen a considerable transformation. The historical leading position of GEBERIT (GEBERIT) remained unchanged within the exposed plastic cistern market, followed by FLUIDMASTER LIV (imported and distributed by BLACK SEA SUPPLIERS, MAGDOLNA IMPEX, INSTAL IMPEX and REGATA), and the Italian CR (CR). The market for exposed plastic cisterns is comparatively less fragmented as the combined sales of these three manufacturers accounted for over four-fifths of the total sales, with CR (CR) leading the rank in terms of sales.

Imports of plastic cisterns in 2019 came from Bulgaria, Slovenia (FLUIDMASTER), Germany (GROHE and unbranded products imported by DIY chains), and Italy (CR, KARIBA, OLIVEIRA & IRMAO and VALSIR). Meanwhile, the exports of such product variants, namely of plastic cisterns, went mainly to France and Italy (estimated to be CR exports, as well as re-exports by ROMSTAL, present with a retail space in Italy).

Forecasts

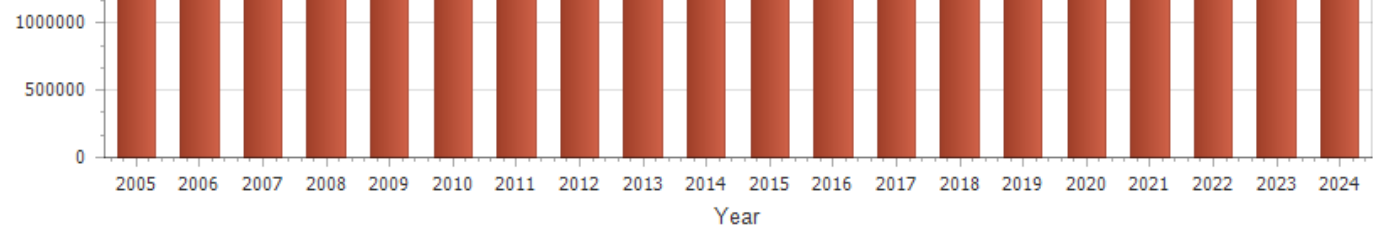
Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has endeavoured to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The construction industry in Romania remained relatively unaffected and managed to continue working during the lockdown period. This should enable dwelling completions to experience only a minor decline in 2020. The same is true for non-residential construction, although a sharper decline in demand for sanitary ware from this sector is forecast. As for RMI demand, this should be the end use sector which should experience the sharpest decline in demand in 2020 as many consumers are going to avoid committing to any large spending this year given the uncertainty surrounding the COVID-19 pandemic and its effects on the global economy.

The decline in sales expected in 2020 should recover quickly over the forecast period with the sanitary ware market anticipated to return to growth in 2021, albeit with volumes slightly less than those in 2019. The market is expected to be primarily driven by replacement sales although strong demand from new build is also expected. The economy is expected to recover in time, however, government policies ranging from the minimum wage hike to the increases in state wages, coupled with the tightening of the labour market are expected to impact the wage dynamics in the forecast period. Sales should continue to increase over the forecast period with BRG expecting the volumes of sanitary ware sold in Romania by 2024 to surpass the peak seen in 2008.

A closer look at the evolution of demand for sanitary ware in the short term confirms an expansion of product category dynamics, with WCs estimated to account for over one-third of the market, followed by exposed plastic cisterns and washbasins. Moreover, no major change is expected to occur at the level of product mix within the 'Other CSW' category in the foreseeable future, as the share of bidets, sinks and urinals should follow the historical trend of growth. To this extent, the growth of the former should erode the combined sales volume of pedestals and half pedestals as they reduce their relevance in the 'Other' CSW product mix. Furthermore, strong demand for the cisterns should continue to be stimulated by significant sales of ceramic floor standing WCs. The further expansion of demand coming from the non-housing segment also forecasts a moderate increase in sales of ceramic shower trays resulting from an increased number of high-end non-residential investments.

Although the sanitary ware market is likely to witness a sustained momentum throughout the forecast period, in general terms, coherence of economic policy and evolution of wage growth, coupled with an increasing number of dwellings expected to be completed in the years to come, should all be contributing factors which benefit sales of sanitary ware in the medium term. Due to growing demand, the level of competition among foreign and domestic manufacturers, as well as distributors, is likely to increase. Moreover, non-housing demand will likely benefit the performance of manufacturers of high-end products. However, given the maturity of the Romanian market, the main driver should remain the demand for current and extraordinary repair of the existing residential dwelling stock.

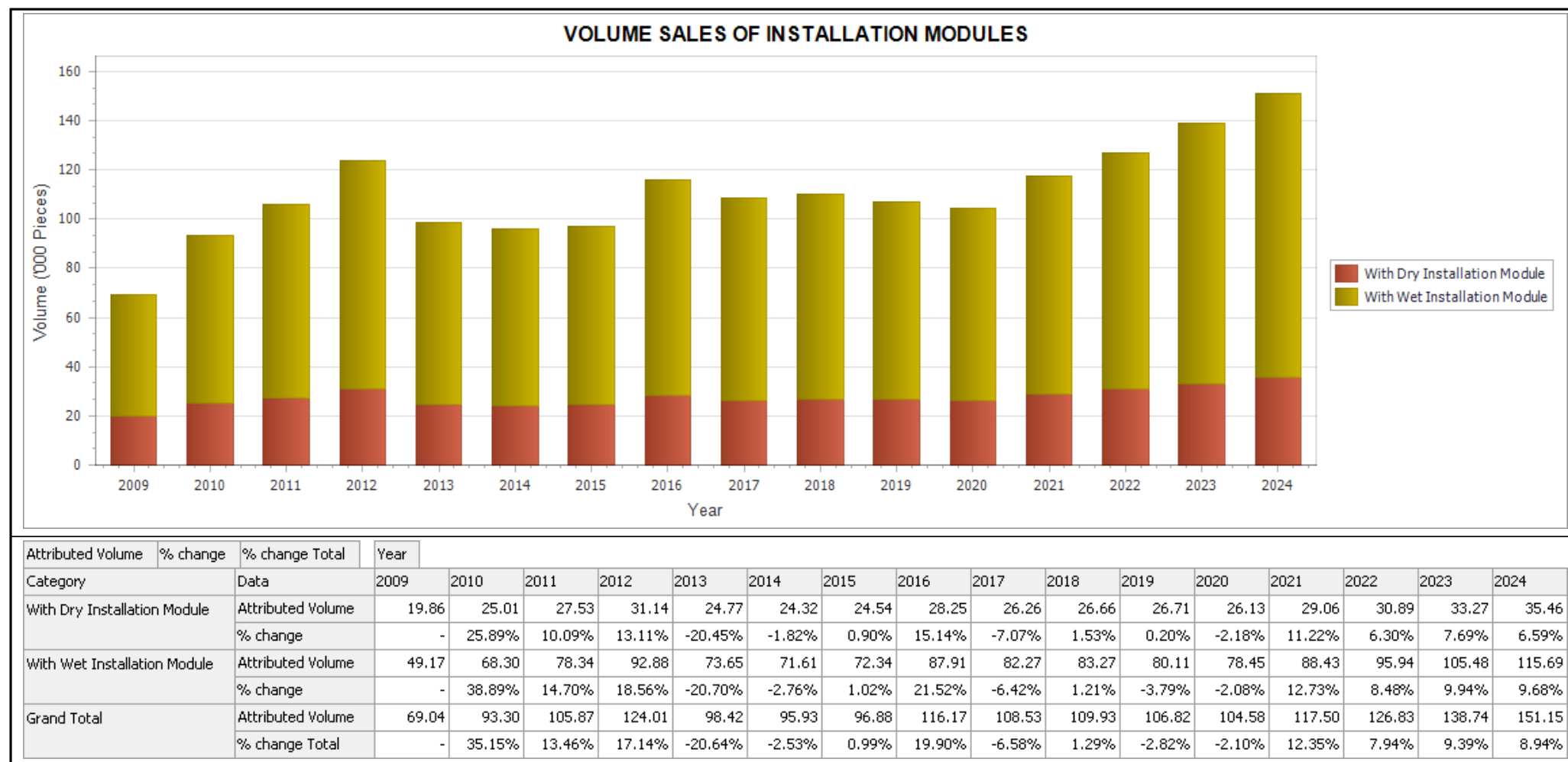


Trends	% change	% change Total	Year																			
Product Category	Product	Data	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Ceramic Sanitary Ware		Trends	1 267 000	1 528 000	1 846 000	2 218 000	1 458 000	1 458 000	1 511 000	1 483 000	1 378 000	1 433 000	1 539 000	1 639 000	1 818 000	1 918 000	2 014 000	1 852 000	1 995 000	2 079 000	2 185 000	2 257 000
		% change	-	20.60%	20.81%	20.15%	-34.27%	0.00%	3.64%	-1.85%	-7.08%	3.99%	7.40%	6.50%	10.92%	5.50%	5.01%	-6.04%	7.72%	4.21%	5.10%	3.30%
Non Ceramic Sanitary Ware	Concealed Plastic Cisterns / Tanks	Trends	72 000	84 000	145 000	123 000	85 000	108 000	120 000	137 000	110 000	109 000	111 000	129 000	121 000	124 000	126 000	125 000	141 000	152 000	166 000	180 000
		% change	-	16.67%	72.62%	-15.17%	-30.89%	27.06%	11.11%	14.17%	-19.71%	-0.91%	1.83%	16.22%	-6.20%	2.48%	1.61%	-0.79%	12.80%	7.80%	9.21%	8.43%
	Exposed Plastic Cisterns / Tanks	Trends	728 000	817 000	926 000	1 163 000	820 000	825 000	880 000	928 000	760 000	766 000	791 000	880 000	885 000	893 000	906 000	822 000	870 000	897 000	932 000	966 000
		% change	-	12.23%	13.34%	25.59%	-29.49%	0.61%	6.67%	5.45%	-18.10%	0.79%	3.26%	11.25%	0.57%	0.90%	1.46%	-9.27%	5.84%	3.10%	3.90%	3.65%
	Non Ceramic Washbasins / Bathroom Sinks	Trends	59 000	69 000	74 000	101 000	76 000	104 000	97 000	101 000	96 000	122 000	111 000	134 000	123 000	135 000	145 000	137 000	163 000	179 000	194 000	209 000
		% change	-	16.95%	7.25%	36.49%	-24.75%	36.84%	-6.73%	4.12%	-4.95%	27.08%	-9.02%	20.72%	-8.21%	9.76%	7.41%	-5.52%	18.98%	9.82%	8.38%	7.73%
Grand Total		Trends	2 126 000	2 498 000	2 991 000	3 605 000	2 439 000	2 495 000	2 608 000	2 649 000	2 344 000	2 430 000	2 552 000	2 782 000	2 947 000	3 070 000	3 191 000	2 936 000	3 169 000	3 307 000	3 477 000	3 612 000
		% change Total	-	17.50%	19.74%	20.53%	-32.34%	2.30%	4.53%	1.57%	-11.51%	3.67%	5.02%	9.01%	5.93%	4.17%	3.94%	-7.99%	7.94%	4.35%	5.14%	3.88%

Source: BRG based on industry interviews.

2.2.2 Historical Trend and Forecasts: Installation Mod.

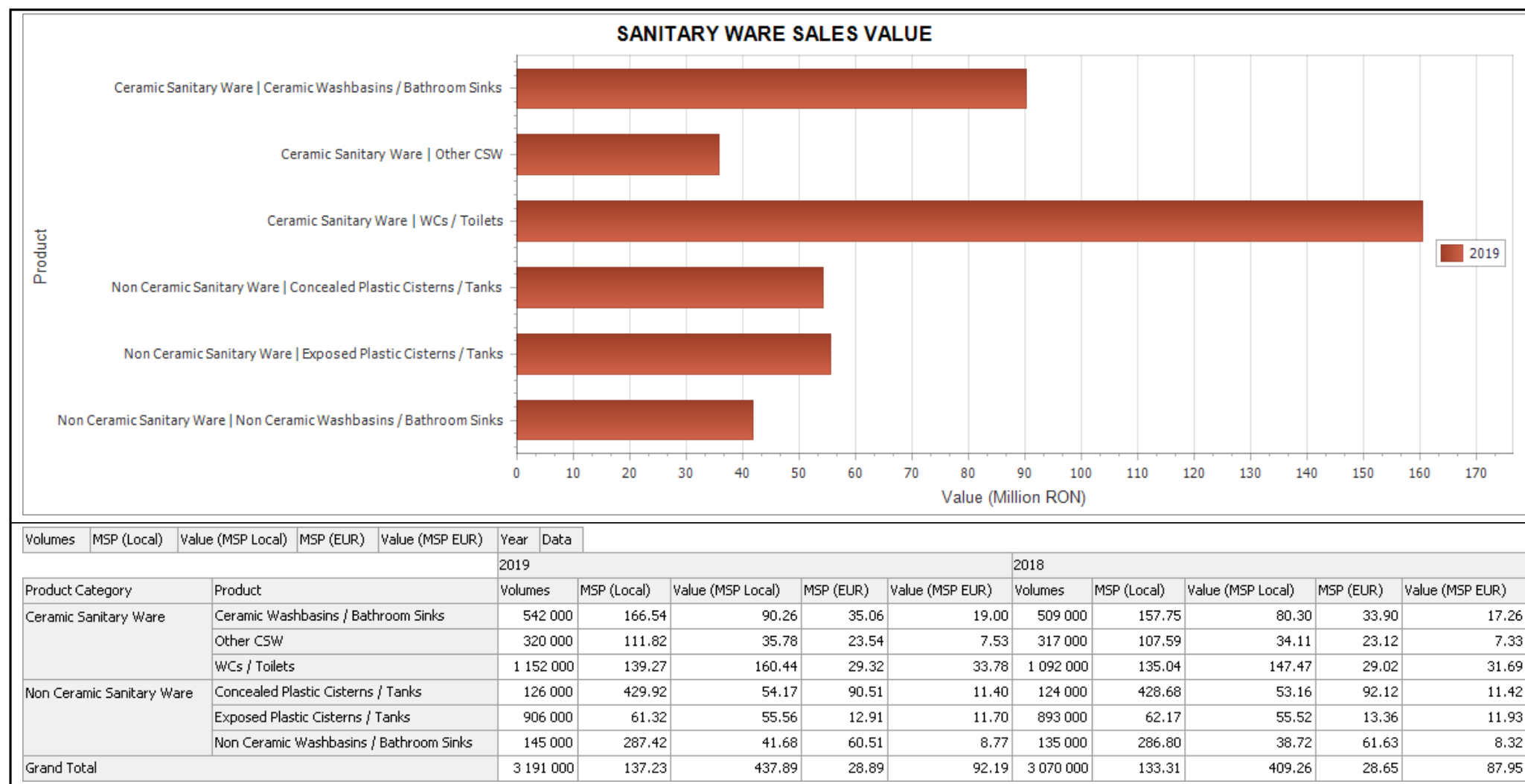
RO - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

RO - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices Shown in RON. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.2 Prices and Market Values by Type : CSW

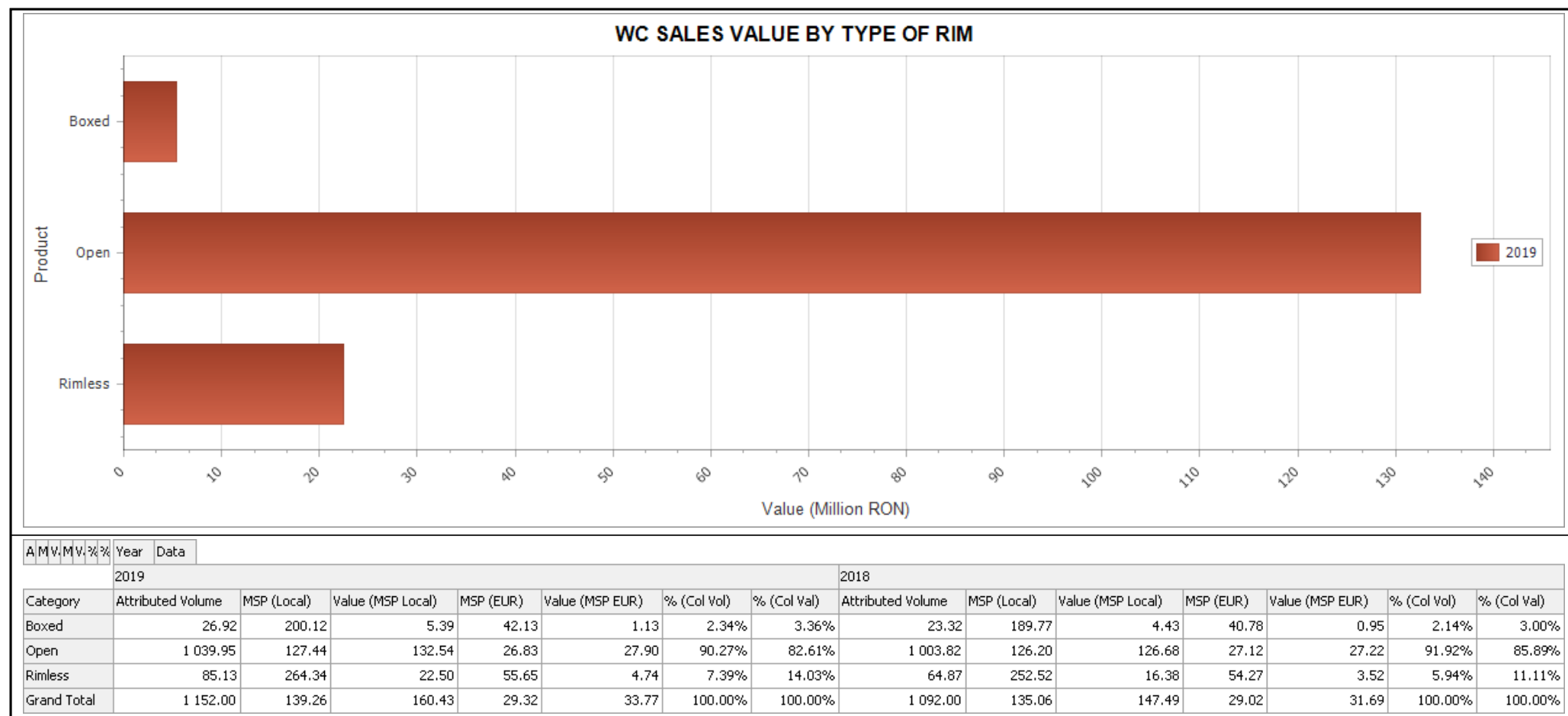
RO - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Val)	Year	Data								
2019									2018							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	163.76	30.21%	209.00	34.23	44.00	7.21	37.91%	149.35	29.34%	197.01	29.42	42.34	6.32	36.64%	
	Hand Washbasins	99.62	18.38%	81.01	8.07	17.06	1.70	8.94%	93.35	18.34%	75.08	7.01	16.14	1.51	8.73%	
	Inset Washbasins	28.26	5.21%	178.41	5.04	37.56	1.06	5.59%	25.35	4.98%	158.01	4.01	33.96	0.86	4.99%	
	Pedestal Washbasins	46.88	8.65%	170.31	7.98	35.86	1.68	8.85%	50.70	9.96%	164.99	8.36	35.46	1.80	10.42%	
	Semi-Recessed Washbasins	16.80	3.10%	287.51	4.83	60.53	1.02	5.35%	15.32	3.01%	287.01	4.40	61.68	0.94	5.48%	
	Undermount Washbasins	3.98	0.73%	291.41	1.16	61.35	0.24	1.28%	3.69	0.72%	291.00	1.07	62.53	0.23	1.34%	
	Wall Hung Washbasins	182.70	33.71%	158.51	28.96	33.37	6.10	32.08%	171.25	33.64%	152.00	26.03	32.66	5.59	32.42%	
Other CSW	Bidets	77.12	24.10%	192.35	14.83	40.50	3.12	41.46%	73.86	23.30%	186.02	13.74	39.97	2.95	40.28%	
	Close-Coupled Cisterns	158.02	49.38%	73.92	11.68	15.56	2.46	32.65%	153.26	48.35%	71.01	10.88	15.26	2.34	31.91%	
	Others	2.66	0.83%	76.01	0.20	16.00	0.04	0.56%	2.44	0.77%	74.99	0.18	16.11	0.04	0.54%	
	Pedestals & Half Pedestals	48.77	15.24%	118.88	5.80	25.03	1.22	16.20%	53.57	16.90%	114.18	6.12	24.54	1.31	17.93%	
	Shower Trays	1.50	0.47%	188.34	0.28	39.65	0.06	0.79%	1.40	0.44%	187.62	0.26	40.32	0.06	0.77%	
WCs / Toilets	Urinals	31.94	9.98%	93.37	2.98	19.66	0.63	8.33%	32.47	10.24%	90.09	2.92	19.36	0.63	8.58%	
	Close-Coupled WC Bowls	139.39	12.10%	145.47	20.28	30.63	4.27	12.64%	136.33	12.48%	139.40	19.00	29.96	4.08	12.88%	
	Floor Standing WC Bowls	864.40	75.03%	128.68	111.23	27.09	23.42	69.33%	803.01	73.54%	124.83	100.24	26.83	21.54	67.96%	
	Wall Hung WC Bowls	148.21	12.87%	195.17	28.93	41.09	6.09	18.03%	152.66	13.98%	185.08	28.26	39.77	6.07	19.16%	
Grand Total		2 014.01	100.00%	142.24	286.48	29.95	60.31	100.00%	1 918.01	100.00%	136.55	261.91	29.34	56.28	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in RON. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

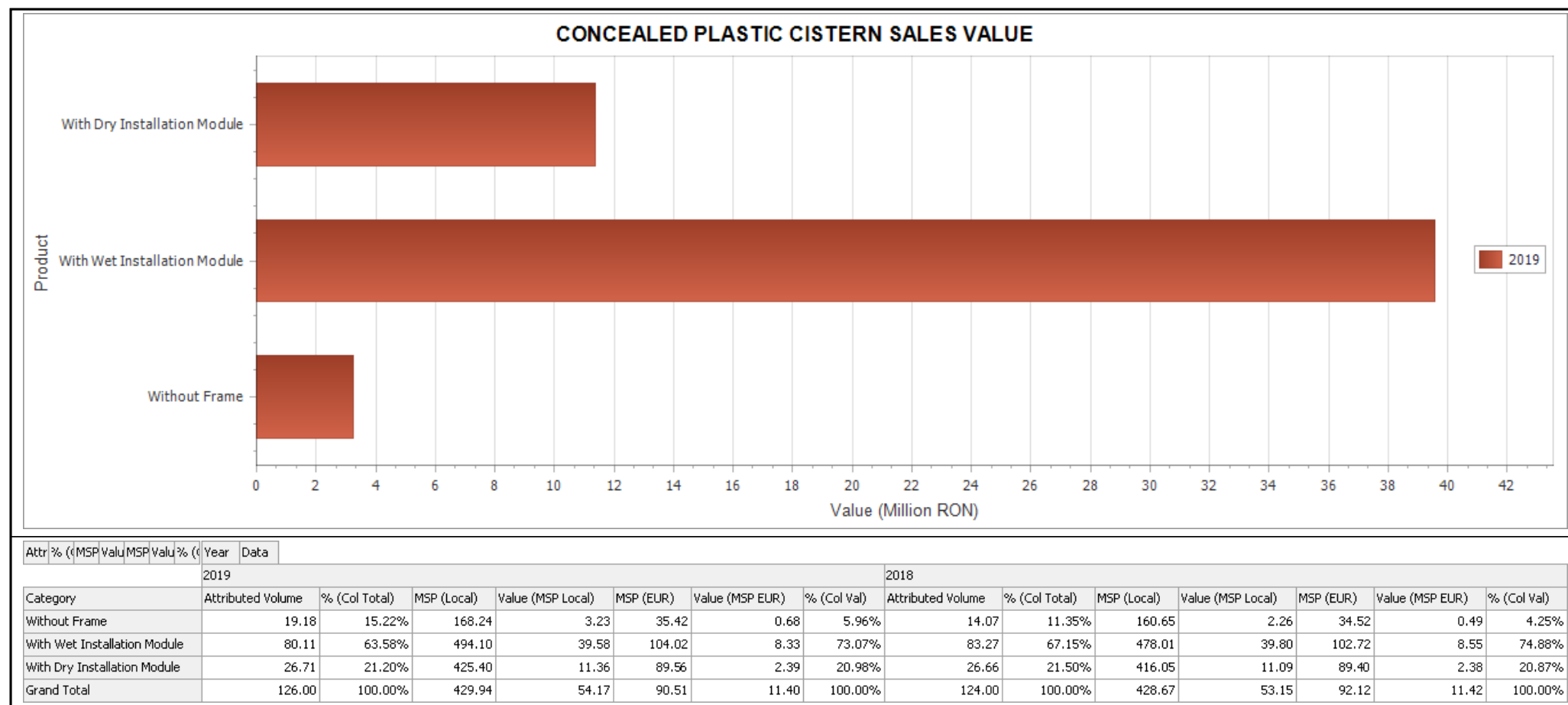
RO - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in RON. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

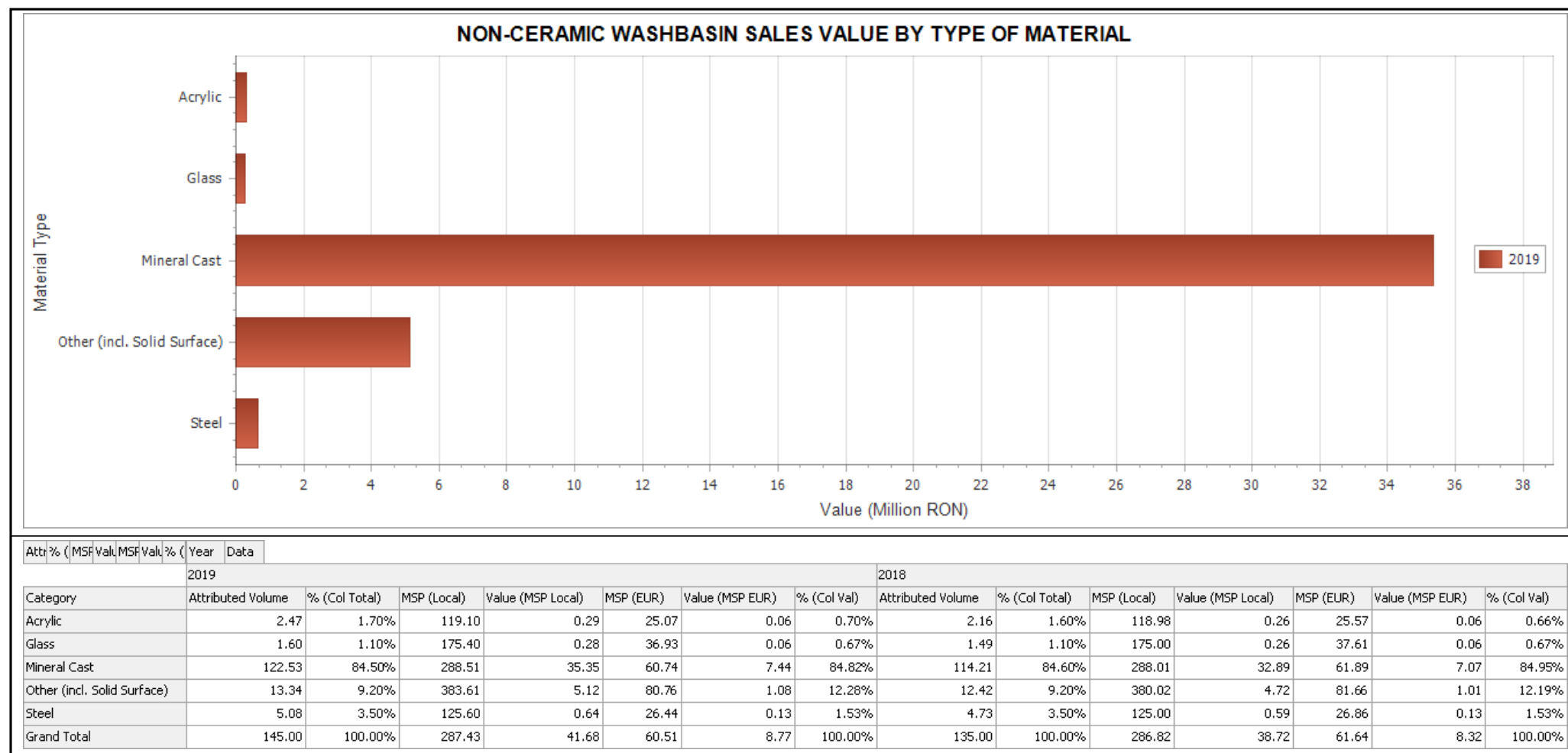
RO - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in RON. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

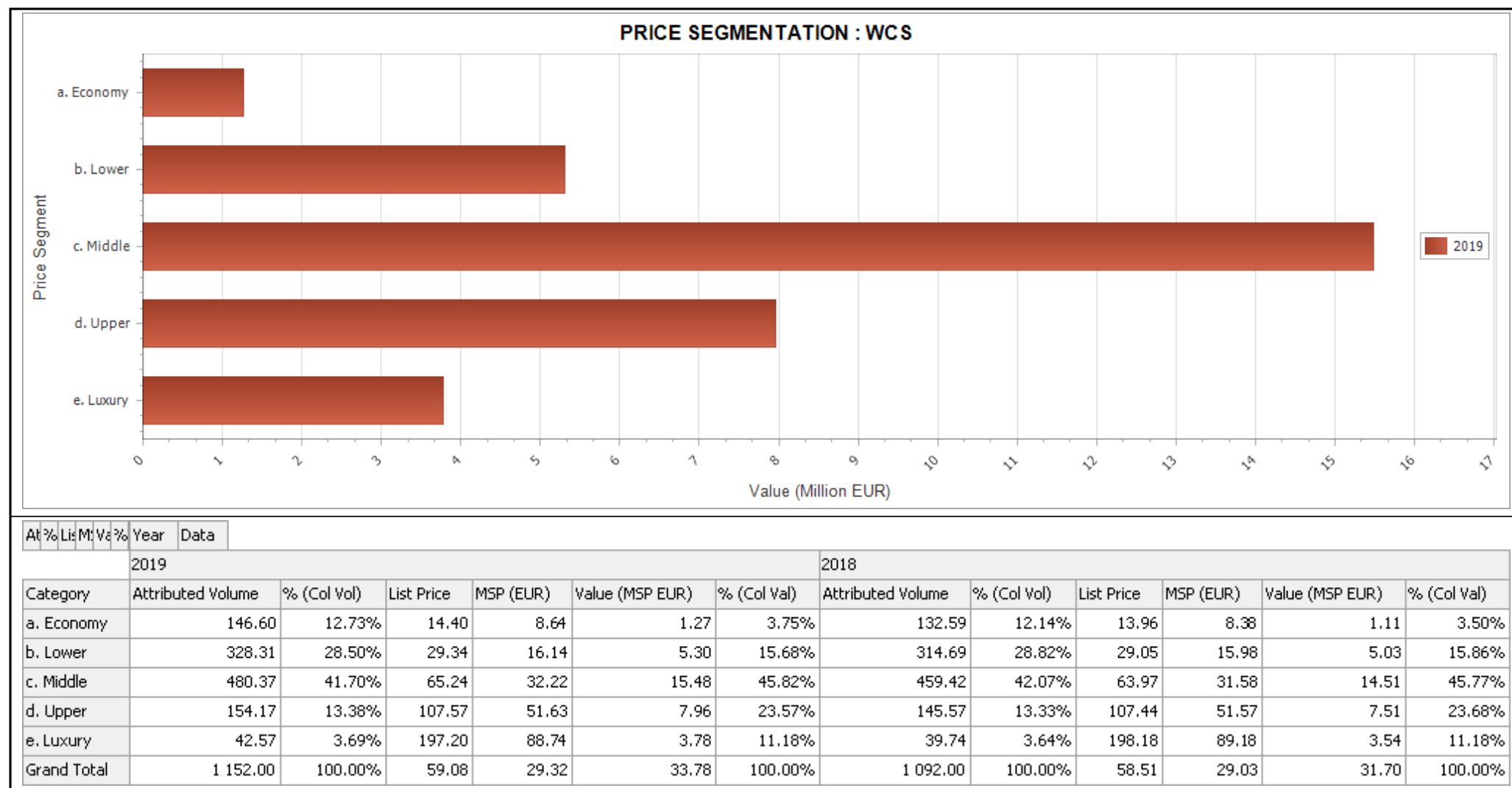
RO - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Local Prices Shown in RON. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

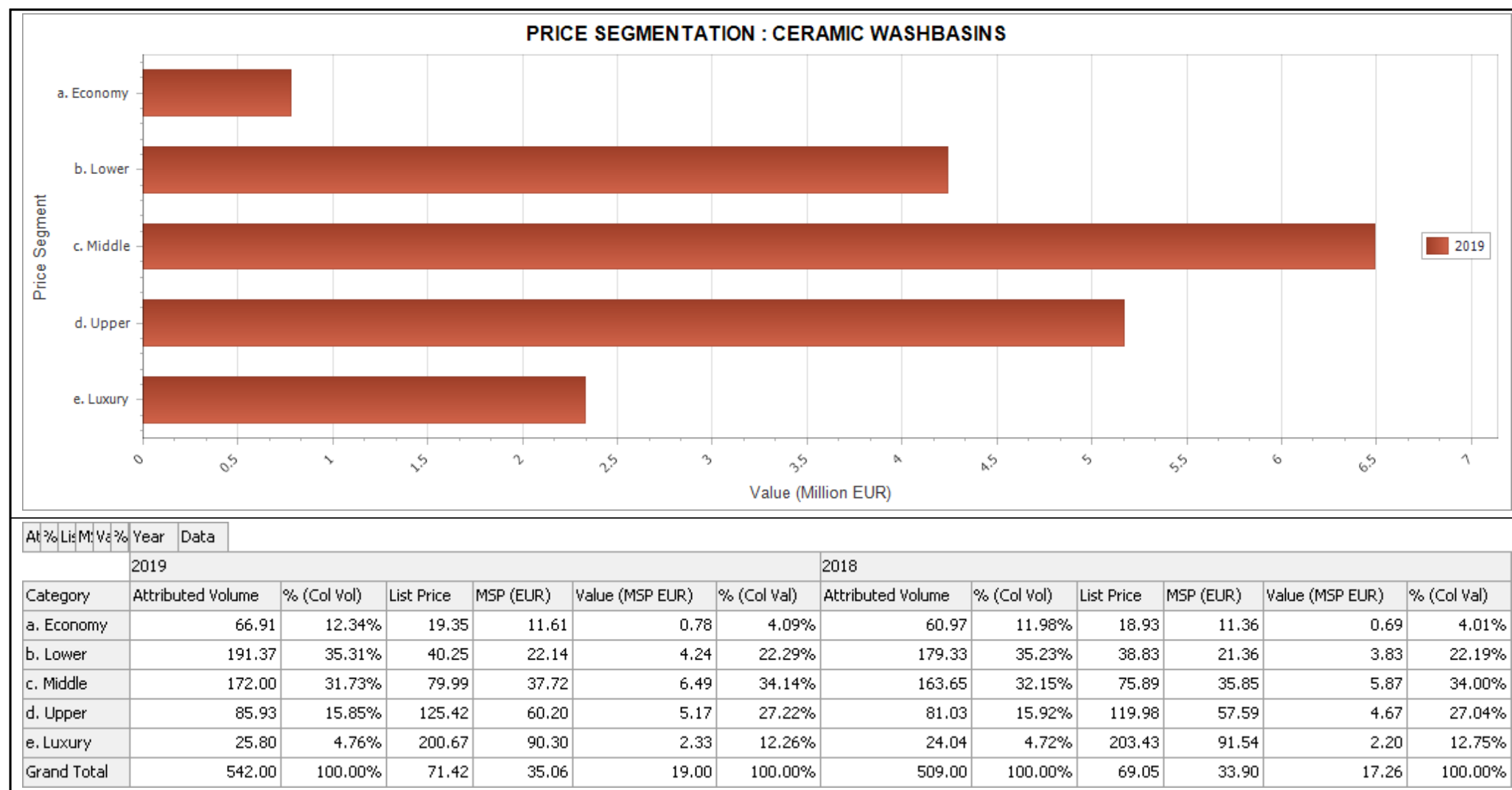
RO - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€10, Lower €10-€20, Middle €20-€40, Upper >€40-€60, Luxury >€60

2.3.7 Price Segmentation : Ceramic Washbasins

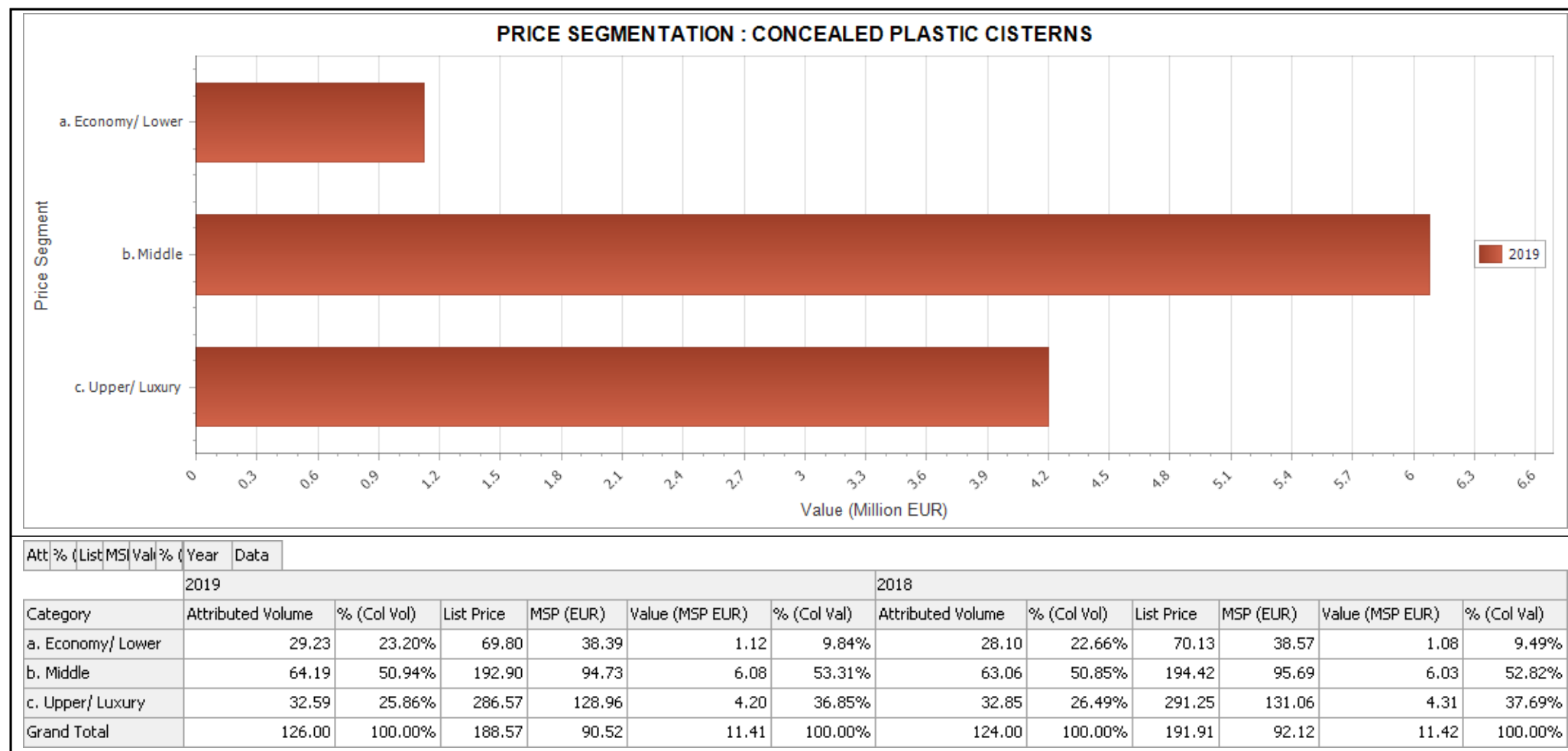
RO - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€30, Middle €30-€50, Upper >€50-€70, Luxury >€70

2.3.8 Price Segmentation : Concealed Plastic Cisterns

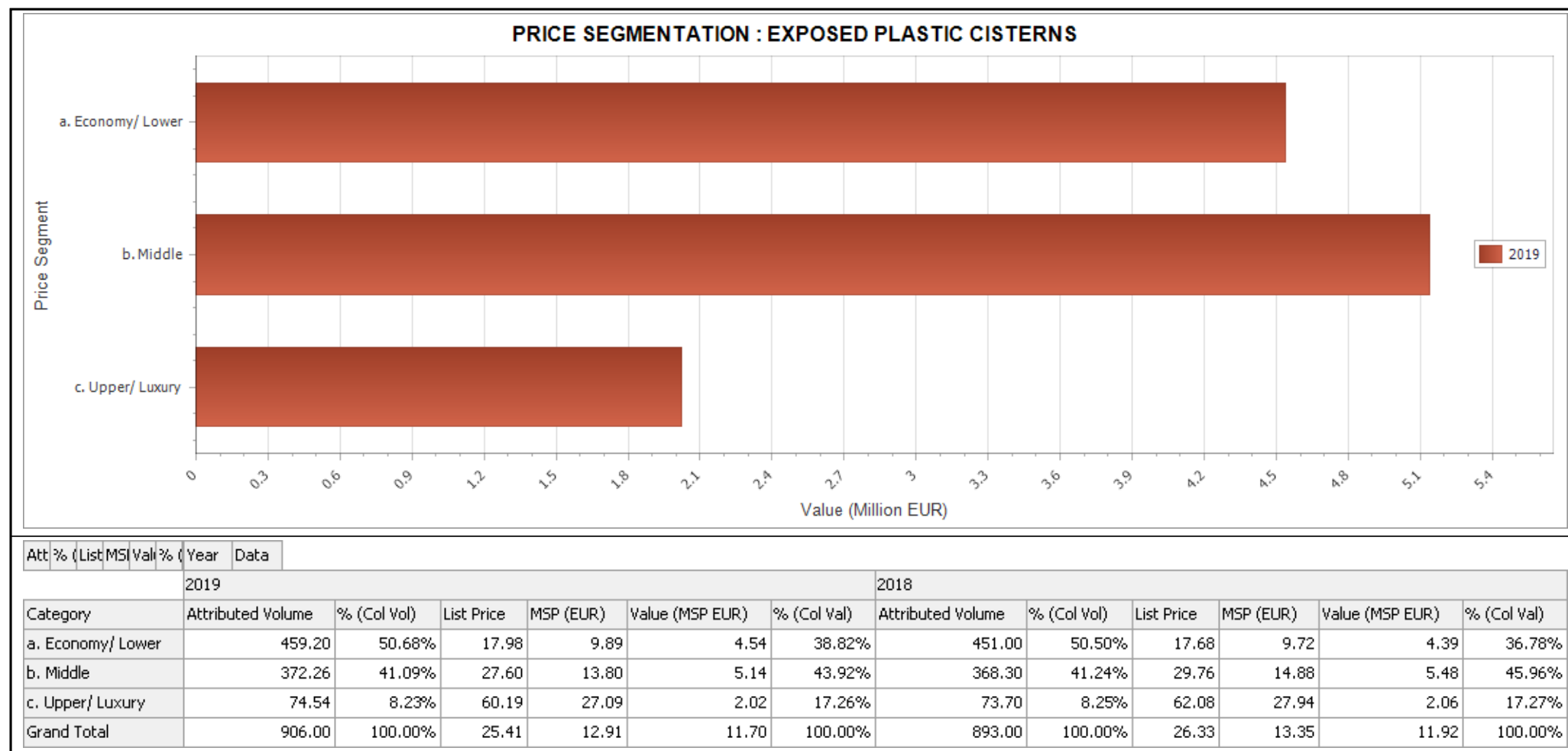
RO - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

2.3.9 Price Segmentation : Exposed Plastic Cisterns

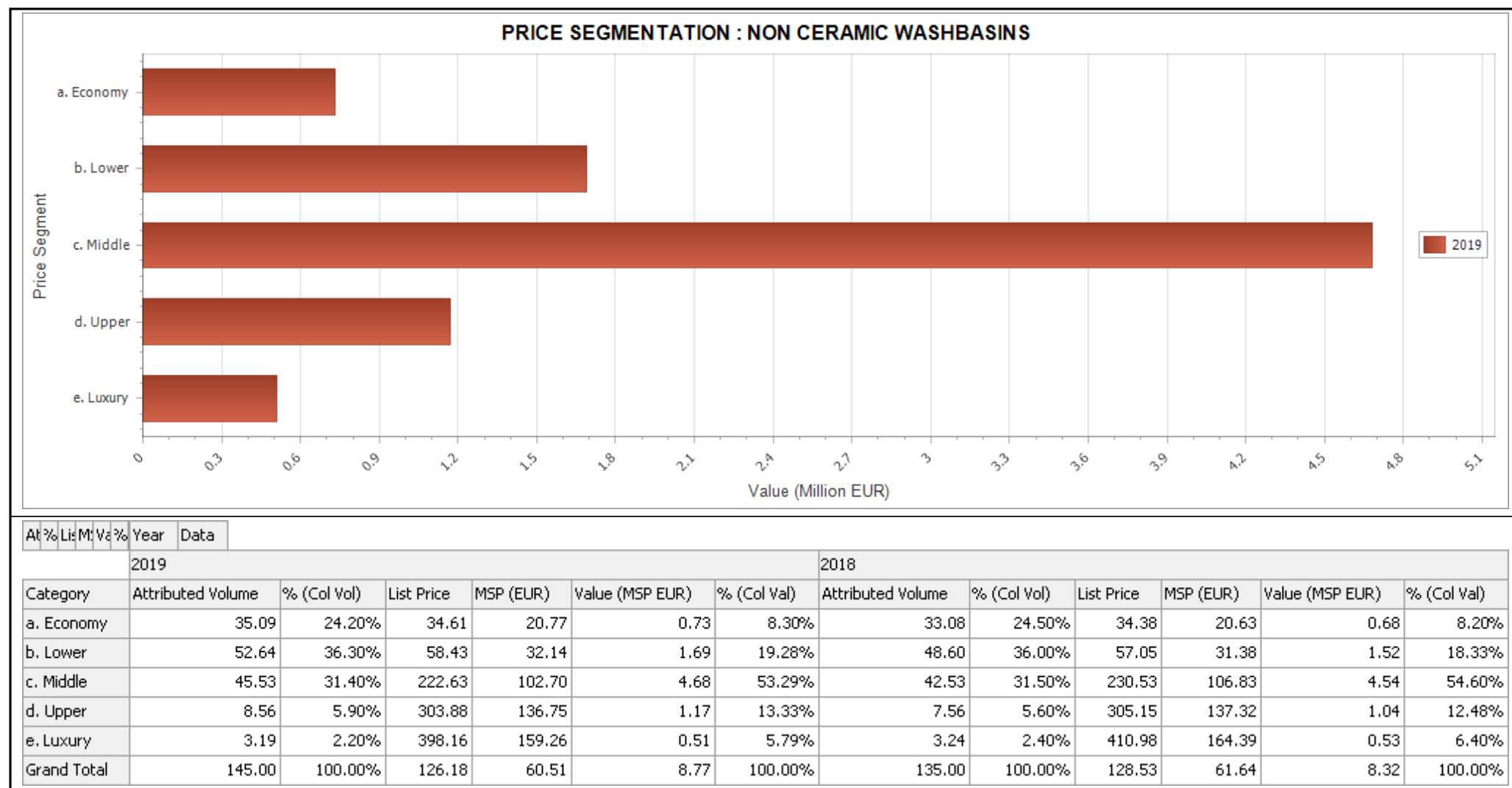
RO - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

2.3.10 Price Segmentation : Non Ceramic Washbasins

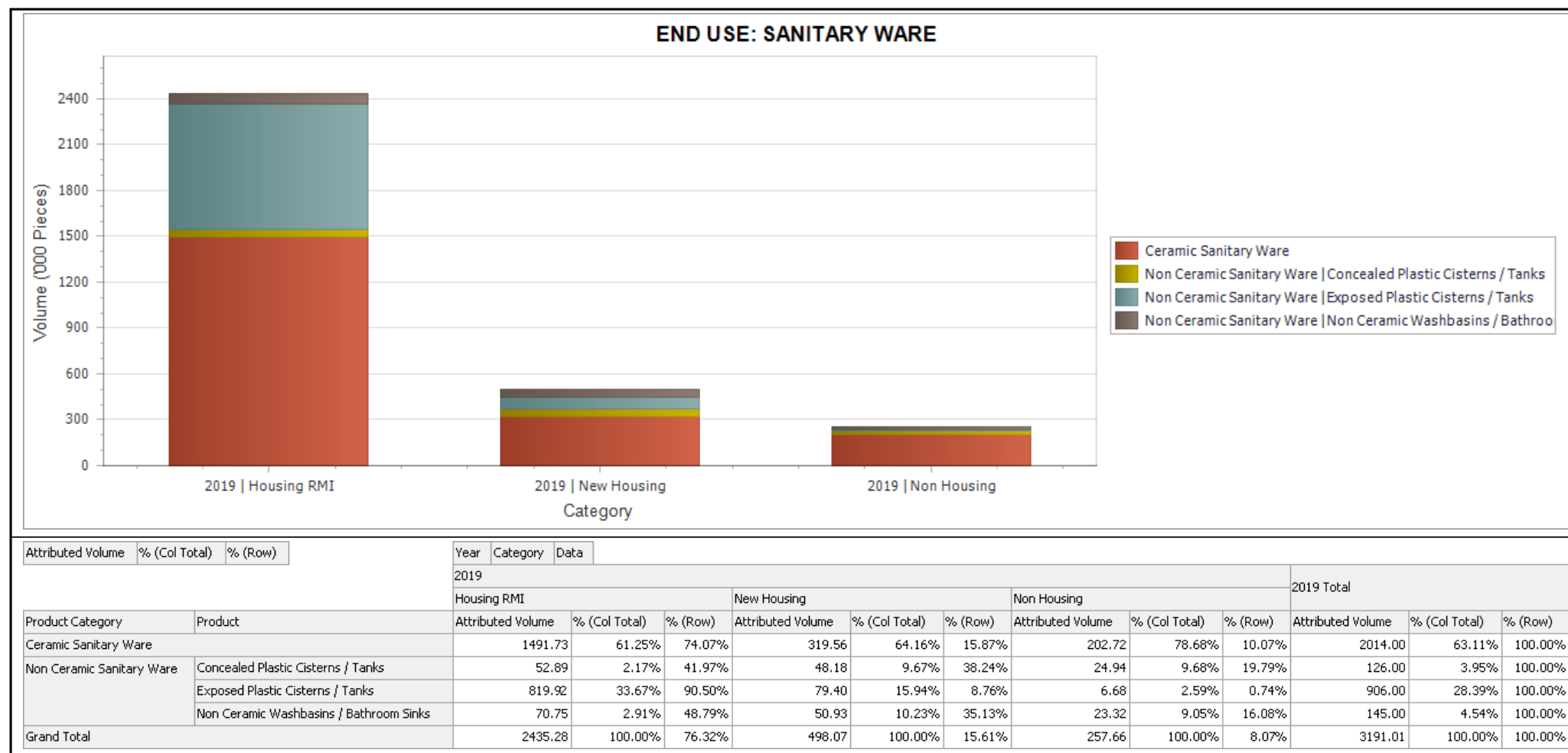
RO - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€30, Lower €30-€70, Middle €70-€120, Upper >€120-€150, Luxury >€150

2.4.1 End Use : Base Year

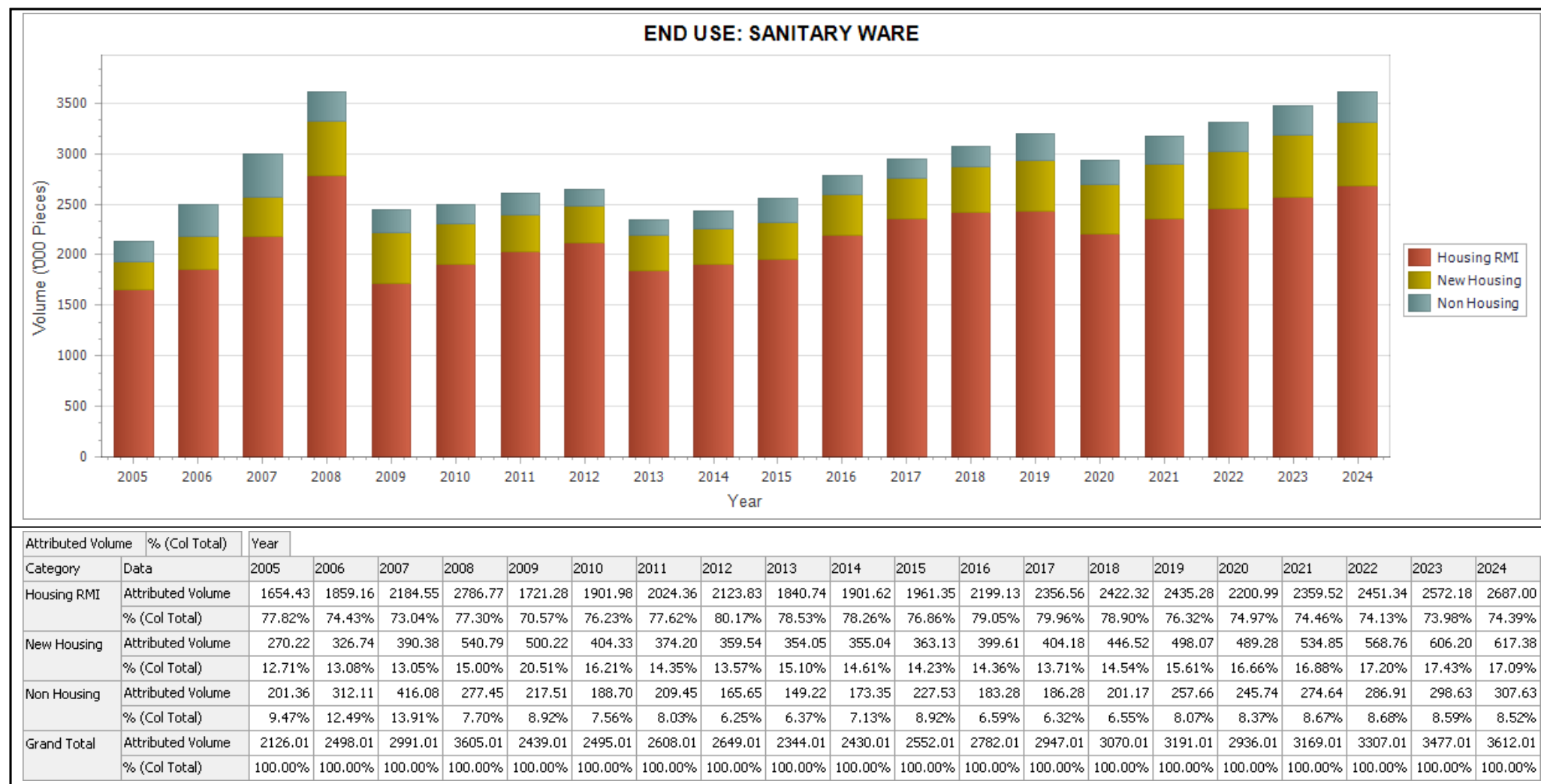
RO - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

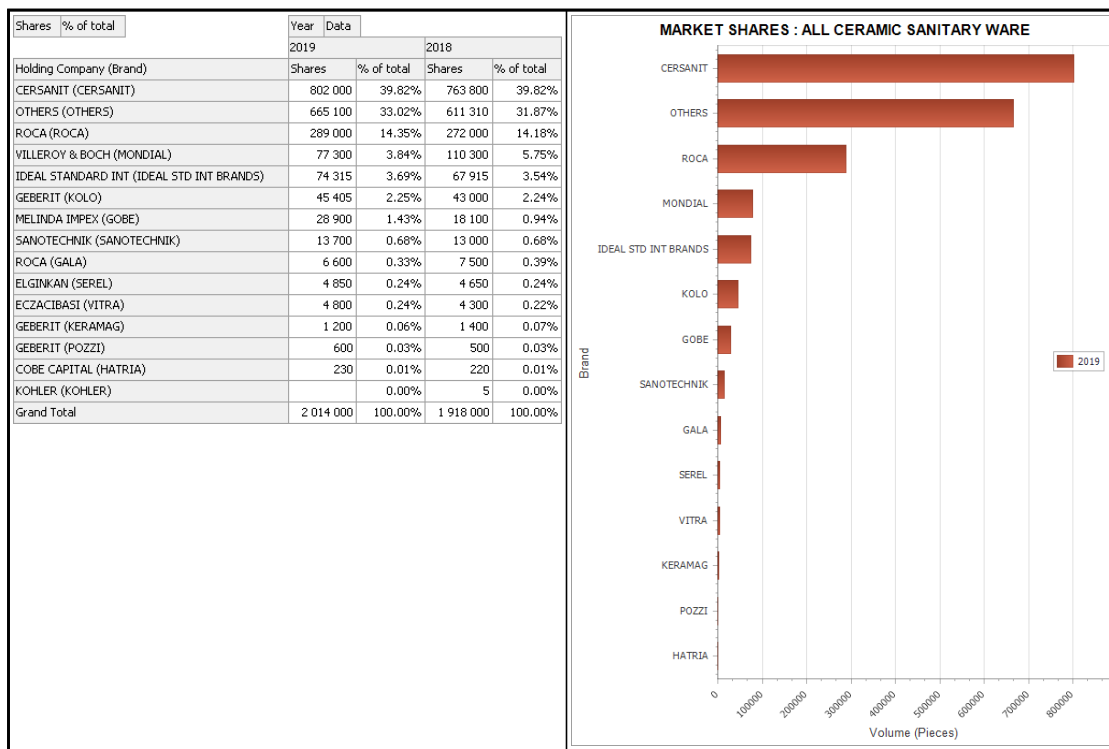
RO - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

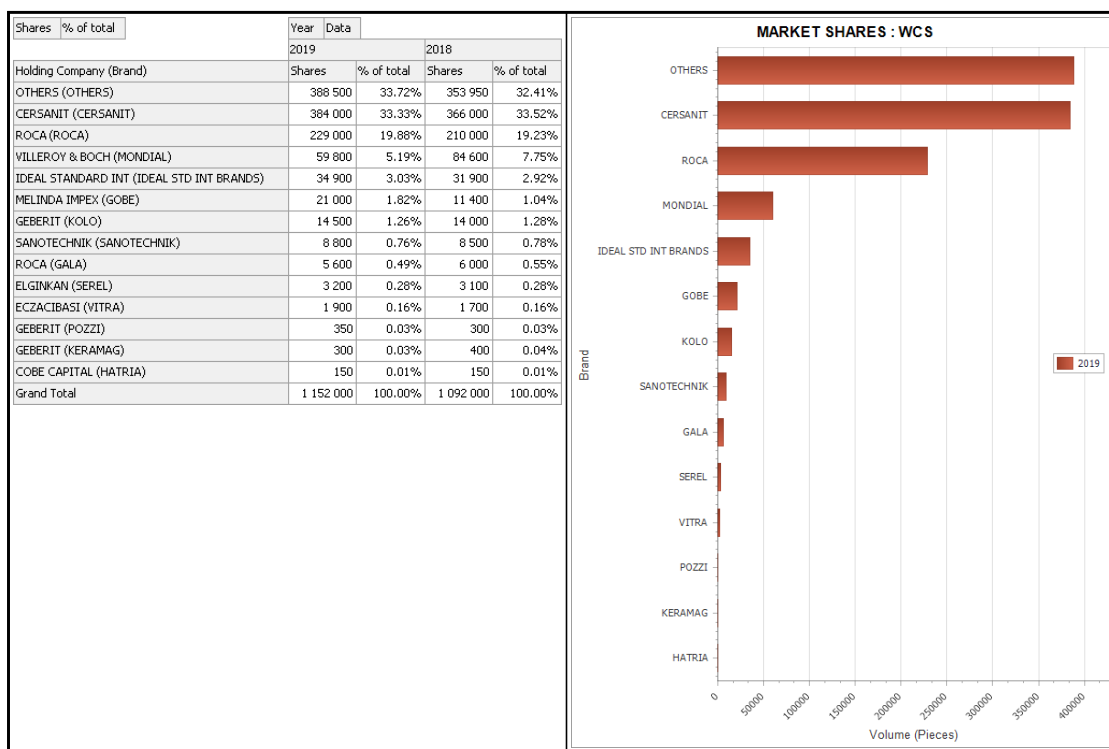
RO - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

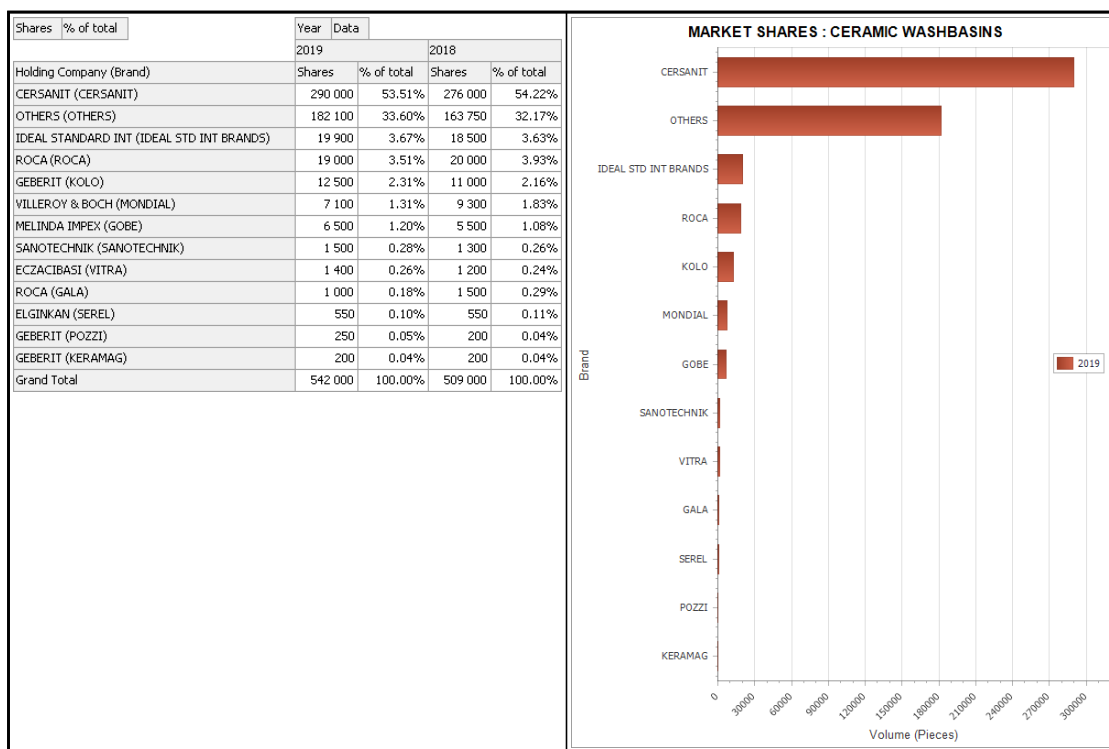
RO - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews

2.5.3 Market Shares : Ceramic Washbasins

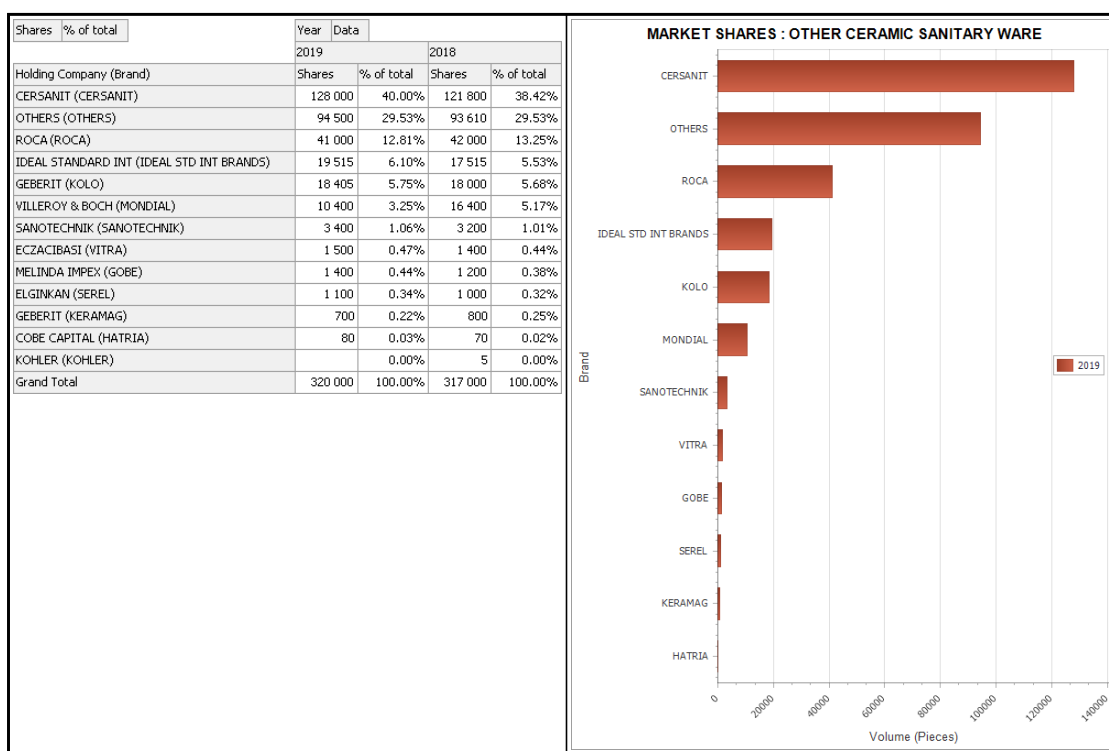
RO - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

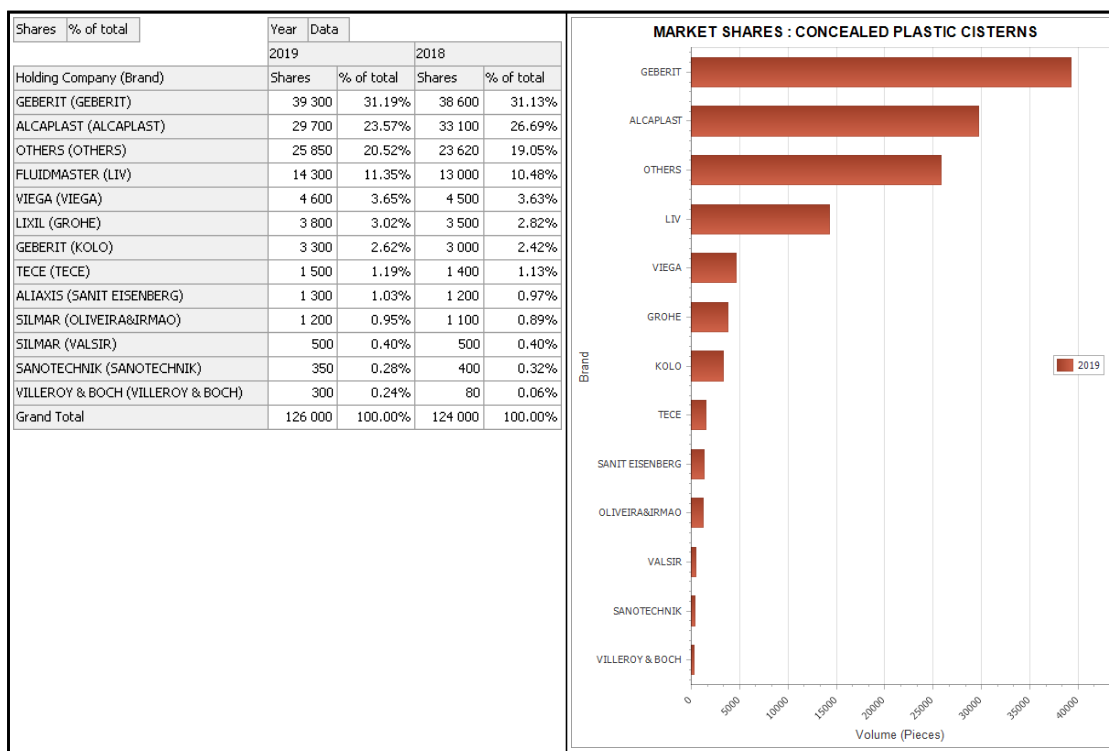
RO - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

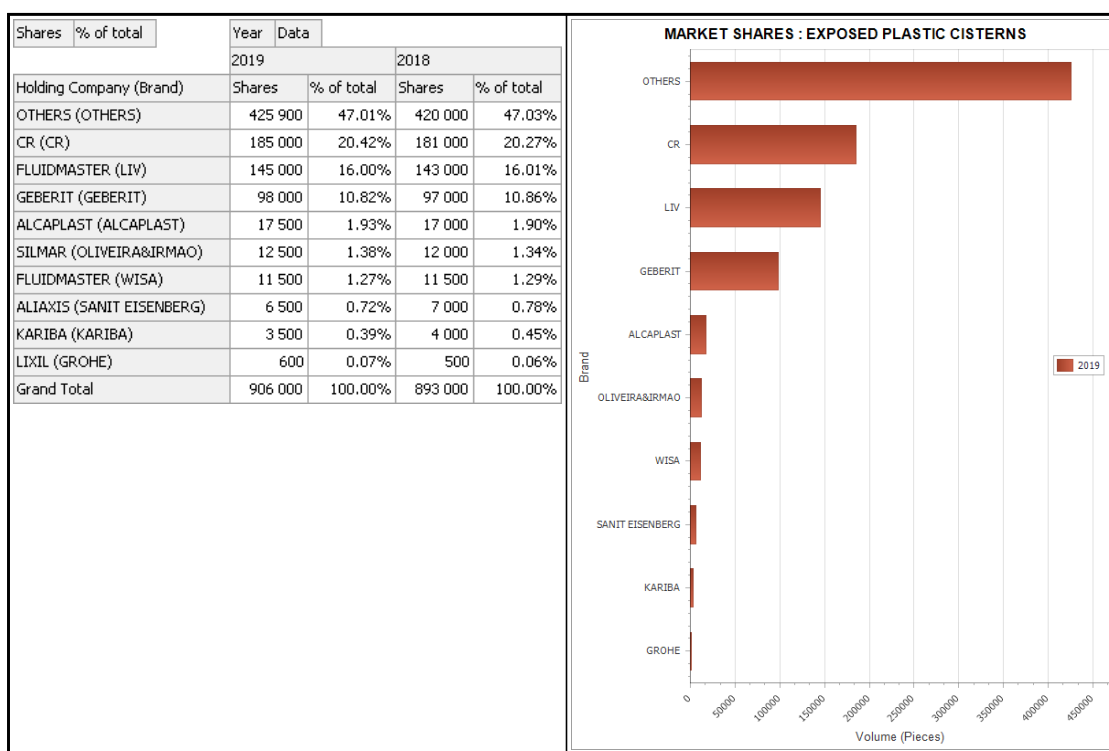
RO - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

RO - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 RO - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	4 851	23.9%	5 656	17.6%	4 079	20.9%	4 476	15.6%
Bulgaria	3 333	16.4%	6 649	20.7%	2 817	14.4%	5 777	20.1%
India	2 774	13.6%	1 600	5.0%	2 588	13.3%	1 463	5.1%
Turkey	2 475	12.2%	2 829	8.8%	2 792	14.3%	2 977	10.4%
Poland	2 173	10.7%	5 406	16.8%	1 909	9.8%	4 791	16.7%
Egypt	1 246	6.1%	1 119	3.5%	2 892	14.8%	2 627	9.2%
Italy	729	3.6%	1 572	4.9%	329	1.7%	1 450	5.1%
Ukraine	686	3.4%	596	1.9%	300	1.5%	223	0.8%
Hungary	604	3.0%	935	2.9%	744	3.8%	1 188	4.1%
Germany	481	2.4%	2 396	7.5%	242	1.2%	1 147	4.0%
Spain	436	2.1%	1 501	4.7%	404	2.1%	1 116	3.9%
OTHERS	541	2.7%	1 847	5.8%	403	2.1%	1 468	5.1%
Total	20 330	100.0%	32 106	100.0%	19 498	100.0%	28 703	100.0%

Source : Trademap

2.6.2 RO - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	9 189	33.1%	22 738	38.9%	8 755	31.6%	20 412	35.8%
Hungary	6 500	23.4%	9 999	17.1%	8 426	30.4%	15 103	26.5%
Italy	1 765	6.4%	4 232	7.2%	1 677	6.0%	4 018	7.0%
Poland	1 230	4.4%	1 528	2.6%	1 512	5.5%	1 926	3.4%
Bulgaria	1 227	4.4%	1 632	2.8%	1 020	3.7%	1 260	2.2%
Sweden	1 144	4.1%	2 873	4.9%	886	3.2%	2 075	3.6%
Serbia	1 037	3.7%	1 900	3.2%	1 217	4.4%	2 046	3.6%
Denmark	975	3.5%	4 666	8.0%	931	3.4%	3 972	7.0%
Spain	836	3.0%	945	1.6%	967	3.5%	1 068	1.9%
Ukraine	528	1.9%	652	1.1%	163	0.6%	299	0.5%
United States of America	455	1.6%	1 153	2.0%	502	1.8%	1 176	2.1%
OTHERS	2 881	10.4%	6 209	10.6%	1 687	6.1%	3 701	6.5%
Total	27 767	100.0%	58 527	100.0%	27 743	100.0%	57 056	100.0%

Source : Trademap

2.6.3 RO - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Slovenia	710	22.6%	4 675	21.7%	687	18.0%	4 488	21.5%
Germany	561	17.8%	6 025	28.0%	524	13.8%	5 518	26.4%
Czech Republic	440	14.0%	3 563	16.5%	488	12.8%	3 567	17.1%
Italy	358	11.4%	1 804	8.4%	338	8.9%	1 833	8.8%
China	327	10.4%	1 159	5.4%	297	7.8%	1 140	5.5%
Bulgaria	202	6.4%	798	3.7%	789	20.7%	880	4.2%
Turkey	177	5.6%	763	3.5%	194	5.1%	757	3.6%
Poland	142	4.5%	1 097	5.1%	194	5.1%	917	4.4%
France	60	1.9%	421	2.0%	68	1.8%	344	1.6%
Hungary	48	1.5%	209	1.0%	75	2.0%	390	1.9%
OTHERS	123	3.9%	1 026	4.8%	154	4.0%	1 064	5.1%
Total	3 148	100.0%	21 540	100.0%	3 807	100.0%	20 898	100.0%

Source : Trademap

2.6.4 RO - EXPORTS OF PLASTIC CISTERNS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	1 632	53.7%	4 869	46.7%	1 615	53.5%	4 789	47.4%
Italy	517	17.0%	2 297	22.1%	654	21.7%	2 832	28.0%
Germany	359	11.8%	852	8.2%	359	11.9%	651	6.4%
Belgium	139	4.6%	705	6.8%	21	0.7%	77	0.8%
Poland	126	4.1%	334	3.2%	139	4.6%	396	3.9%
Czech Republic	98	3.2%	326	3.1%	67	2.2%	244	2.4%
United Kingdom	50	1.7%	174	1.7%	50	1.7%	185	1.8%
Hungary	41	1.3%	338	3.2%	34	1.1%	261	2.6%
OTHERS	77	2.5%	522	5.0%	80	2.6%	670	6.6%
Total	3 039	100.0%	10 417	100.0%	3 019	100.0%	10 105	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
RO - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	45.8%
	Wholesalers / Merchants
	45.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.8%	1.6%	25.9%	1.9%	18.2%	6.7%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.4%		27.8%		24.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	17.8%	0.9%	5.6%	4.5%
Installers				
30.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.7%	15.6%	8.5%	20.7%	19.9%	24.5%	0.0%	2.2%	0.0%	1.5%	0.5%	5.9%
	Residential						Non-Residential					
	89.9%						10.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	15.9%			74.1%			4.8%			5.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	2.9%		13.0%	1.8%		72.3%	2.9%		1.9%	1.8%		3.4%

2.7.2 Route to Market: Ceramic Sanitary Ware
RO - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	46.2%
	Wholesalers / Merchants
	46.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	10.9%	2.4%	24.2%	2.0%	16.2%	6.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	13.3%		26.2%		22.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.6%	18.2%	1.3%	5.2%	3.9%
Installers				
30.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.9%	15.3%	11.9%	19.4%	17.8%	23.9%	0.0%	2.3%	0.0%	1.6%	0.5%	6.3%
	Residential						Non-Residential					
	89.2%						10.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	16.3%			72.9%			5.2%			5.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	2.9%		13.4%	1.8%		71.1%	3.1%		2.1%	2.0%		3.7%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

RO - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

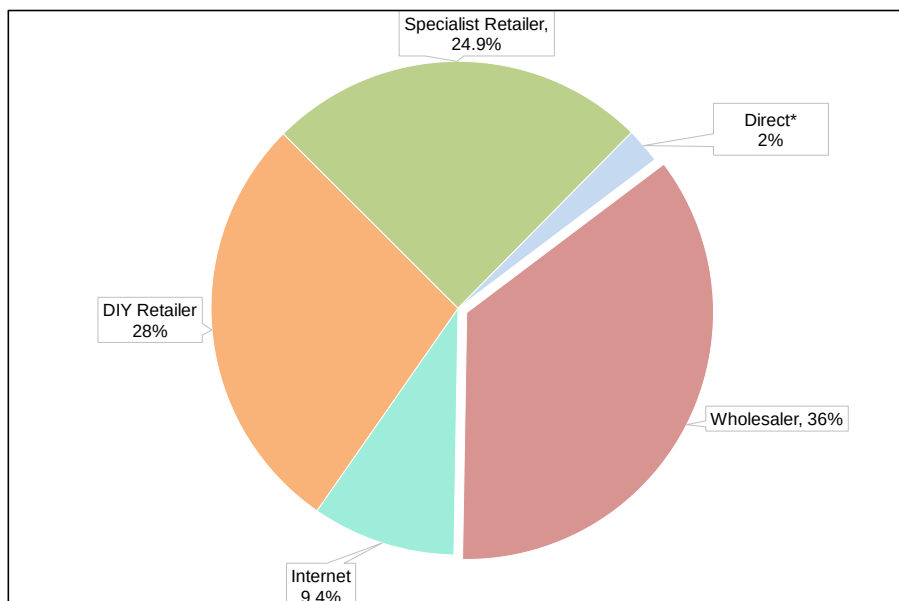
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.5%	9.4%	27.8%	24.9%	2.3%	4.7%	4.7%	85.3%	5.3%
100%					9.4%		90.6%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

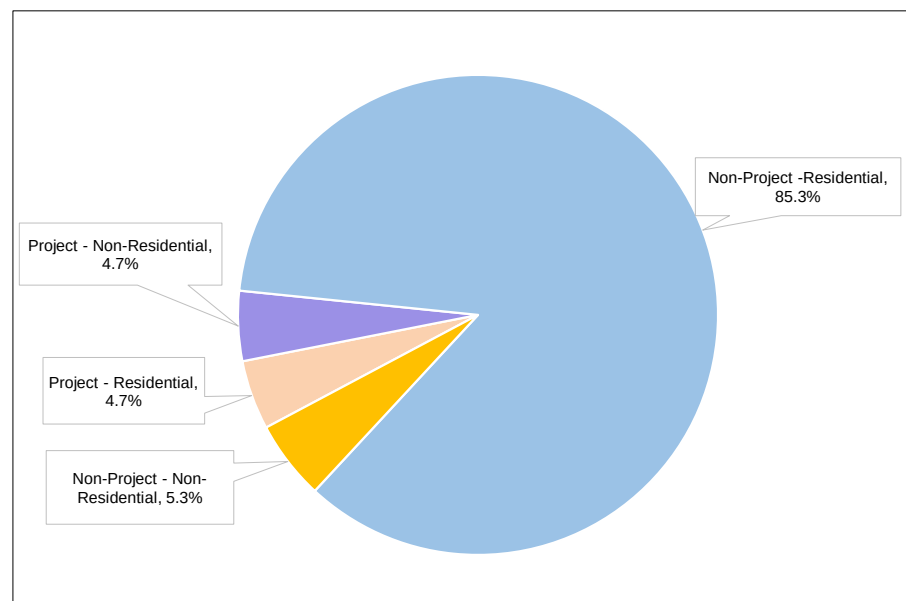
RO - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
35.8%	13.3%	26.2%	22.2%	2.5%	4.7%	5.1%	84.5%	5.7%
100%					9.8%		90.2%	

RO - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



RO - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
RO - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	53.9%
	Wholesalers / Merchants
	53.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.4%	0.9%	27.4%	2.0%	8.8%	13.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.3%		29.4%		22.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.5%	27.4%	0.5%	5.9%	3.2%
Installers				
40.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.7%	9.3%	4.8%	23.1%	19.0%	40.1%
	Residential					
	96.9%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.3%	0.7%	0.0%	0.5%	0.2%	0.5%
Non-Residential					
3.1%					

New Build		Residential RMI	
12.4%		84.6%	
Project	Non-Project	Project	Non-Project
2.2%	10.1%	1.5%	83.1%

New Build		Non-Residential RMI	
1.5%		1.6%	
Project	Non-Project	Project	Non-Project
0.9%	0.6%	0.6%	1.0%

2.7.6 Route to Market: Plastic Cisterns
RO - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	54.8%
	Wholesalers / Merchants
	54.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.9%	1.3%	26.8%	2.0%	7.4%	11.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.2%		28.8%		18.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.9%	31.6%	0.7%	5.8%	3.6%
Installers				
44.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.0%	8.0%	6.5%	22.6%	15.1%	44.3%
	Residential					
	97.4%					
	New Build		Residential RMI			
	15.0%		82.4%			
	Project	Non-Project	Project	Non-Project		
	2.7%	12.3%	1.5%	80.9%		

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

RO - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

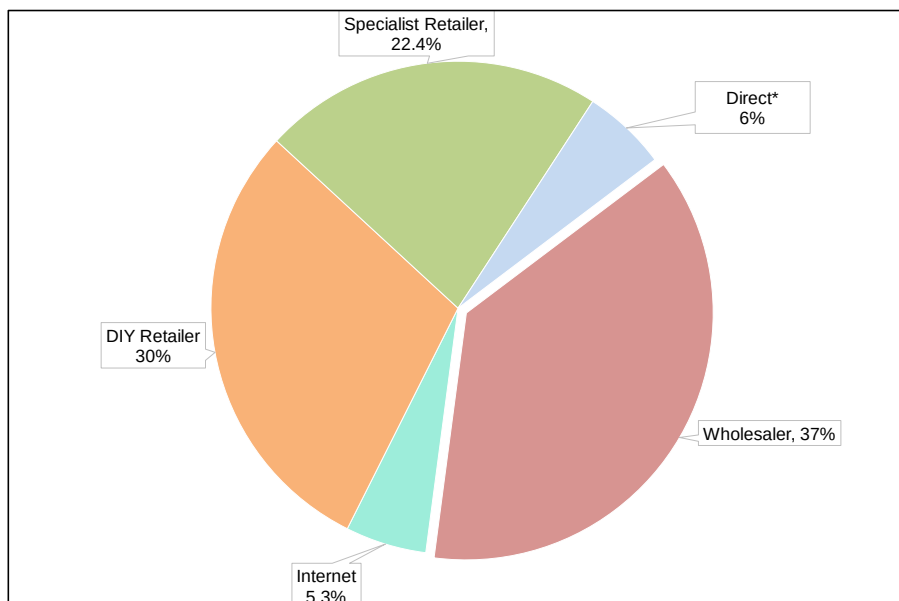
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
37.4%	5.3%	29.4%	22.4%	5.5%	3.7%	1.4%	93.2%	1.6%
100%					5.2%		94.8%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

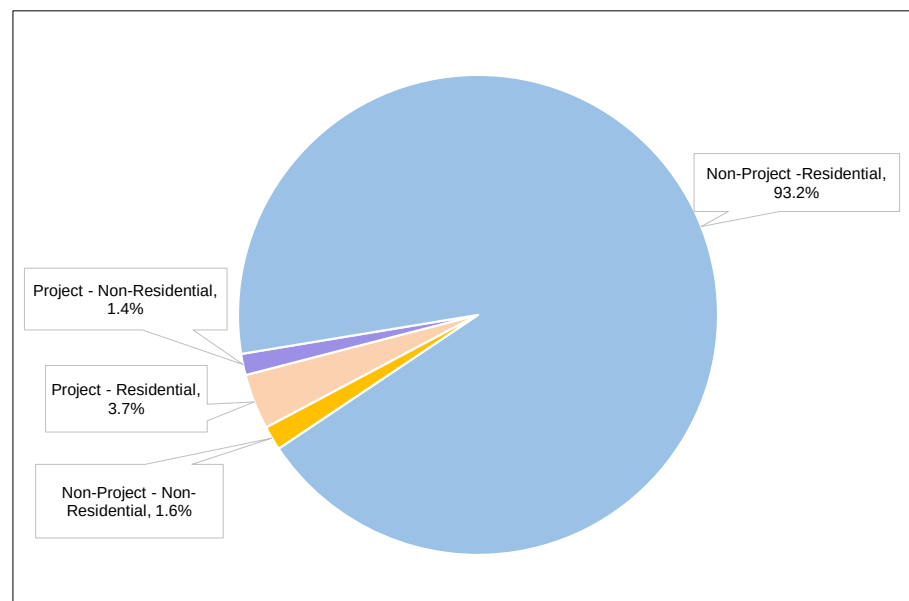
RO - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
40.1%	7.2%	28.8%	18.8%	5.1%	4.2%	1.2%	93.2%	1.4%
100%					5.4%		94.6%	

RO - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



RO - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



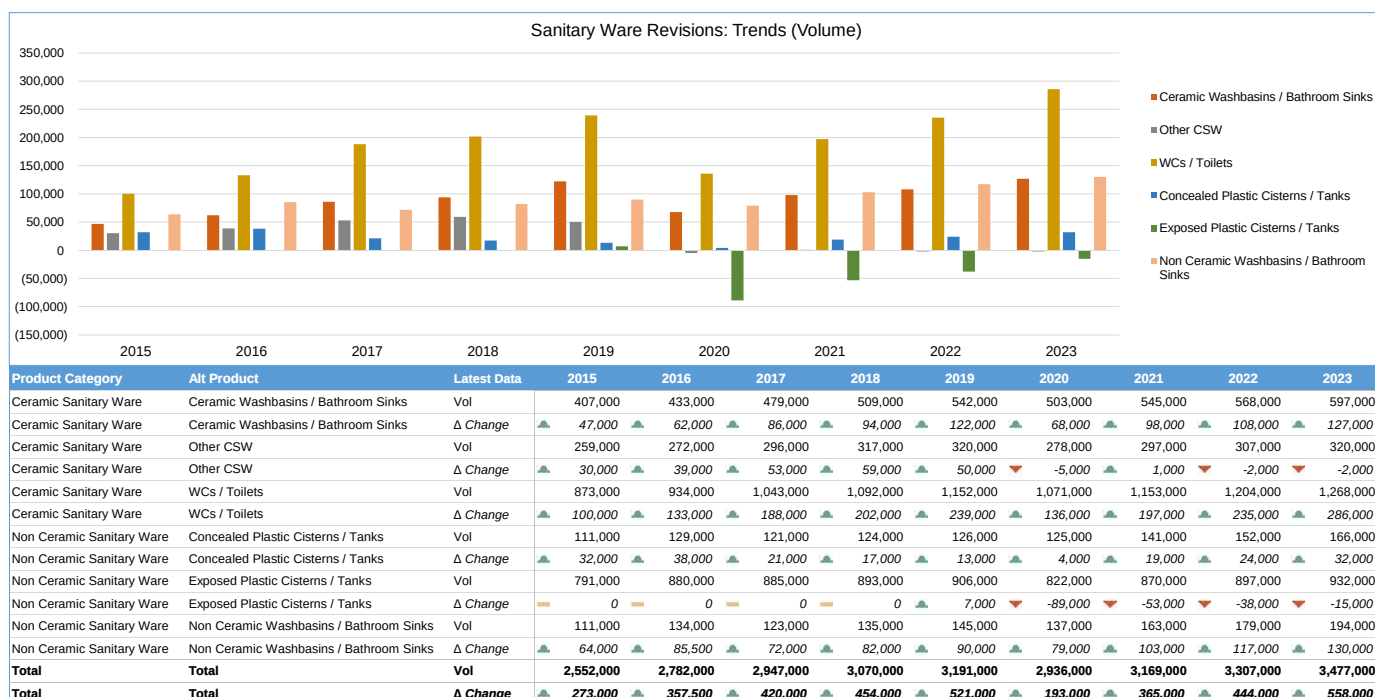
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Romanian Sanitary Ware Market (July 2020)

RO - REVISIONS IN THE ROMANIAN SANITARY WARE MARKET

Data Comparison: July 2019



Considerable upward revisions were made to the market size for ceramic sanitary ware, most notably between 2006 to 2010 and 2012 to 2018. As with most other markets, the Romanian sanitary ware market has seen an influx of imports, both from Europe and the Far East. Romania joining the EU – in 2007 – seem to have particularly benefitted the market as imports have risen strongly between 2007 and 2019, from an estimated 450,000pc in 2005 to 965,000pc by 2019. Imports increased by an unprecedented 72% in 2007.

The sanitary ware market has particularly benefitted from improving sanitation levels in Romania even though these still remain well below the EU average. For example, the average share of the population not having access to a bath, shower or indoor toilet is 1.9%, but in Romania this still stood at 27.2% in 2017. That being said, significant improvement has been noticed since the country joined the EU (41.5% in 2007 to 27.2% in 2017).

Although CERSANIT remains the clear market leader, the Romanian market is also developing in favour of imports, especially from Western Europe, such as Bulgaria and Turkey, but also China and India. Imports from the Far East are predominantly sold in DIY stores, including DEDEMANS, ARABESQUE, BRICO DEPOT and PRAKTIKER, and are often very low priced.

Upward revisions were also made to the historical market size for concealed plastic cisterns, in turn due to the fact that sales of wall hung WCs were underestimated which tend to always have a concealed cistern fitted with it.

ROMANIA

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



3.1 Market Sector Overview : Taps and Mixers

To note: A major upward revision has been made to the market sizes for taps and mixers. Please see table 3.8 for more details.

Market Characteristics and Product Mix

In line with the preference seen in other Central and Eastern European countries, two head mixers historically dominated the Romanian tap and mixer market. With the market liberalisation of the early 1990s and the entrance of foreign manufacturers to the market, the supply of one head models has expanded steadily. In light of their relative ease of installation, functionality and affordable price level, sales of one head mixers have quickly developed to account for higher demand from the market and have comprised most of the market since the beginning of the 2000s.

Historically, mixers were traditionally fitted on appliances and sales closely followed the development of prefabricated constructions from the 1970s onwards, leading to the diffusion use of wall mounted mixers, often of low quality. The initial lack of aesthetic appeal has been increasingly eroded as end-use consumers have become more sensitive to design, water saving considerations and personalisation options. This partly explains the rapid growth of single-lever mixers, which are associated with increased affluence and are markedly more preferred by consumers than the more old-fashioned products.

The overall Romanian tap and mixer market has grown steadily in the early 2000s, primarily driven by the exponential growth of the residential and non-residential construction sectors, as well as the rapid increase in disposable incomes among Romanian consumers. This resulted in an increase of RMI demand. However, the market contracted sharply in the aftermath of the economic crisis. Nevertheless, a steady trend of recovery has followed driven by the high level of per capita consumption and the unprecedented scale of foreign investments especially in the office retail, industrial and hotel segments that have expanded, besides Bucharest, in recent years to Timisoara, Cluj-Napoca, Oradea, Sibiu and Brasov.

In the product mix, as noted above, one head mixers remain the most popular type of faucets sold in Romania. One head mixers are especially favoured in applications of basins, baths and showers. Due to a consumer preference for baths, volume sales of taps used in combination with baths are higher than with showers. The small thermostatic mixer segment finds application in shower installations, with a few units also reportedly used with washbasins and baths. In fact, demand for thermostatic mixers can usually be found in luxury residential and non-residential dwellings. It is estimated that the share of concealed taps and mixers remains marginal and these are often exclusively sold to non-housing projects. Moreover, a niche position in the market is occupied by pillar taps.

From a supply perspective, the Romanian tap and mixer market may be defined as highly fragmented with most major international producers having some presence

in this market, in addition to a diverse presence of local manufacturers and distributors with their own label products. Overall, it is estimated that Chinese imports account for around half of the market.

Recent Market Trends

After a strong increase in 2018, sales of taps and mixers in Romania declined sharply in 2019 as a result of a decline in demand from the RMI market. It appears that the RMI market has reached its maturity and most of the necessary replacements of cheap taps and mixers installed in the last decade have already peaked. Demand from the new housing and non-housing markets remained strong as the increase in the number of dwelling completions and refurbishments of hotels and leisure facilities remained at a high level in 2019. The Romanian consumer appears to be shifting its preference over this decade towards higher quality taps and mixers which affects the volumes sold in this market. Chinese imports have, in particular, been declining, which has affected the overall volumes sold. This was a notable feature of the market in 2019.

Despite this, the Romanian tap and mixer market still remains reliant on Chinese manufactured product variants, which is in contrast to certain other Eastern European markets. Distributors tend to focus on the commercialisation of a few ranges of one head mixers. Sales of two head mixers accounted for the second largest share of the market and their sales had the highest margin of growth after the electronic product variants.

Sales of thermostatic mixers increased strongly, mainly as a result of the increasing number of dwelling completions as this product has a higher penetration in the new housing sector and also due to the positive non-housing developments as many renovations of hotels included a thermostatic mixer. The RMI sector accounts for a lesser share of thermostatic mixers despite the increase in share of these products recently. Nonetheless, the constant interest in thermostatic mixers and the heightened availability of quality models at a range of affordable price points should remain the main variable able to propel the growth of the market in the foreseeable future. Sales of self-closing and electronic mixers remained marginal, but these products are likely to account for a far greater proportion of the market over the forecast period as the non-residential market recovers.

At the level of application, the increased propensity to spend by end-use consumers may be seen by the growth of demand across all taps particularly those that are installed in shower and bath settings. In particular the shower type of taps and mixers has consolidated comparatively the highest degree of growth with SANOTECHNIK and LIXIL (GROHE) leading the market.

Prices and Market Values

In 2019, average MSP (manufacturers' selling price) in local prices for taps and mixers witnessed a sharp rise mainly as a result of the shift towards more expensive products, but also due to the devaluation of the leu against the euro. The

move towards more expensive price segments in detriment of the economy and lower segments was particularly accentuated in 2019. Overall, despite the large drop in volumes sold, the change in product mix and price segments have helped the market value of the taps and mixers market to have shown just a slight decline in 2019.

Furthermore, slight price increases have been observed from most manufacturers helping the overall MSP to increase further. Also, the upward price variation of the two head taps and mixers may be ascribed to the changes in the product mix towards greater volume sales in the pricier segments (e.g. one head mixers, thermostatic mixers).

New Housing

With the extensive investment and continuation of the Romanian construction market, sales to the new housing sector continued to flourish in 2019, as a direct result of the increase witnessed in both apartment and house completions.

The positive development of the delivery of large-scale projects resulted in increasing sales, with one head mixers still able to gain share in the baths market and conversely, thermostatic units growing in terms of shower applications. As for washbasins, one head mixers continue to gain share in this application to the detriment of two head mixers, a trend also seen in the kitchen sinks sector.

Due to the higher quality of products currently being sold into the new housing market, competition for supply to contractors has increased steadily as the new build market continues its trend of consolidation.

Housing RMI

After a year of strong replacement demand for taps and mixers, in 2019 a sharp drop in demand from the RMI sector was evident and one of the main factors impacting the market. Market maturity appears to have been reached and the replacement of cheap economy products installed in the 2000s, has now stabilised. The market is shifting towards higher quality products, although Chinese imports remain still quite high.

In terms of the products installed in the RMI sector, thermostatic products still lag behind one head and two head mixers for both baths and shower installations, as many replacements are usually like-for-like.

The coherence of the economic policy and the concurring nature of the above-mentioned variables may suggest that this segment is likely to grow at a stable pace in the foreseeable future. As noted for the previous years, the main limit to a stronger replacement demand is likely to be associated with the penetration of the RMI activity also in regional and non-urban centres. There is still a significant part of the Romanian households in need of ordinary and extraordinary intervention of repair. Such a scenario is further constrained by the income differences existing

between the urban agglomerates and the countryside, hence posing a potential limit to the development of the housing RMI sector, which is expected to perform below potential in the foreseeable future. Nonetheless, the potential for growth of the RMI segment is likely to enhance the switch to one head type of applications.

Non-Housing

In 2019, as many non-residential spaces went ahead with refurbishments this has a positive impact on sales of taps and mixers with many hotels, leisure centres and offices generating strong demand for these products. Washbasins, kitchen sinks and showers are the most common applications in the non-housing sector for taps and mixers and this sector has a higher share of one-head and thermostatic mixers compared to the RMI or new housing.

The specification market is likely to increase over the short term as taps and mixers are traditionally the easiest and cheapest form of remodelling. Furthermore, the market is believed to maintain its orientation towards higher priced products and, therefore, the competition in this segment is expected to increase largely in the future. Moreover, it is worth mentioning that the non-residential construction may receive a further twist in the foreseeable future due to several reasons. Firstly, multinational corporations have been attracted to the Romanian market with the reduced VAT rate as the new Tax Law, introduced in January 2016, decreased the VAT rate from 24 to 20%. Moreover, the simplified rules regarding the deductibility of certain types of expenses were introduced together with the abolishment of the complex special construction tax. A further novel trend observed in the non-housing market is the increased demand by companies with a large domestic presence to consolidate both their office, retail and service in Romania, resulting in a strong expansion of large-scale projects.

Supply Structure

A peculiar characteristic of the Romanian tap and mixer market is the absence of a domestic-led industry and manufacturing entities.

The Romanian tap and mixer market has recently been dominated by the Polish FERRO with its METALIA and TITANIA brand, and by the Romanian subsidiary of the Austrian multi-product manufacturer SANOTECHNIK. At the level of development of demand, while FERRO has seen a reverse in its trend of losses by consolidating a double digit degree of growth across most types of applications ranges for its METALIA at the expense of the generalist TITANIA, SANOTECHNIK has increased its presence on the tap and mixer market - also sustained by an aggressive pricing strategy as most of its products are sourced from China, which are then sold through DIY retailers. On the other hand, taps and mixers manufactured by FERRO were mostly distributed through DIY players such as PRAKTIKER, JOLLY CLUJ and LEROY MERLIN.

Volume sales of taps and mixers manufactured by GROHE further expanded driven by the overall positive momentum of the 2019 market. As seen in the

previous years, GROHE continued to use a diversified and further expanded front of distributors and suppliers such as ROMASTAL, BLACK SEA SUPPLIERS, the BRAVO GROUP and LAGUNA.

The Polish VALVEX, the third biggest manufacturer on the Romanian tap and mixer market, did consolidate its positioning as a leading manufacturer due to the higher demand from both RMI and new-housing segments.

The products of the German manufacturer KLUDI were imported mainly from Hungary and were distributed in DIY, but also by other distributors (i.e. INSTAL IMPEX). LA TORRE and ROMSTAL branded products were distributed mainly by ROMSTAL.

According to official import and export statistics in 2019, the relevance of Chinese imports to Romania experienced a decline as many consumers are now starting to opt for quality over price as levels of disposable income increase. SANOTECHNIK, ROMSTAL, MELINDA IMPEX and VALVEX are some of the importers of Chinese taps and mixers.

The considerable share of the “Others” category is made up of unbranded as well as DIY branded supplies, mostly sourced from China.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has endeavoured to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

For 2020, the taps and mixers market is expected to experience another year of decline as a reduction in demand from all end use sectors is expected. The construction industry in Romania remained relatively unaffected by the impact of the COVID-19 pandemic and managed to continue working during the lockdown period. This should in turn help to cushion the decline in demand from the new housing sector, despite a decline in completions being forecast for 2020. As for non-residential construction, although a stronger decline in demand is forecast compared to new housing it should still remain at a moderate level. RMI demand is expected to be the end use sector which should experience the sharpest decline in demand in 2020 as many consumers are going to avoid committing to any spending this year given the uncertainty surrounding the COVID-19 pandemic and its effects on the global economy.

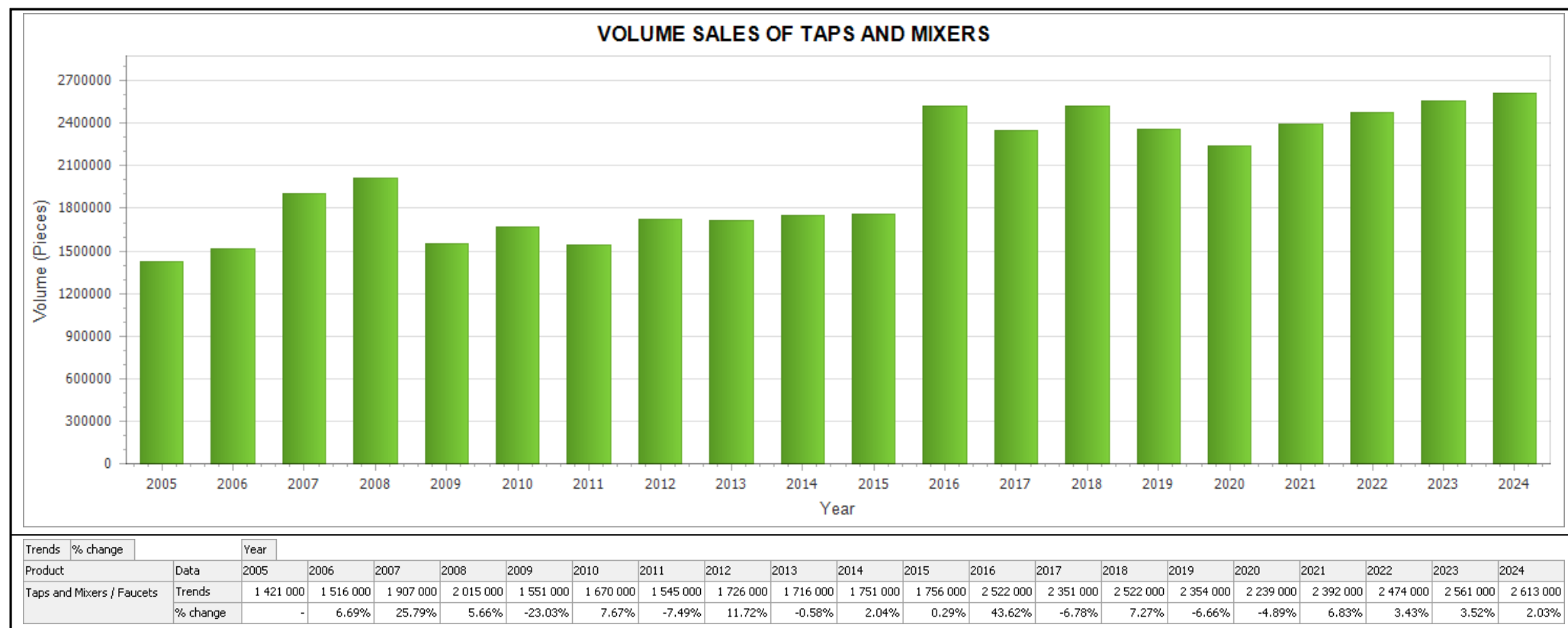
It is expected that growth in sales of taps and mixers should resume in 2021 with the volumes anticipated to surpass the levels seen in 2019. The market is expected to be primarily driven by replacement sales, although the fastest growth should come from the non-housing and new housing sector as construction should remain strong over the forecast period.

The government policies ranging from the minimum wage hike to the increases in state wages, coupled with the tightening of the labour market are expected to impact the wage dynamics in the forecast period.

The supply of taps and mixers is expected to remain fairly concentrated on Chinese branded products (despite the recent shift noted), whereas large multinational brands will likely pursue an emphasis on the high margins and to secure volumes in the contract market. Therefore, market growth is likely to be sustained over the forecast period. However, in a comparative perspective to the pre-crisis situation, the growth rates will fall short of matching the market dynamism of the pre-2008 period due to the relatively fewer deliveries of new housing projects, more sustainable consumption patterns, reliance on wages rather than loans and a lot of retail park. A further aspect to consider regarding the non-generalised nature of the recovery, is the mostly consumer-driven and very entrenched regional differences between rural and rural centres. Furthermore, the tap and mixer market is likely to remain budget orientated, although the gradual increase in the total number of new completions is expected to boost sales of higher quality one head products. Nonetheless, a stronger market is set to emerge as far as high-end priced products are concerned. Thus, at the level of product mix, sales of thermostatic mixers are likely to attract more demand in the medium term.

3.2 Historical Trends and Forecasts : Taps and Mixers

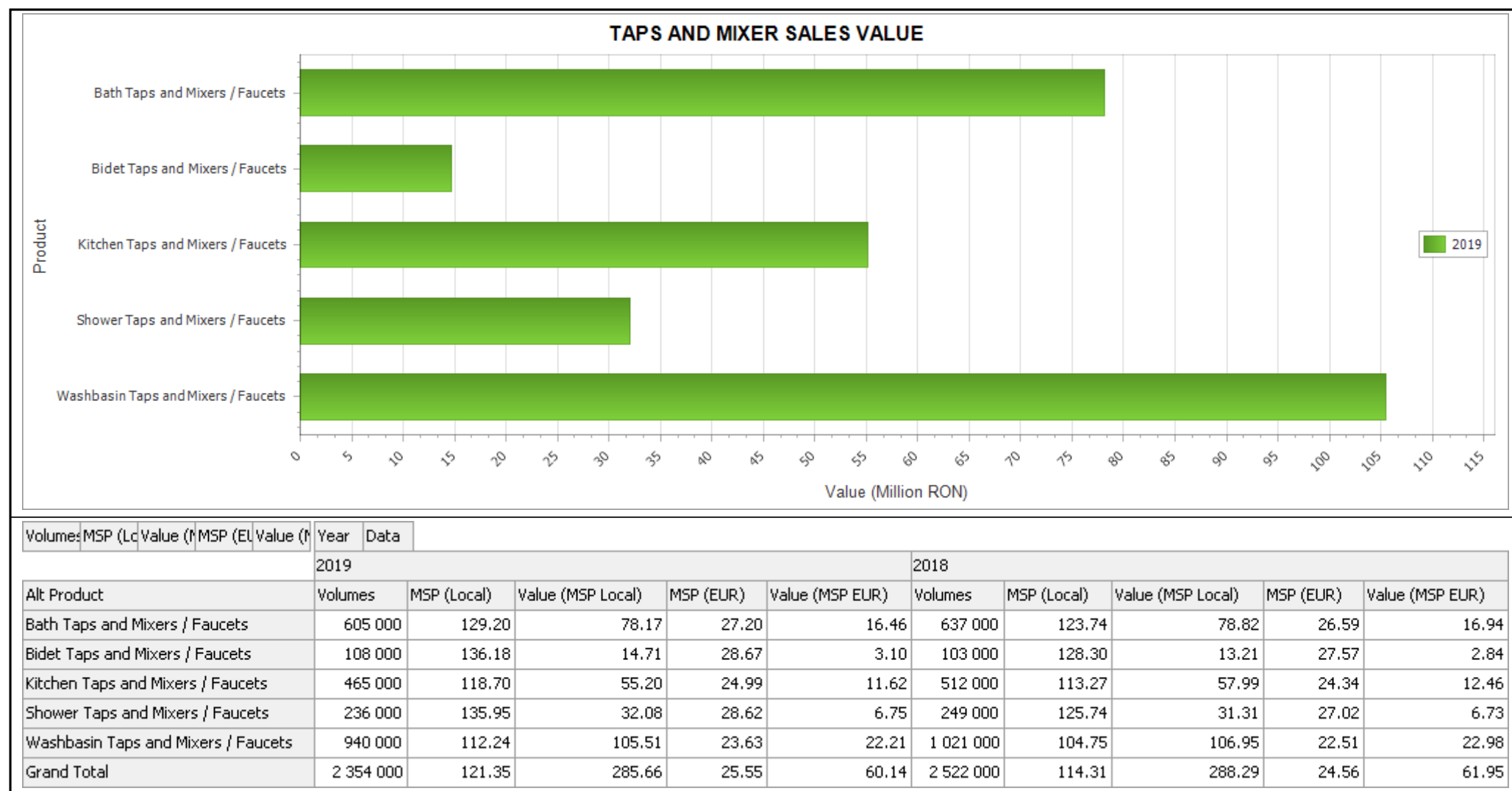
RO - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

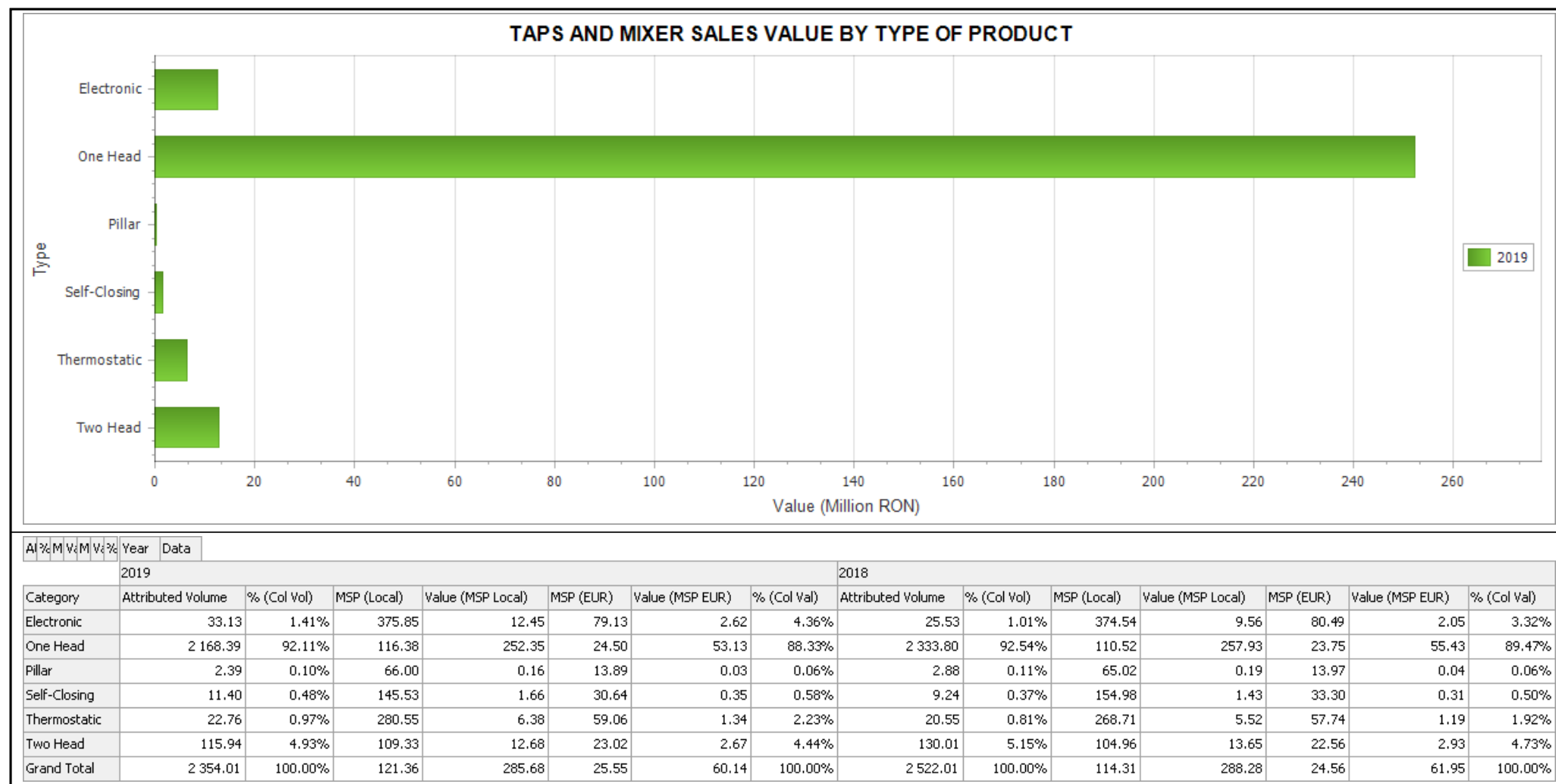
RO - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Local Prices Shown in RON. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

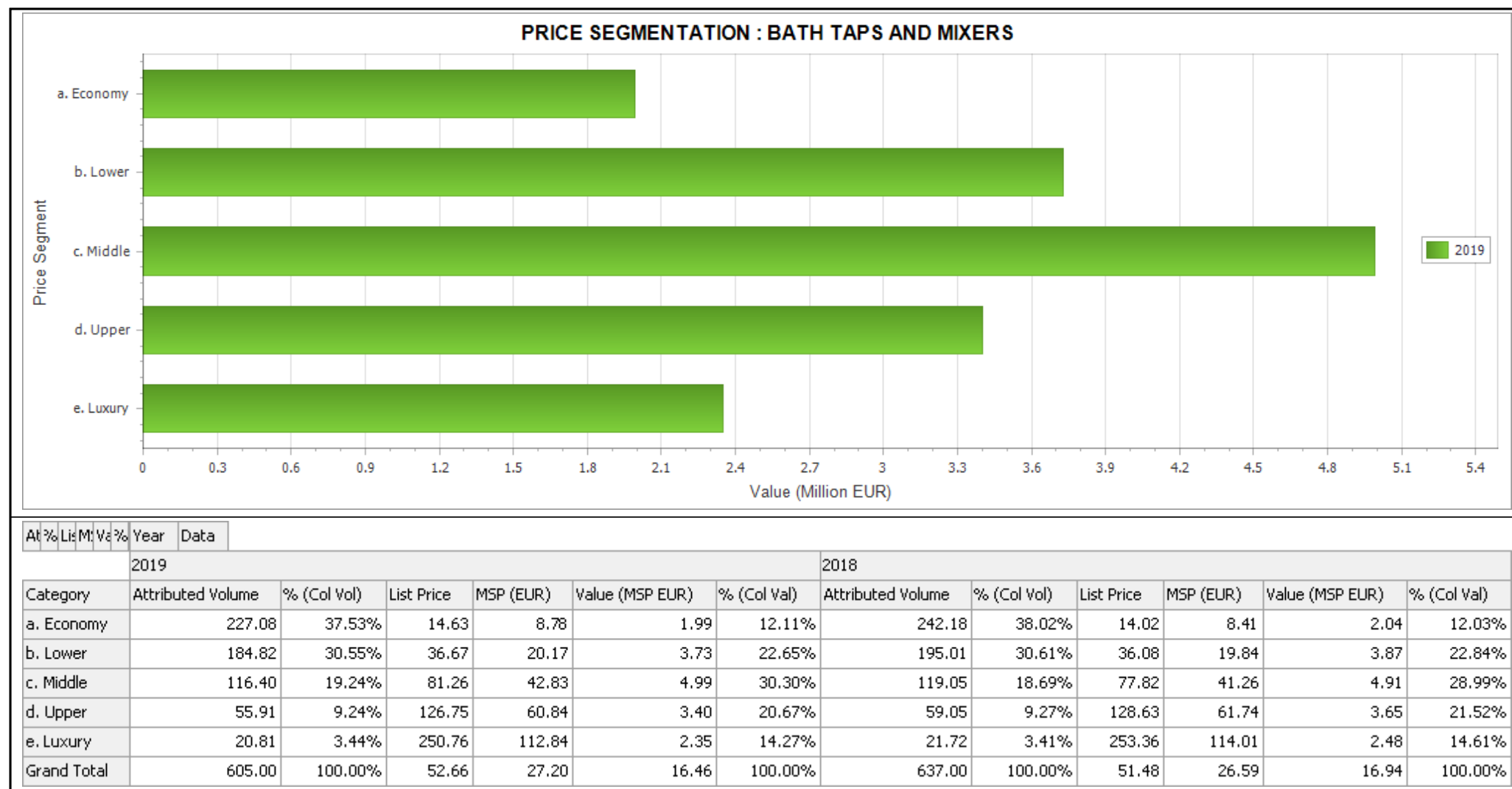
RO - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in RON. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

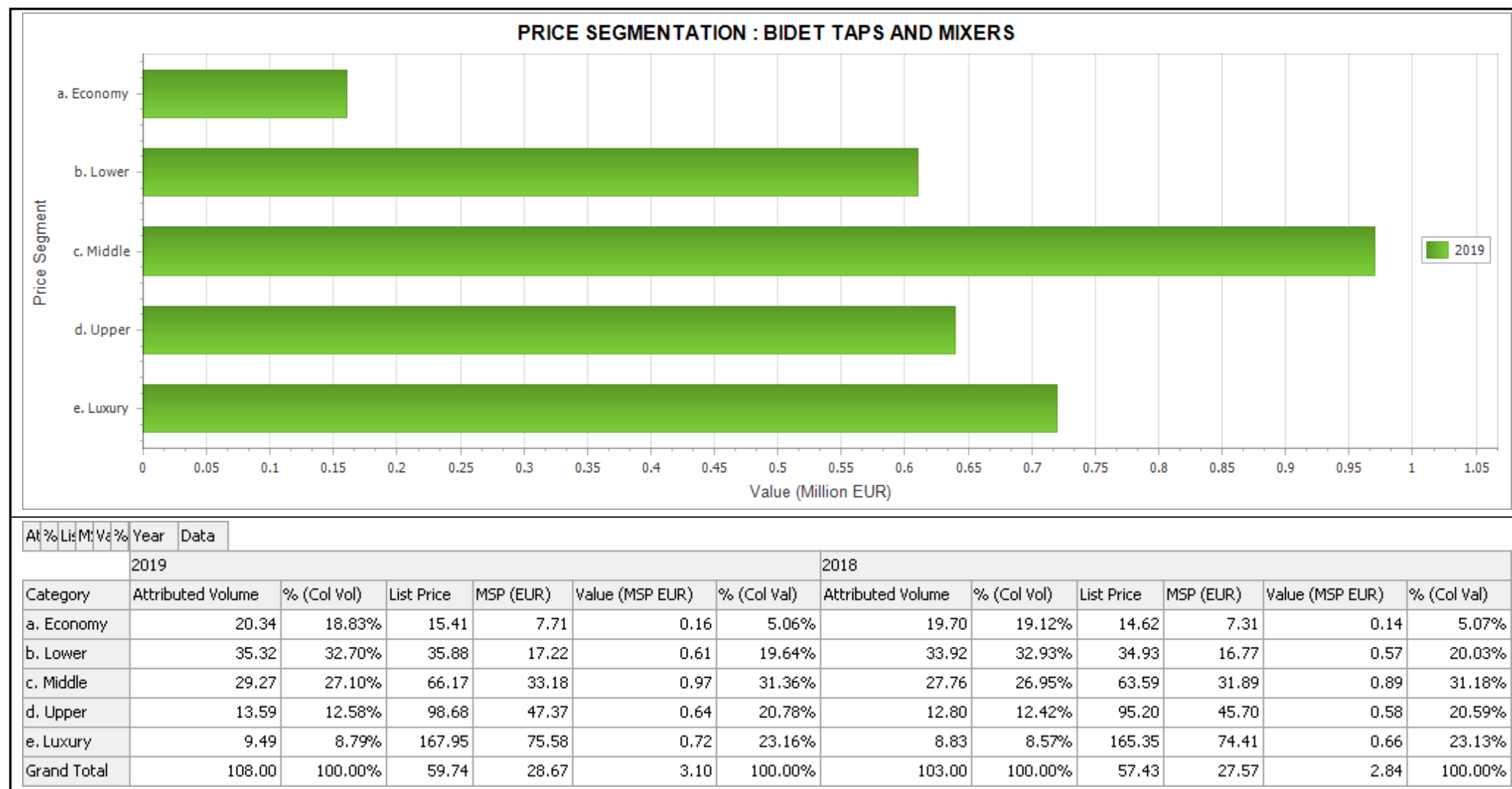
RO - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€70 and Luxury >€70

3.3.4 Price Segmentation : Bidet Taps and Mixers

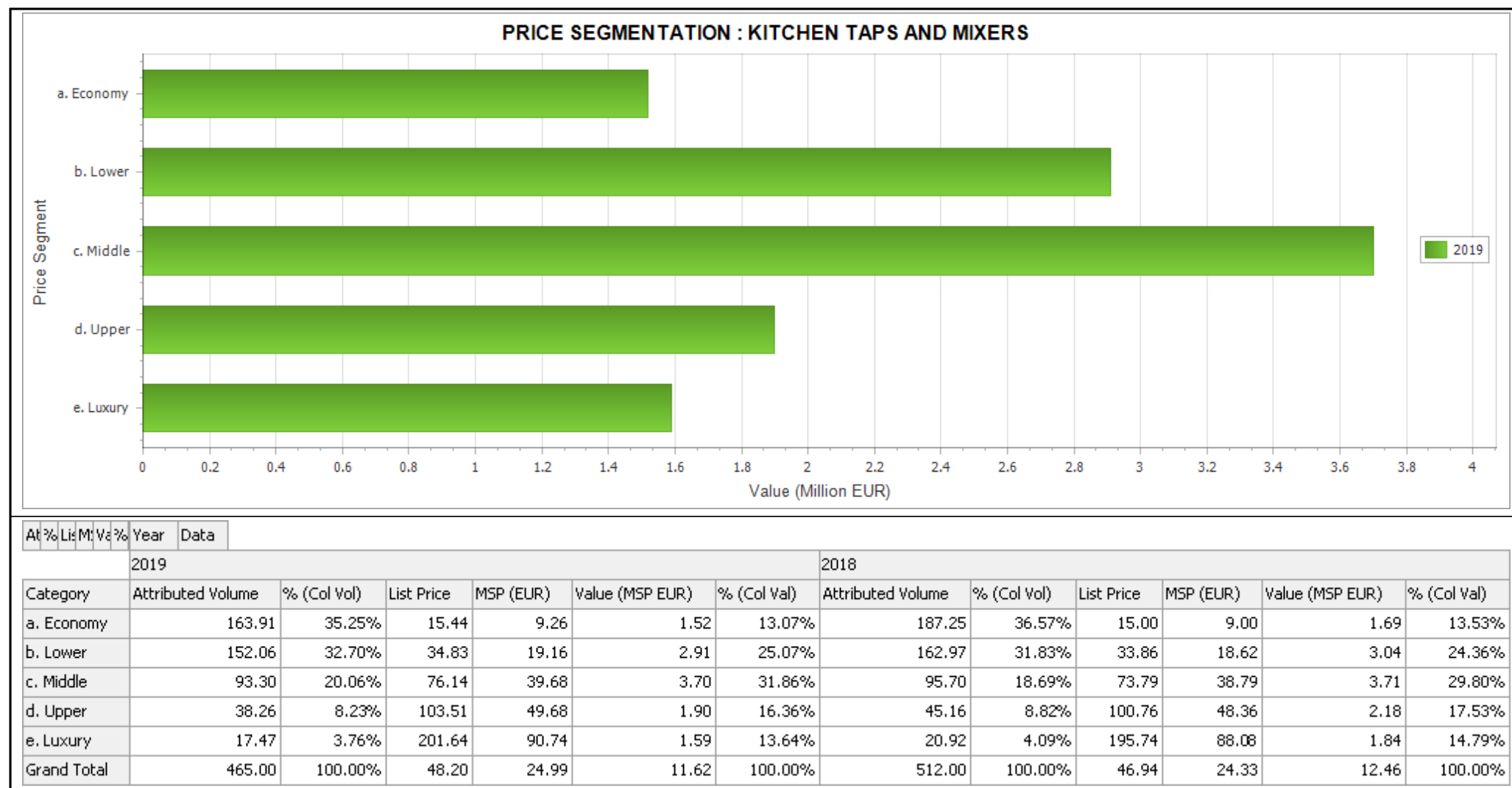
RO - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€10, Lower €10-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.3.5 Price Segmentation : Kitchen Taps and Mixers

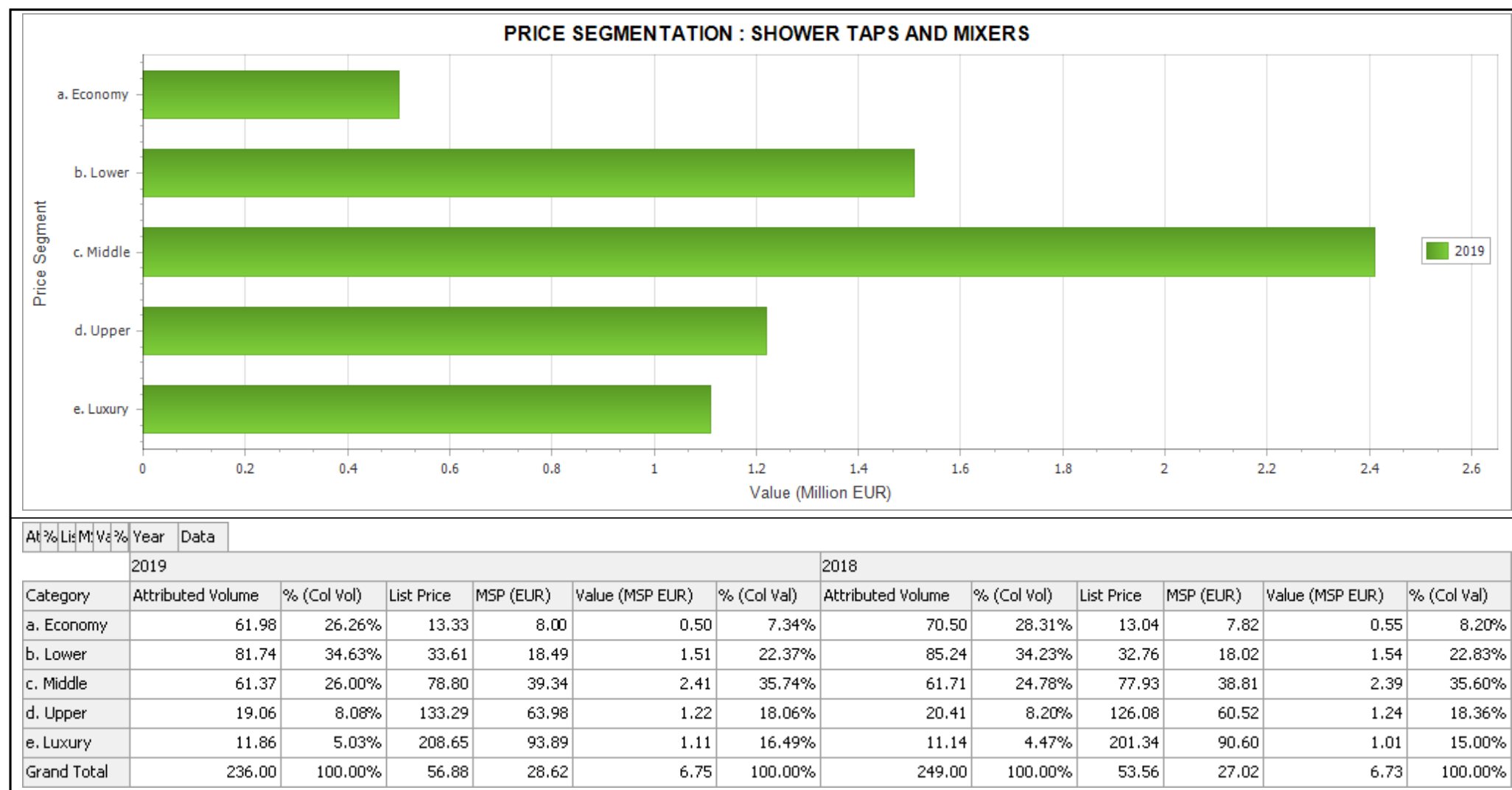
RO - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€45, Upper €45-€60 and Luxury >€60

3.3.6 Price Segmentation : Shower Taps and Mixers

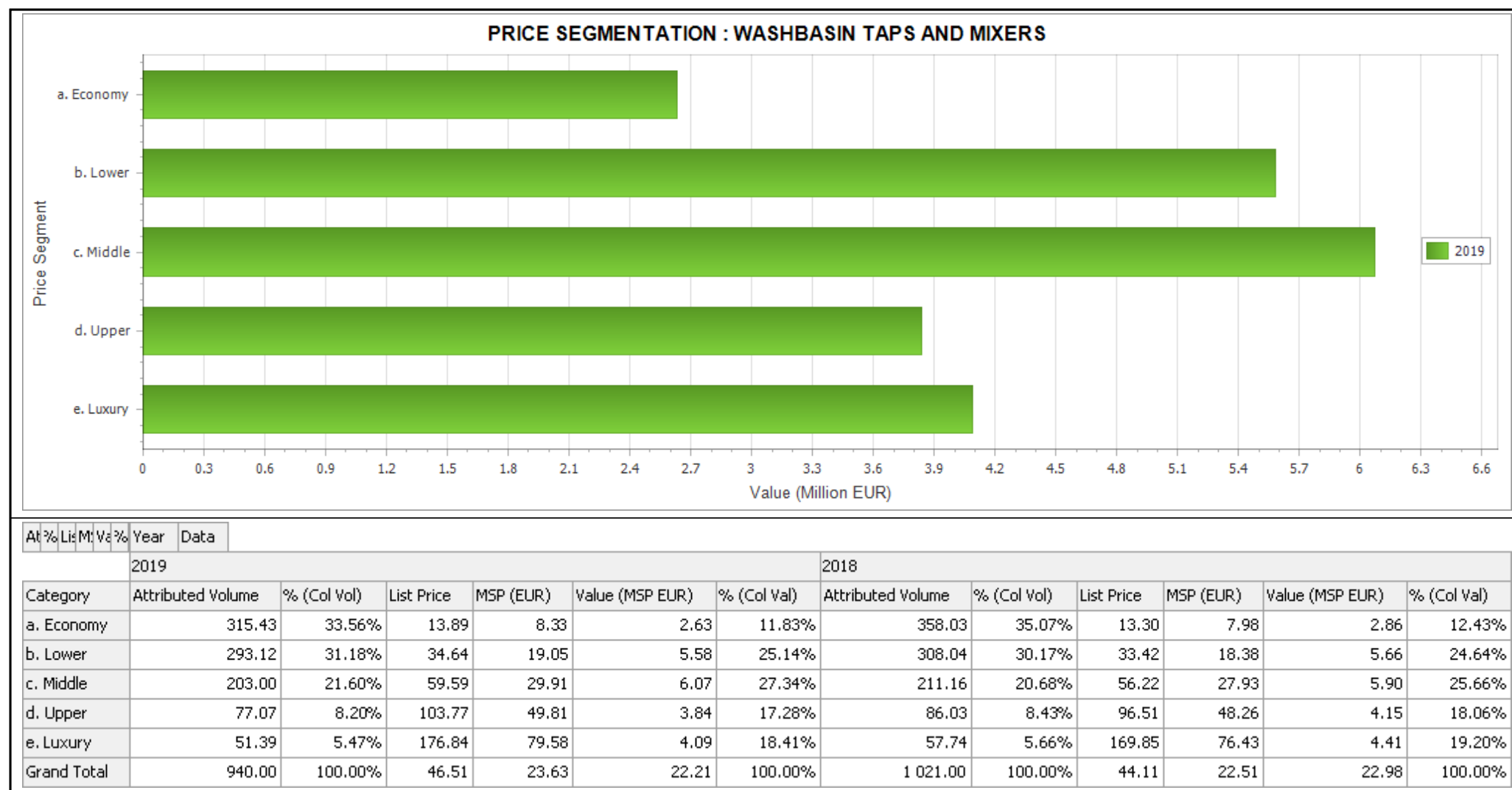
RO - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€70 and Luxury >€70

3.3.7 Price Segmentation : Washbasin Taps and Mixers

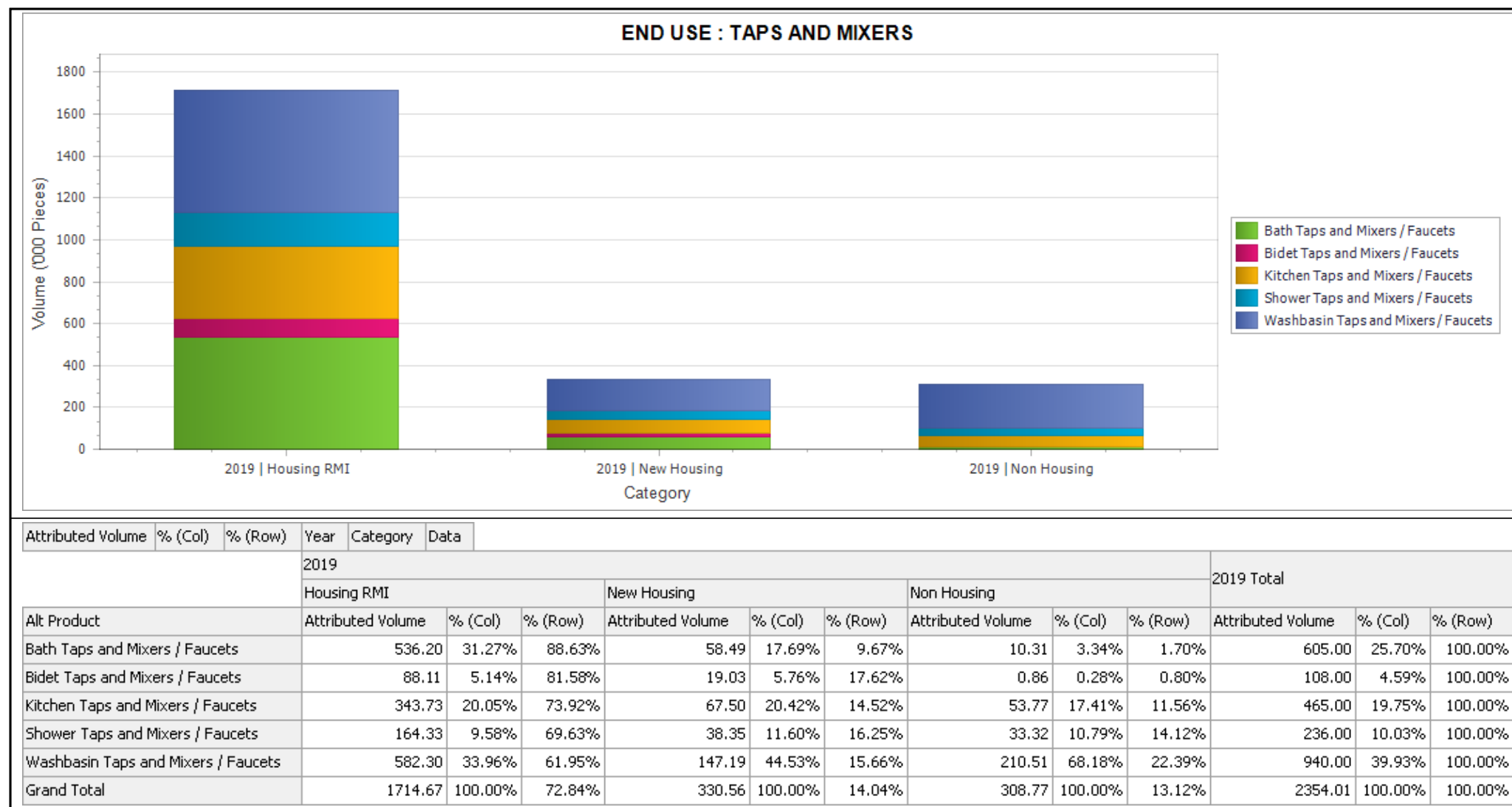
RO - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€10, Lower €10-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.4.1 End Use : Base Year

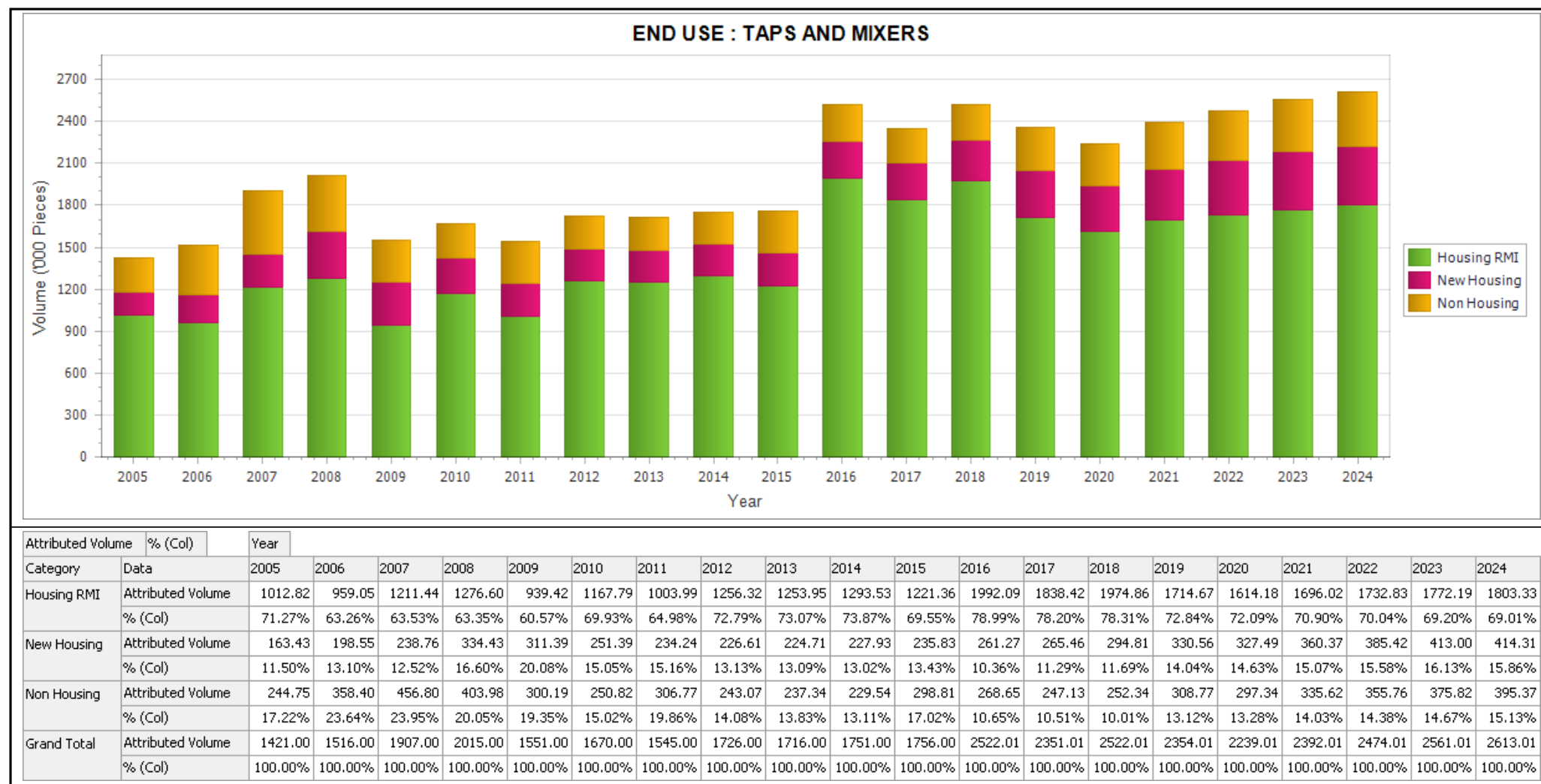
RO - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

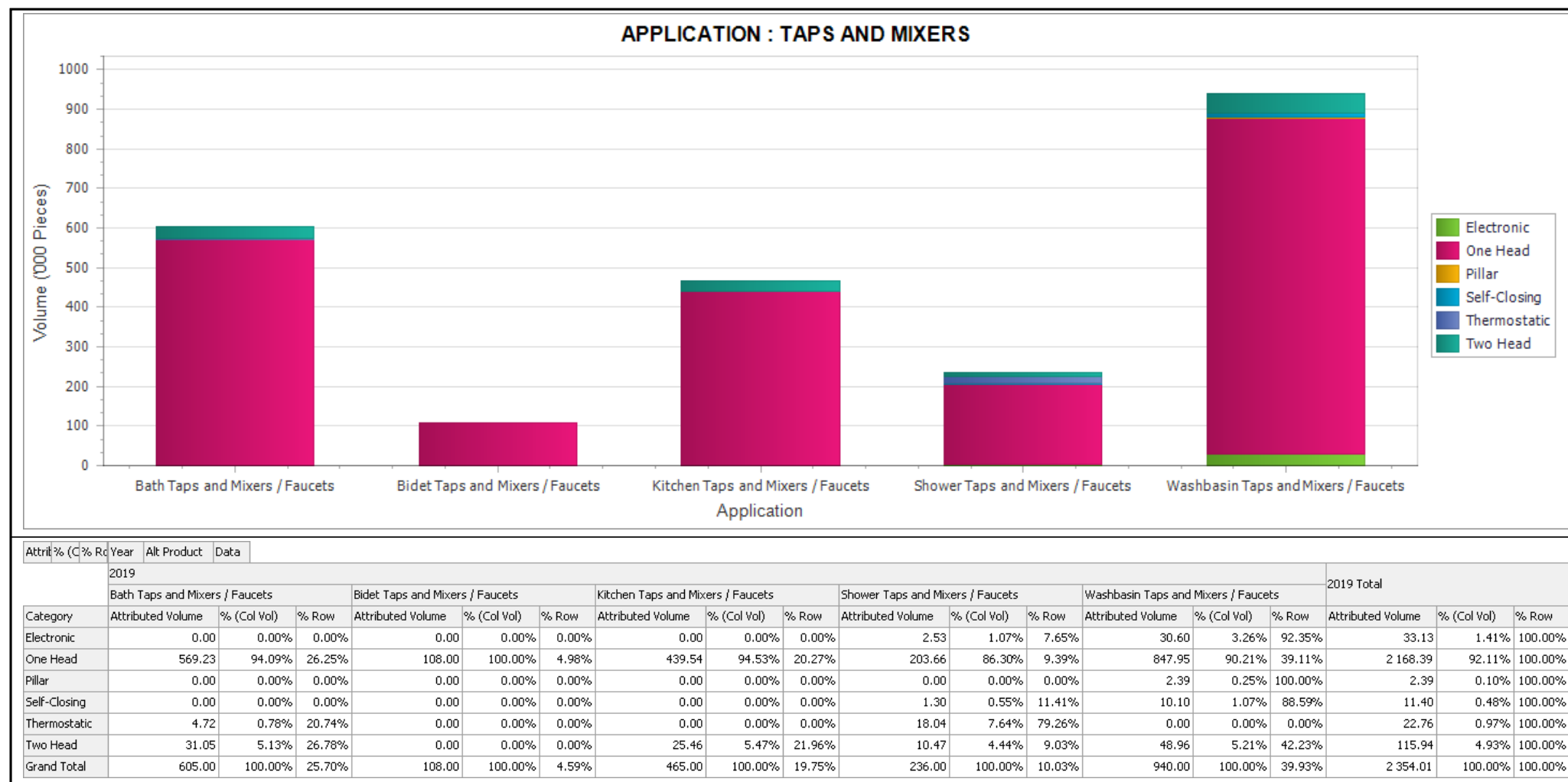
RO - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

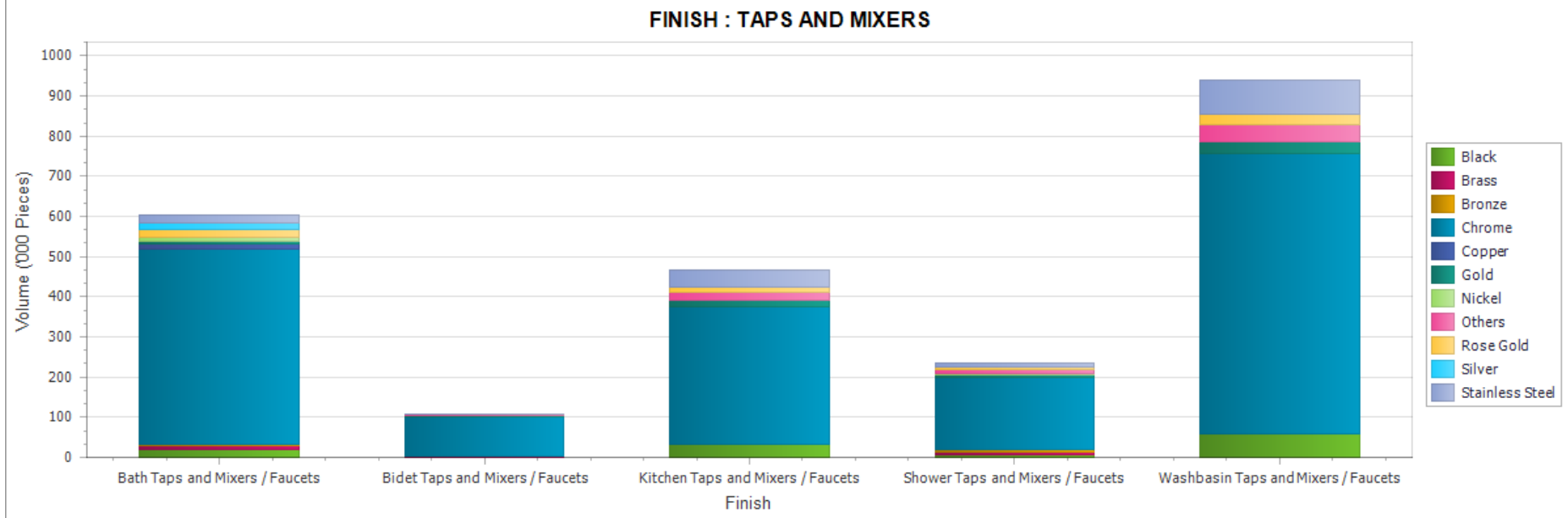
RO - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

RO - TAP AND MIXER SALES BY TYPE OF FINISH ('000 PIECES)

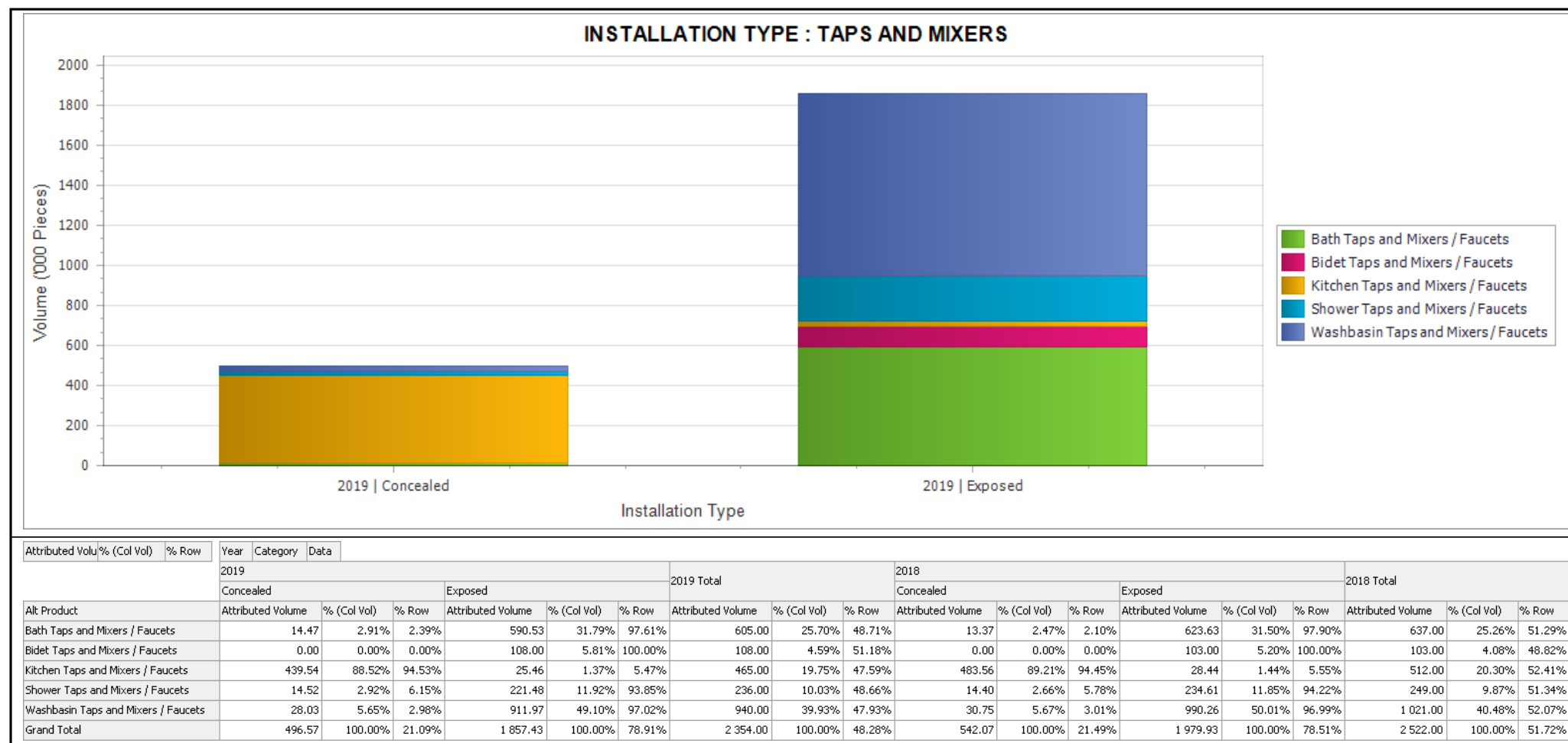


Attrib	% (C)	% Ro	Year	Alt Product	Data													
2019																		
Bath Taps and Mixers / Faucets				Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets			2019 Total		
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Black	19.36	3.20%	15.95%	1.30	1.20%	1.07%	33.95	7.30%	27.97%	7.55	3.20%	6.22%	59.22	6.30%	48.79%	121.37	5.16%	100.00%
Brass	9.68	1.60%	62.97%	0.97	0.90%	6.33%	0.00	0.00%	0.00%	4.72	2.00%	30.70%	0.00	0.00%	0.00%	15.37	0.65%	100.00%
Bronze	2.42	0.40%	25.01%	0.65	0.60%	6.70%	0.00	0.00%	0.00%	6.61	2.80%	68.29%	0.00	0.00%	0.00%	9.68	0.41%	100.00%
Chrome	487.03	80.50%	26.95%	99.58	92.20%	5.51%	341.78	73.50%	18.92%	181.01	76.70%	10.02%	697.48	74.20%	38.60%	1 806.87	76.76%	100.00%
Copper	12.10	2.00%	100.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	12.10	0.51%	100.00%
Gold	7.87	1.30%	13.58%	1.08	1.00%	1.86%	14.88	3.20%	25.69%	4.01	1.70%	6.93%	30.08	3.20%	51.93%	57.92	2.46%	100.00%
Nickel	8.47	1.40%	60.65%	0.54	0.50%	3.87%	0.00	0.00%	0.00%	4.96	2.10%	35.49%	0.00	0.00%	0.00%	13.97	0.59%	100.00%
Others	0.00	0.00%	0.00%	2.48	2.30%	3.26%	20.93	4.50%	27.50%	9.44	4.00%	12.41%	43.24	4.60%	56.83%	76.09	3.23%	100.00%
Rose Gold	21.18	3.50%	31.78%	0.22	0.20%	0.32%	13.95	3.00%	20.94%	5.90	2.50%	8.86%	25.38	2.70%	38.10%	66.62	2.83%	100.00%
Silver	15.73	2.60%	86.95%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	2.36	1.00%	13.05%	0.00	0.00%	0.00%	18.09	0.77%	100.00%
Stainless Steel	21.18	3.50%	13.58%	1.19	1.10%	0.76%	39.53	8.50%	25.35%	9.44	4.00%	6.05%	84.60	9.00%	54.26%	155.93	6.62%	100.00%
Grand Total	605.01	100.00%	25.70%	108.00	100.00%	4.59%	465.00	100.00%	19.75%	236.00	100.00%	10.03%	940.00	100.00%	39.93%	2 354.01	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

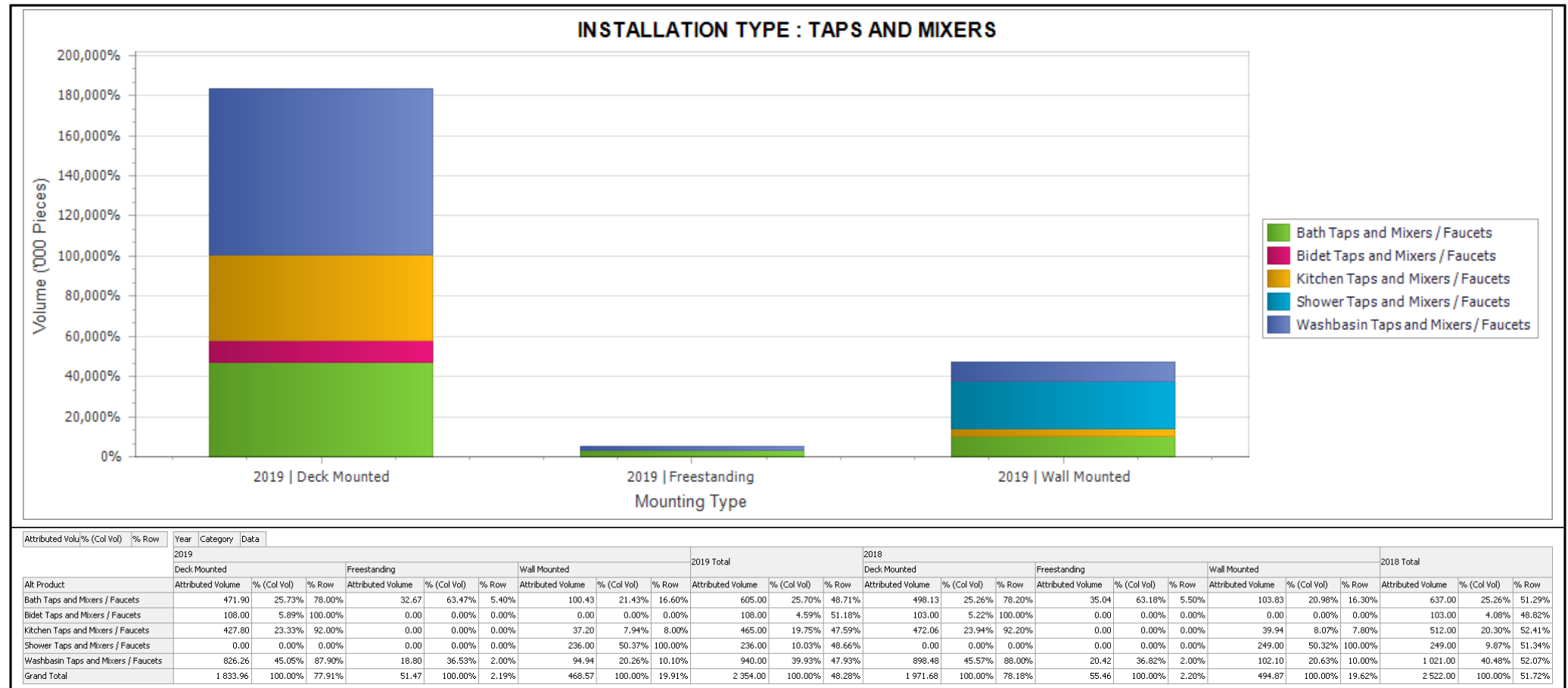
RO - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

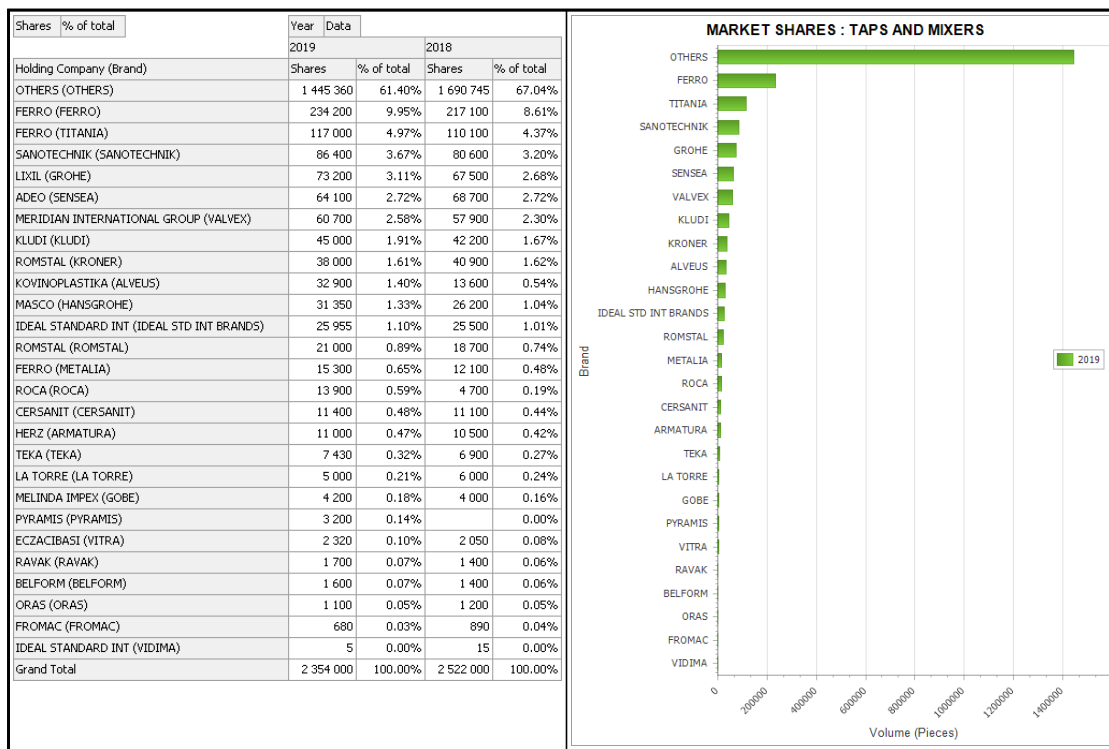
RO - TAP AND MIXER SALES BY TYPE OF MOUNTING ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

RO - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 RO - IMPORTS OF TAPS & MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	2 529	46.5%	17 501	27.5%	3 145	52.6%	21 349	33.7%
Poland	816	15.0%	8 680	13.7%	744	12.4%	7 535	11.9%
Germany	706	13.0%	16 481	25.9%	618	10.3%	14 290	22.6%
Italy	549	10.1%	8 474	13.3%	612	10.2%	8 872	14.0%
Czech Republic	235	4.3%	3 291	5.2%	214	3.6%	2 698	4.3%
Bulgaria	113	2.1%	1 698	2.7%	154	2.6%	2 006	3.2%
Belgium	104	1.9%	1 757	2.8%	97	1.6%	1 375	2.2%
Slovenia	103	1.9%	949	1.5%	73	1.2%	674	1.1%
Turkey	93	1.7%	897	1.4%	92	1.5%	899	1.4%
OTHERS	190	3.5%	3 851	6.1%	230	3.8%	3 602	5.7%
Total	5 438	100.0%	63 579	100.0%	5 979	100.0%	63 300	100.0%

Source : Trademap

3.6.2 RO - EXPORTS OF TAPS & MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	46	28.0%	2 496	52.7%	31	13.7%	1 554	31.3%
Moldova, Republic of	34	21.1%	553	11.7%	33	14.5%	459	9.3%
Hungary	31	19.2%	663	14.0%	22	9.7%	556	11.2%
Bulgaria	17	10.6%	234	4.9%	19	8.2%	279	5.6%
Serbia	15	9.4%	133	2.8%	12	5.4%	113	2.3%
Ukraine	11	6.5%	126	2.7%	13	5.6%	143	2.9%
Switzerland	6	3.6%	191	4.0%	0	0.0%	2	0.0%
OTHERS	3	1.7%	336	7.1%	96	42.8%	1 856	37.4%
Total	163	100.0%	4 732	100.0%	224	100.0%	4 962	100.0%

Source : Trademap

3.7.1 Route to Market: Taps & Mixers / Faucets
RO - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	30.0%
	Wholesalers / Merchants
	30.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	10.1%	2.1%	41.6%	3.1%	12.7%	4.8%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.2%		44.7%		17.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.1%	14.6%	1.2%	8.9%	2.8%
Installers				
30.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	2.5%	2.6%	11.0%	33.8%	14.0%	23.0%	0.0%	2.8%	0.0%	2.0%	0.7%	7.7%
	Residential						Non-Residential					
	86.9%						13.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	14.0%			72.8%			5.0%			8.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	2.5%		11.5%	1.0%		71.8%	3.7%		1.2%	2.8%		5.3%

3.7.2 Route to Market: Taps & Mixers / Faucets
RO - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	31.4%
	Wholesalers / Merchants
	31.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	13.0%	2.8%	38.7%	2.9%	12.2%	5.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	15.7%		41.6%		17.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.8%	13.9%	1.6%	8.3%	2.8%
Installers				
29.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.9%	3.0%	14.1%	31.0%	14.2%	20.5%	0.0%	3.2%	0.0%	2.3%	0.8%	8.9%
	Residential						Non-Residential					
	84.9%						15.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	15.9%			69.0%			5.7%			9.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	2.9%		13.0%	1.0%		68.0%	4.3%		1.4%	3.3%		6.1%

Source: BRG Based on Industry Interviews. N.B. Include both Kitchen and Sanitary Taps & Mixers / Faucets - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Taps and Mixers / Faucets

RO - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2019

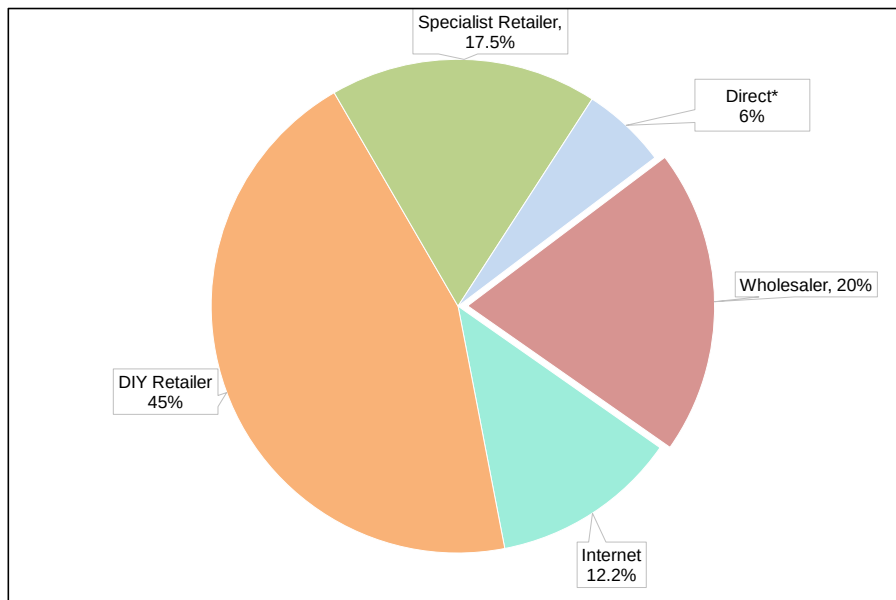
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
20.0%	12.2%	44.7%	17.5%	5.6%	3.6%	6.6%	83.3%	6.5%
100%					10.1%		89.9%	

3.7.4 Route to Market - Consolidated View : Taps and Mixers / Faucets

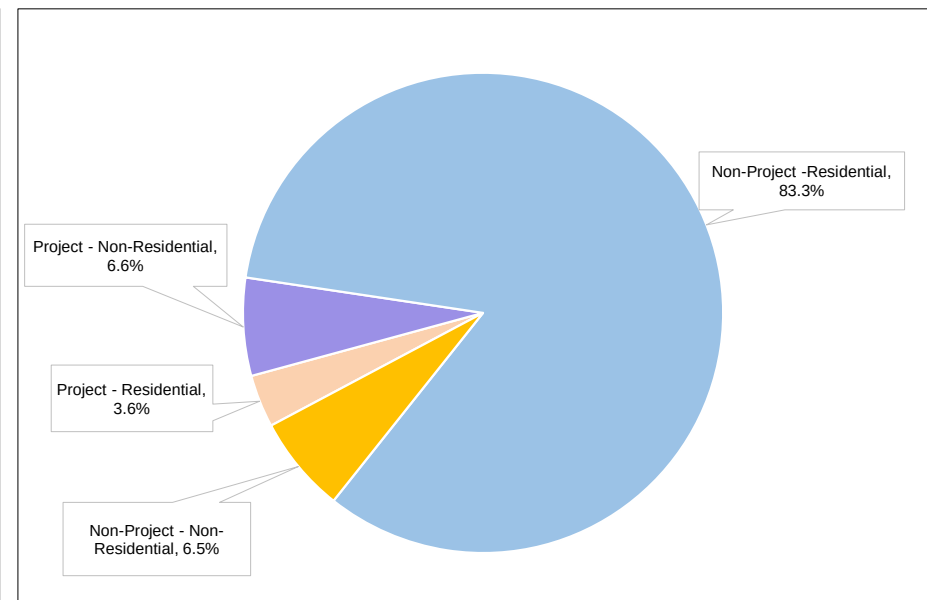
RO - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
20.2%	15.7%	41.6%	17.8%	4.7%	3.8%	7.6%	81.0%	7.5%
100%					11.4%		88.6%	

RO - SALES OF TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



RO - SALES OF TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



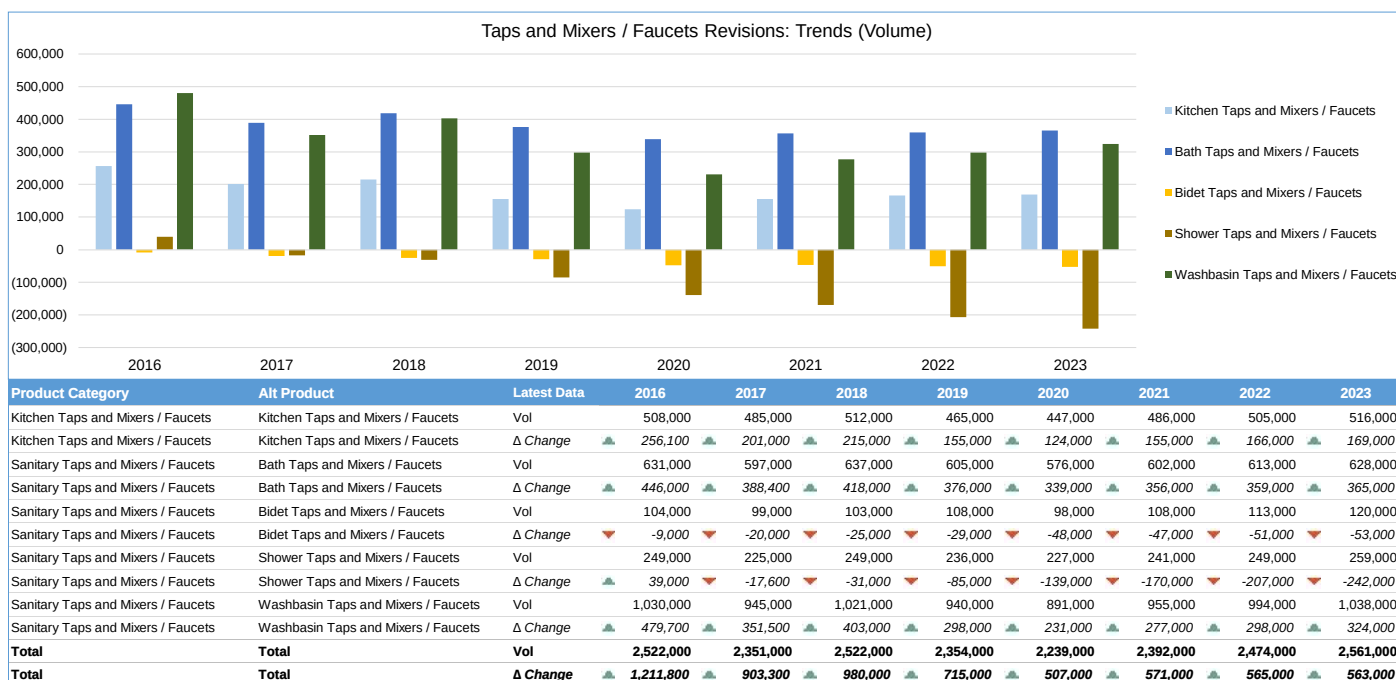
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Romanian Taps and Mixers / Faucets Market (July 2020)

RO - REVISIONS IN THE ROMANIAN TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: July 2019



Industry feedback indicated that the overall market size for taps and mixers in Romania was largely understated. The upward revisions made to the market size for the applications, including baths and washbasins, had a direct impact on the overall tap and mixer market in Romania. However, it has also become evident that overall sanitation levels have risen considerably across the country, especially on joining the EU in 2007, and have had a direct impact on sales of taps and mixers in Romania. Whereas in 2007 still 41.5% of the population did not have access to basic sanitation amenities, by 2017 this had dropped to 27.2%.

Romania's accession to the EU particularly had a positive influence on European imports into Romania. For example, in 2004 European imports only accounted for as little as 8% of total imports whereas by 2019 this had risen to 44% of total imports. Since 2007 imports from Poland, Germany, Czech Republic and Italy have grown almost consistently, having a positive influence on sales volumes but also sales values.

Overall replacement ratios were also underestimated in previous data. Even though industry feedback indicates that replacement sales patterns are significantly lower in Romania than other EU countries, there is still a considerable like-for-like replacement market.

ROMANIA

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The commercialisation of shower wall product variants is a relatively recent phenomenon, as in the 1980s and the early 1990s, such a market was pretty much non-existent. In fact, this market was instead heavily reliant on the more affordable plastic curtains available in retail shops.

The Romanian shower wall market started to develop slowly in the middle of the 1990s, when shower enclosures first appeared on the market, and the demand for such products has known a constantly growing trend since then. The overall shower wall market received a further boost at the beginning of the 2000s due to the growing popularity of shower technology. The sales of shower wall products reached their high peak in 2008 but soon had seen a contraction of demand in the aftermath of the 2008 crisis. It was not before 2014 that the shower wall market eventually resumed growth.

Such aspects gain even further relevance when considered in the context of the high penetration of baths in Romanian dwellings and the extent to which historically it has not seen a noticeable penetration of bath screens. To this extent, over half of shower tray sales are usually sold as part of a package with shower enclosures. Demand for this type of combo offering has been popular and has increased steadily. However, the structural characteristic of the market with the high preference accorded to baths, may be considered the main constraint to the development of the shower tray sector, and, by extension, the shower enclosure segment.

In terms of product mix, shower enclosures have attracted most of the demand, although there were also some marginal sales of bath screens and conventional shower cubicles, mostly designed for new hotels, hotel refurbishments and luxury new housing.

In the context of product preferences, the Romanian shower enclosure segment has traditionally been dominated by sliding, glass-type doors, followed by hinged models. The market development has been very much price driven as corroborated by the high preference for plastic bath screens, despite a more limited lifespan. Conversely, the sales of conventional shower cubicles have been led by glass models further constraining the demand for plastic product alternatives, hence determining a constant decline in recent years.

Historically, the hydrotherapy market was largely dominated by sales of hydrotherapy baths; however, the hydrotherapy market has seen a rapidly growing competition from shower wall products such as hydrotherapy cubicles and shower panels. This is partly because hydrotherapy showering products have remained at a premium and, thus, better satisfy the budget and fashion demands of this more luxury orientated market.

Another variable worth mentioning is Romania's ageing population, which is allowing for constant growth for showers because they are safer and easier to get in and out of and, since birth rates are relatively static now and economic migration still relevant, this expansion is likely to remain unhindered.

Recent Market Trends

In 2019, sales of bath screens and shower enclosures/doors continued to increase in line with the rising demand from the RMI and new housing sectors. Sales of baths screens saw a fast growth, as many consumers replaced traditional curtains with a bath screen. The increasing number of hotel renovations also had a positive impact on the baths screen market, as demand from this sector accounts for a substantial share of the sales.

Shower enclosures sales continued to increase, mainly driven by replacement sales, but also, the increasing penetration in new housing led to the growth in the market, as the number of dwelling completions rose fast in 2019. A degree of stabilisation of demand has been noted for the market for hydrotherapy and conventional shower cubicles, confirming the high incidence of the diversification of demand by consumers at the level of the shower product mix.

With regards to material type for shower enclosures, the share of glass models against plastics continued to increase in 2019, providing further evidence that the Romanian market is slowly becoming increasingly less price oriented. Sales of door entry for shower enclosures accounted for a fairly large share in volume terms, benefiting from low demand for round models. With regards to material of bath screens, the share of plastic models also decreased slightly in 2019, suggesting that, for bath type installations, quality has gradually become a key determining factor, hence eroding the prominence of affordability considerations.

The overall Romanian hydrotherapy cubicle market reversed the trend of decline, with a slight increase in 2019 driven by the acceleration of demand coming from new housing and housing RMI for hydrotherapy shower cubicles. In a comparative perspective, the market had seen major declines across all product ranges due to weaker structural demand for any major remodelling works of their bathrooms until 2015, when the evolution of disposable incomes has become more favourable to sustain the demand for hydrotherapy products.

Prices and Market Values

In 2019, the average MSP (manufacturers' selling price) for shower wall products increased slightly for bath screens and remained fairly stable for the remaining products, when analysing in terms of local currency.

This might have been a direct result of the high inflation rate, although, due to the increased competition among manufacturers and importers, it has been absorbed to a high degree as players ought to maintain their position in the market and to

carve out a niche by preventing the new entrants to increase prices further.

In addition, the higher degree of stabilisation of the value of the Romanian leu (RON) against the euro has also allowed further space for manoeuvre for manufacturers' pricing strategy. The overall market value increased due to growing sales and the leveraged MSPs across all product segments. A similar pattern of development has been noted for the hydrotherapy shower cubicle products, where, despite a slight decrease in price in the economy segment, both the medium and upper segments have seen a marginal upward price variation.

New Housing

In 2019, a strong increase of sales of shower walls to the new housing sector has been registered, as the increasing penetration of shower enclosures and to a certain extent baths screens continue to be evident. Beyond the consolidation of economic variables, the rise in demand for shower wall products is linked to the reduction of the space dedicated to the bathrooms in new housing. With the reduction of available space, the optimisation of the spaces has led to the creation of an environment where functionality and comfort have become relevant. In particular, the overall new build market largely consists of shower enclosure sales, since almost all showers fitted with a shower tray require some form of shower enclosure.

Housing RMI

Although the Romanian shower wall market is far from being considered mature, replacement continues to be the main source of demand. As noted for other bathroom products, the positive development of the disposable income household renovation spending over the course of 2019 has determined a positive scenario for the RMI demand for shower walls. Overall, Romanian consumers have considerably shifted away from shower curtains. Thus, in volume terms, RMI activity in the residential market is considered the most profitable by manufacturers. It should be assumed that that demand from this end-use sector will most likely continue to benefit from the consolidation of economic indicators and the absorption by end-use consumers of the relatively high inflation rate. Sales should grow at a relatively stable pace over the forecast period. In fact, demand from the renovation segment is set to remain the strongest which, in turn, suggests that the Romanian shower wall market is likely to witness a certain degree of fluctuation at the level of expenditure in the new housing activity in the years to come in line with the overall economic cycle.

Non-Housing

The increasing demand from the non-housing sector in 2019 positively contributed to the shower wall sales growth with bath screens being the product where the increasing demand from non-housing was mostly noted. Although sales of shower wall products to non-housing are relatively lower than to other end-use segments, manufacturers' profit margins remained relatively high, as demand from hotels and

leisure centres usually opt for high-end and costlier models. The recent penetration of such product types in the non-housing segment is likely to result in a constant increase for shower wall products to non-residential dwellings over the forecast period. However, given the large residential dwelling stock and the positive forecast regarding the residential construction market, such positive development is likely to have a comparatively limited influence of non-housing on the overall sales in the years to come.

Supply Structure

The relevance of imports has been a noticeable characteristic of the market for shower wall products, with limited competition from domestic manufacturers. Hence, the aggregated size of local production accounted for a marginal part of the market, with Chinese manufactured products (SANOTECHNIK and KRONER) and Czech imports (ROLTECHNIK and RAVAK) accounting for a comparatively relevant share of the market.

To this extent, SANOTECHNIK branded Chinese imports remained the clear market leader across all product segments, except for the bath screen segment where the domestic brand BELFORM has succeeded in gaining a position of relevance. With regards to shower enclosures, SANOTECHNIK was followed by ROMSTAL (KRONER), the RONAL GROUP (SANSWISS) and GEBERIT (KOLO). The large portion of the “Others” category is made up of unbranded products, mainly imported from China and represents the growing own label products among DIY distributors and various wholesalers.

The conventional shower cubicle segment remained rather marginal with a high share of imports, mainly from China mostly sold by SANOTECHNIK under its own brand name. It is estimated that these products have mainly been installed in hotels, a sector which heavily relies on projects.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has endeavoured to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Sales of shower wall products are expected to decline in 2020 as private consumption is expected to be affected by the COVID-19 pandemic and many consumers are likely to defer decisions to invest in these type of products. The main source of demand for bath screens and shower enclosures is the RMI sector, with many dwellings still equipped with a shower curtain or nothing at all, and the first time installation of a shower wall should be postponed by many as this product is not seen as an essential need for the bathroom. A decline in demand from the non-housing sector is also expected, although the lower volumes sold should have a lesser impact on the market as a whole. For new housing however, an increase

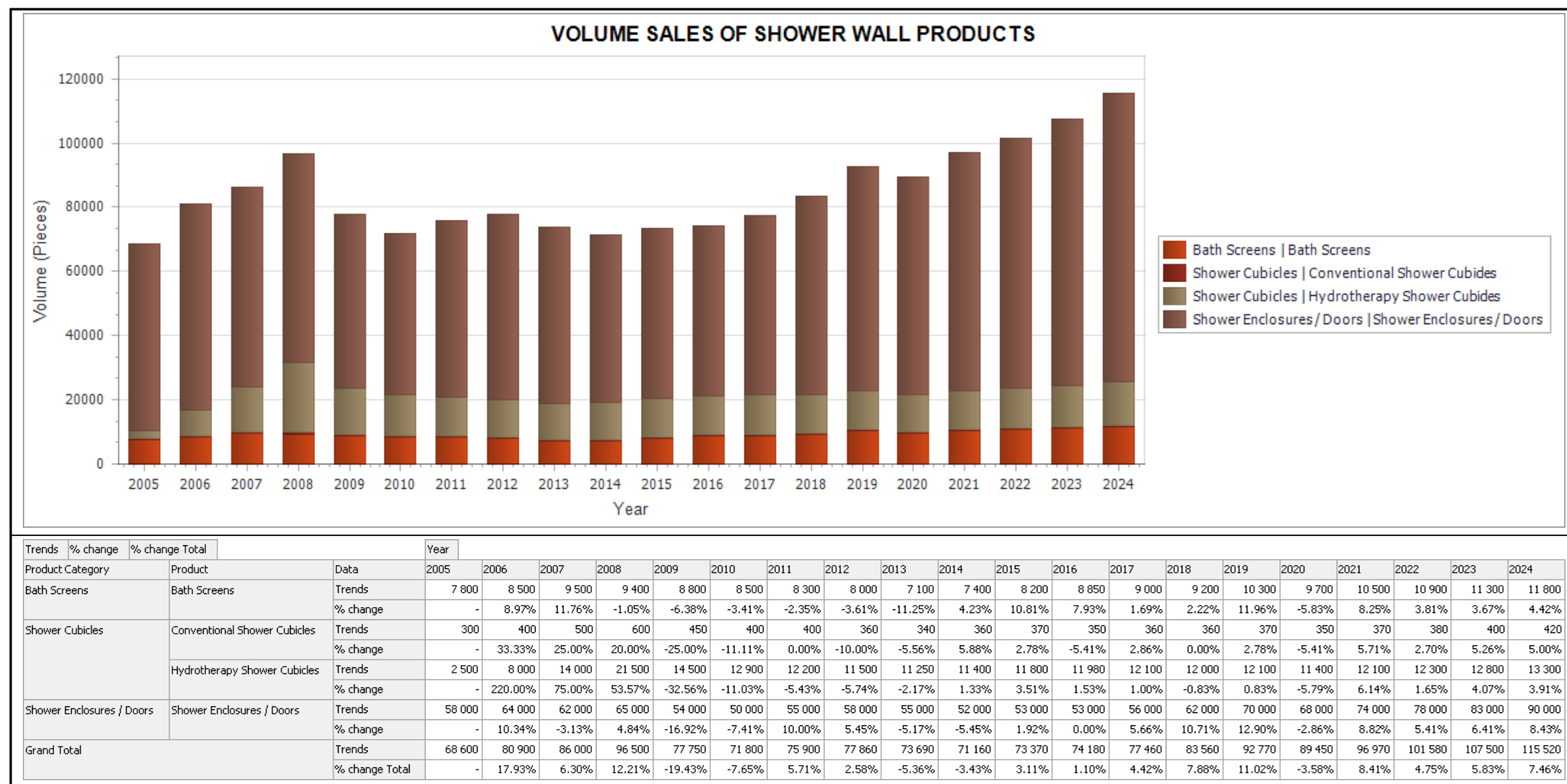
in demand is expected despite the decline in completions as the penetration of shower walls in new housing continues to occur as a notable trend.

From 2021 onwards, sales are expected to recover as the economic growth should resume. Any consideration on the forecast for the shower wall market seems to corroborate that the segment will likely continue to benefit from the future positive macroeconomic climate, as well as the good performance of the domestic construction residential and non-residential markets. Hence, as the shower wall market in Romania becomes increasingly dependent on the contract market, sales of shower wall products should grow further due to the improved performance of the non-residential construction market. Therefore, the consolidation of variables like shower sales, increasing private consumption and the ongoing recovery of the residential and non-residential construction markets, sales of shower wall products (excluding bath screens) should enter a sustained period of development in the years to come, driven considerably by a highly dynamic RMI demand.

Facing similar challenges is the Romanian hydrotherapy cubicle market, by extension also the demand for hydrotherapy cubicles, whose sales are likely to remain highly driven by the levels of consumer consumption, real wage evolution and the improvement of the broader macroeconomic climate. Any significant increase in sales of hydrotherapy products will most likely depend on sustained recovery in housing completions. To this extent, the positive outlook should be confirmed for the hydrotherapy shower cubicles, whose market expansion, despite a residual growth rate, will match, to some extent, the contraction of demand for hydromassage bath product variants.

4.2 Historical Trends and Forecasts : Shower Wall

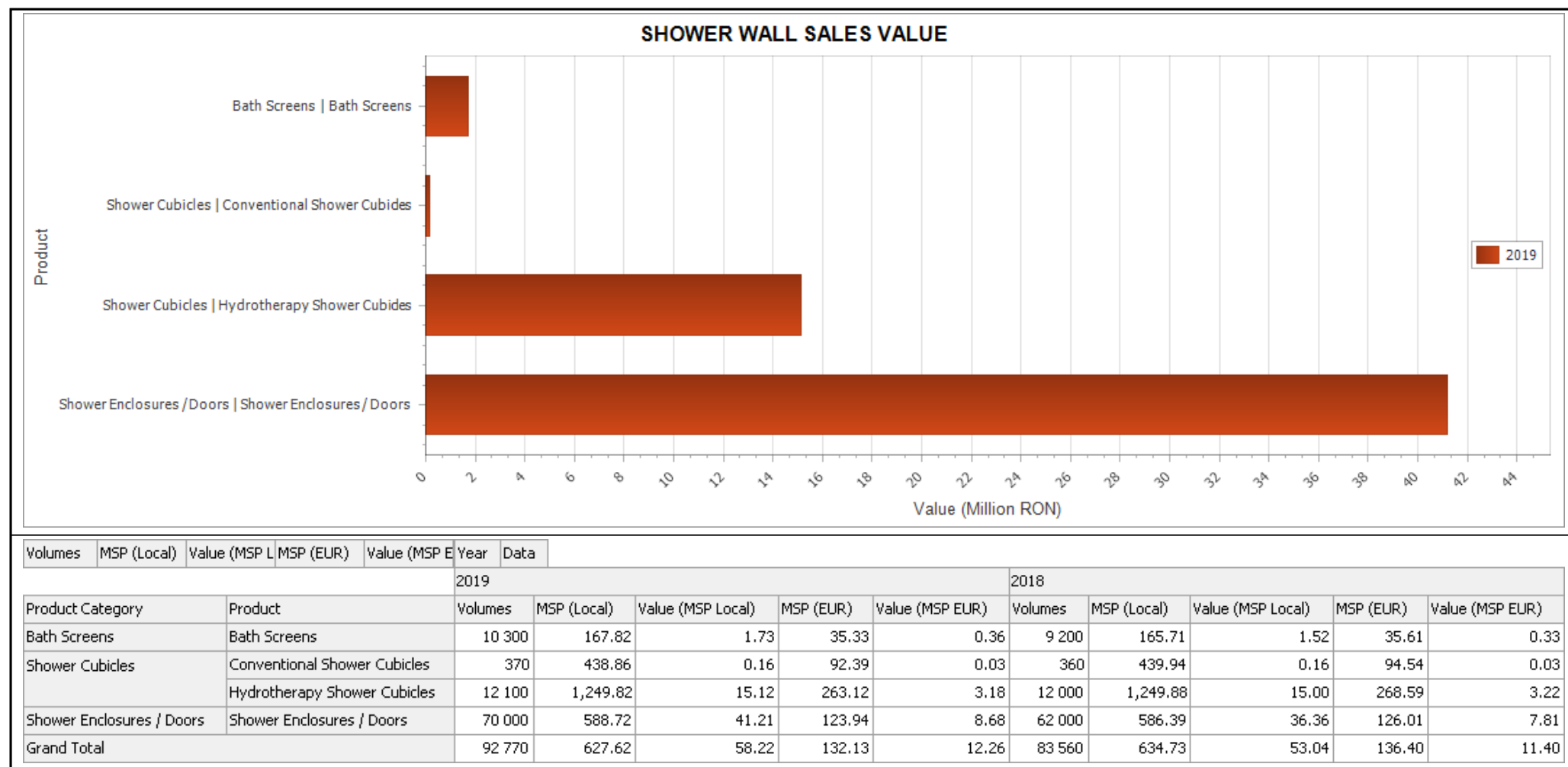
RO - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

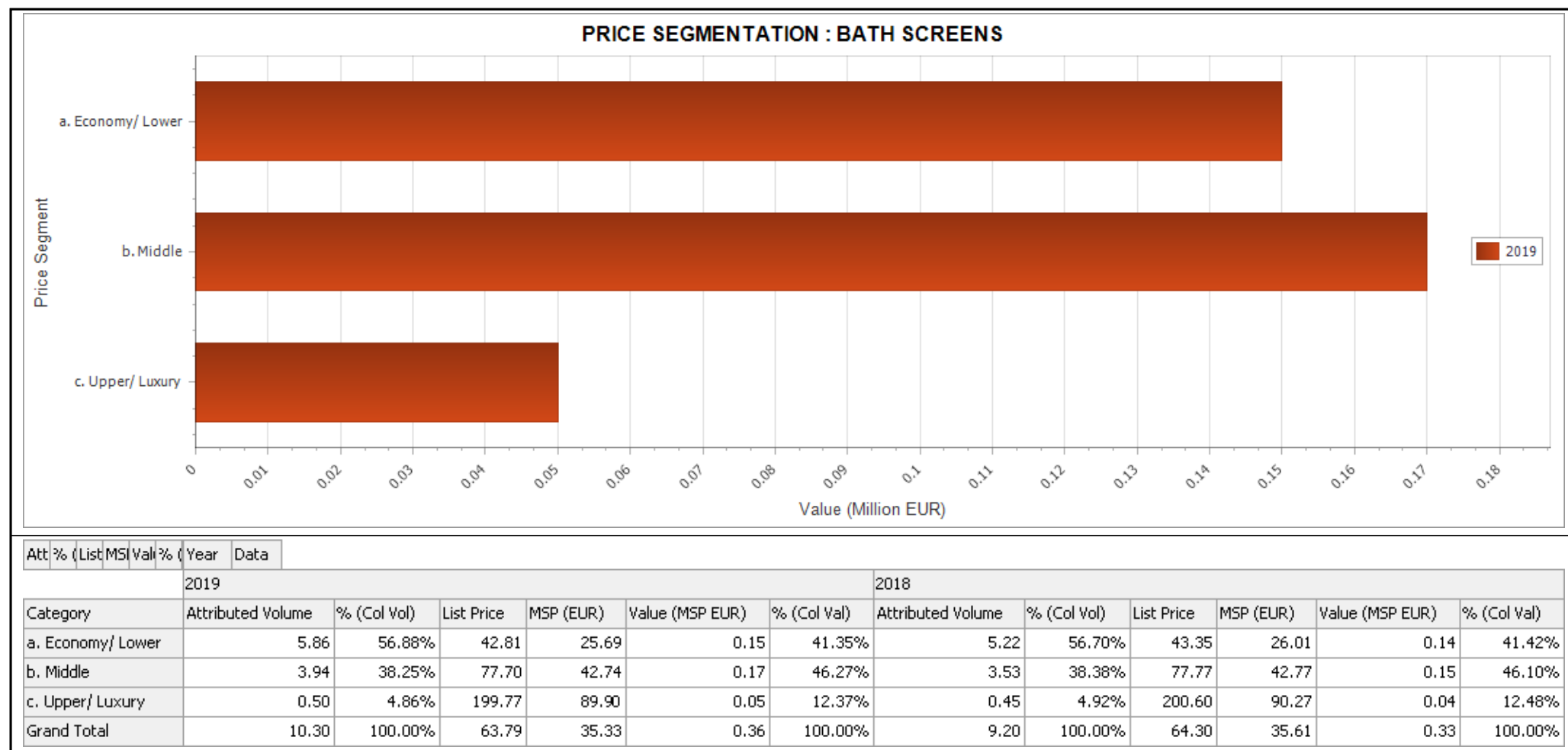
RO - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in RON. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

4.3.2 Price Segmentation : Bath Screens

RO - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

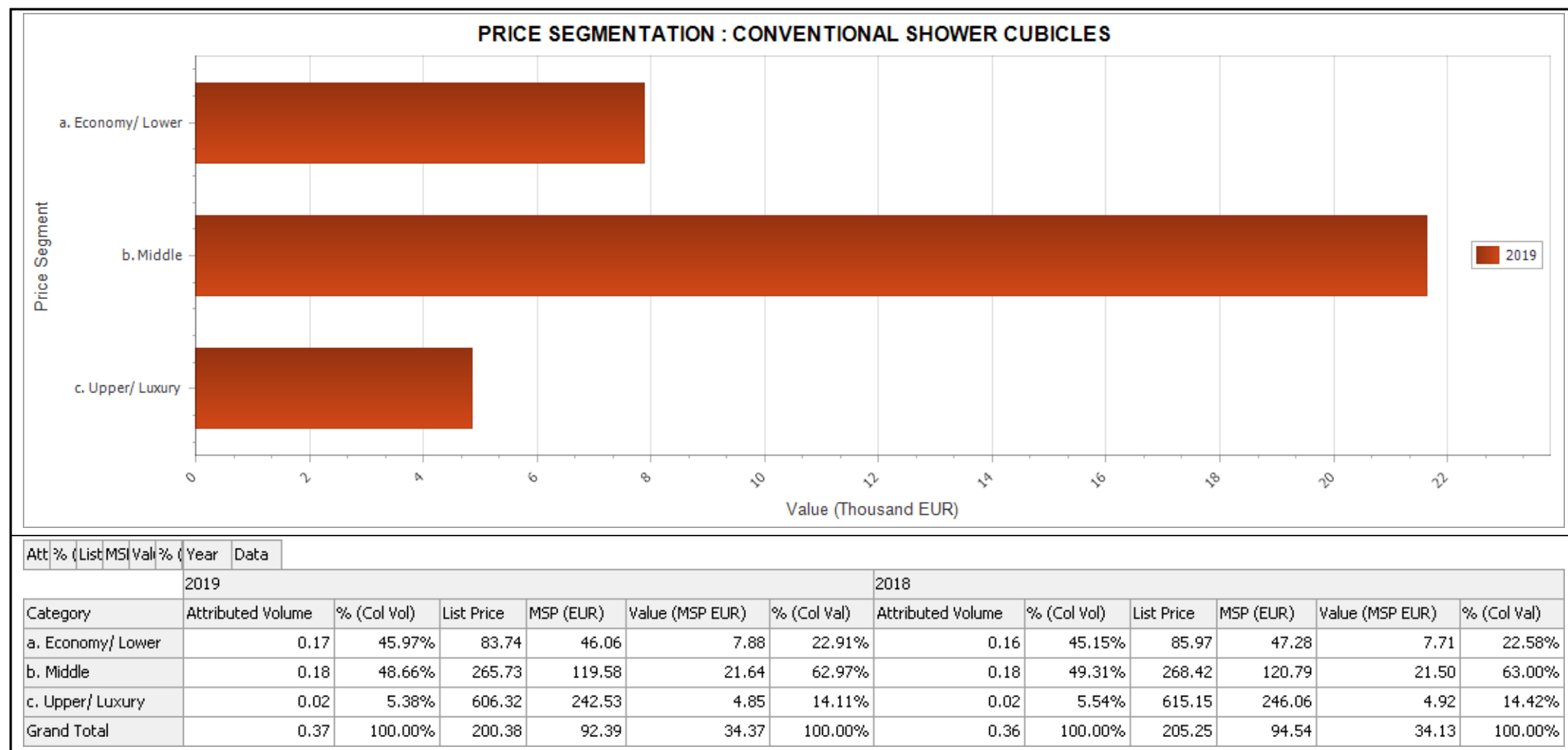


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€60, Upper/ Luxury >€60

4.3.3 Price Segmentation : Conventional Shower Cubicles

RO - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

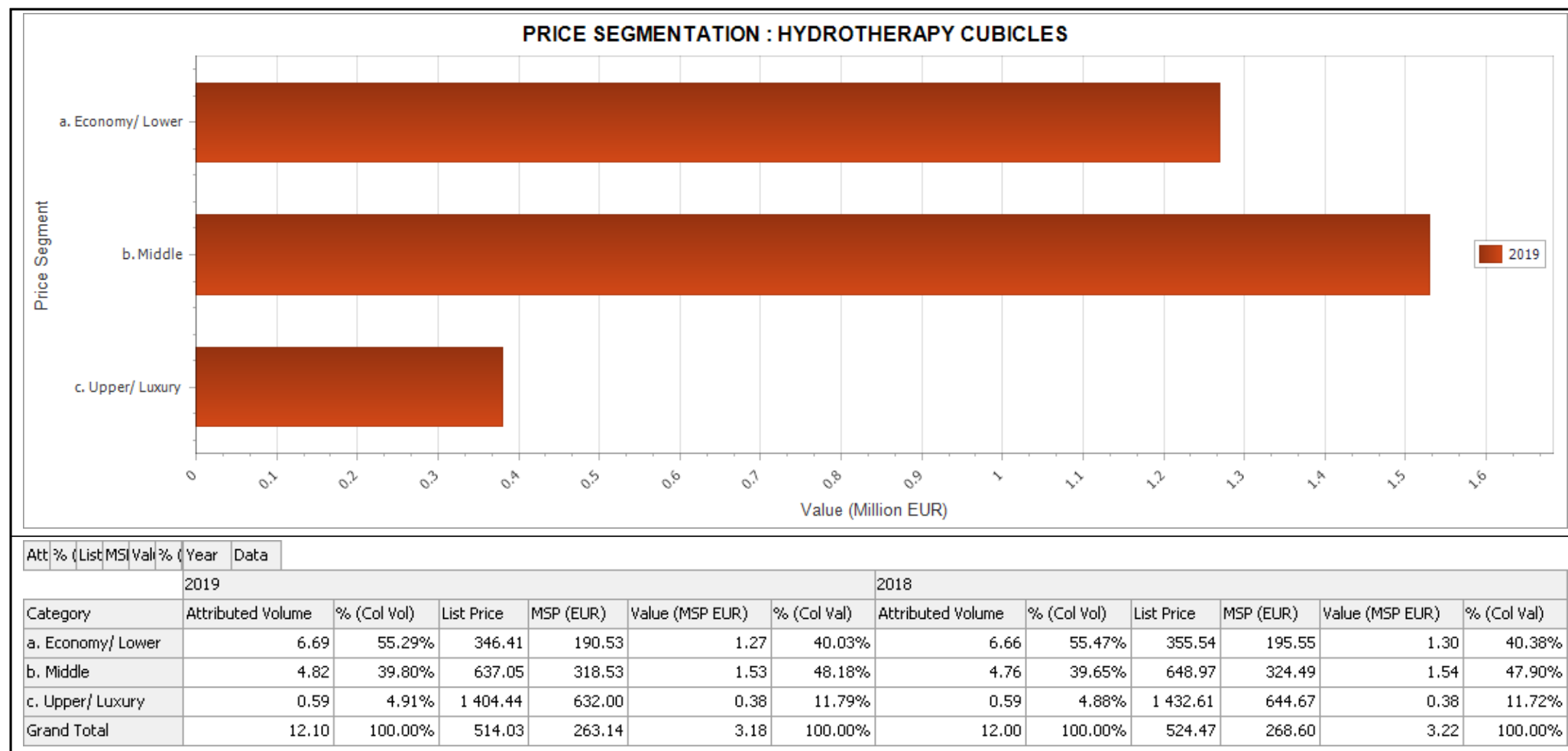


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

RO - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

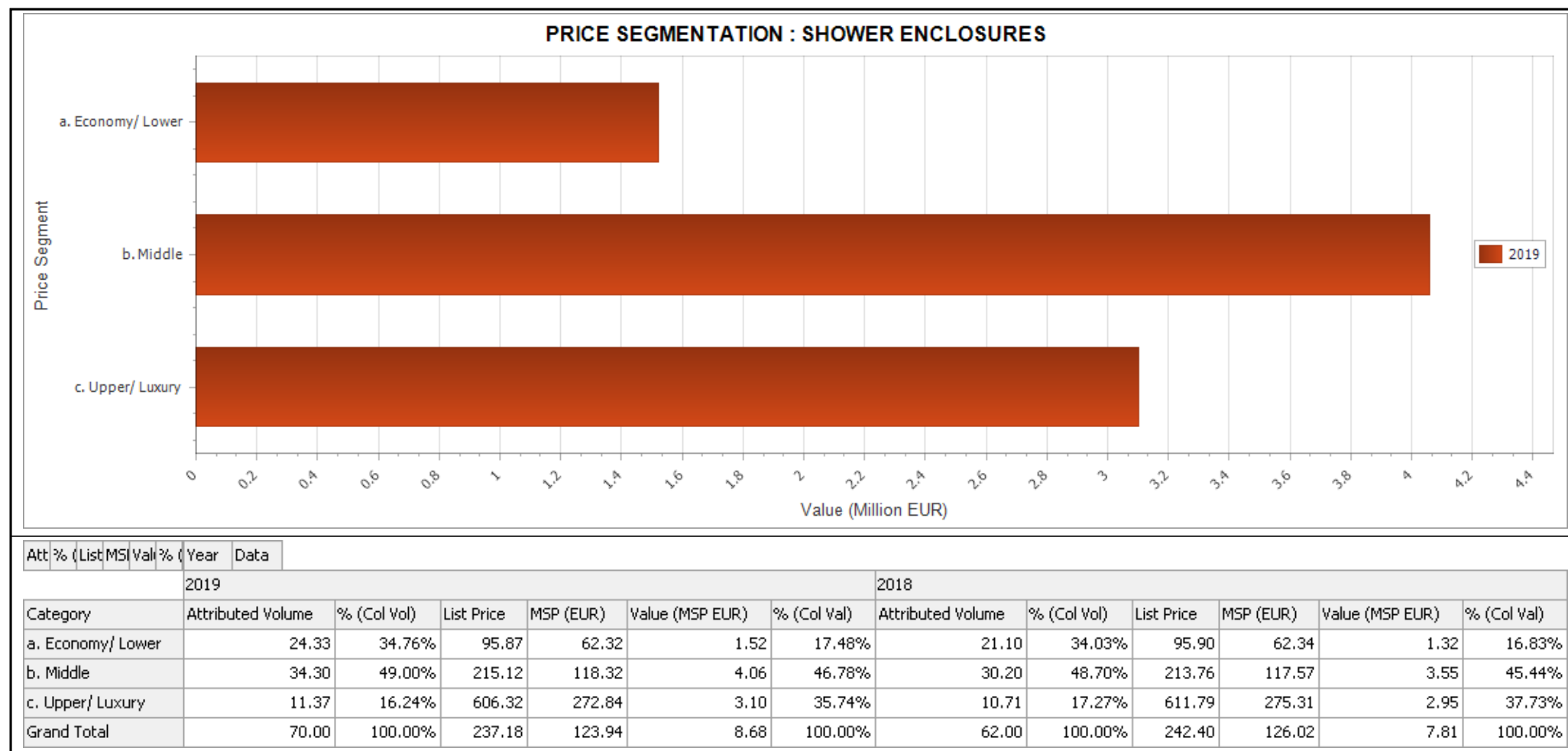


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€500, Upper/ Luxury >€500

4.3.5 Price Segmentation : Shower Enclosures

RO - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

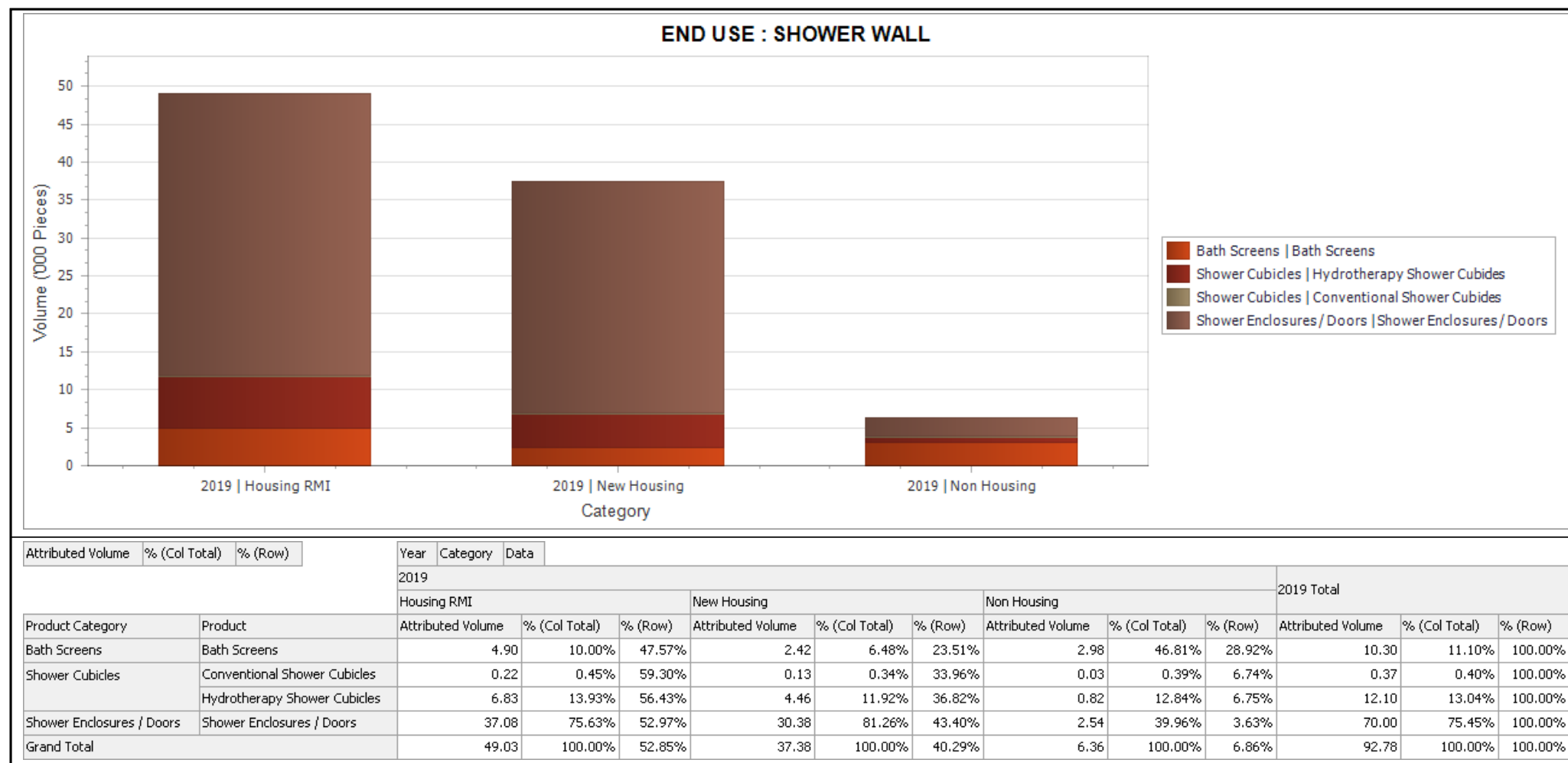


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

4.4.1 End Use : Base Year

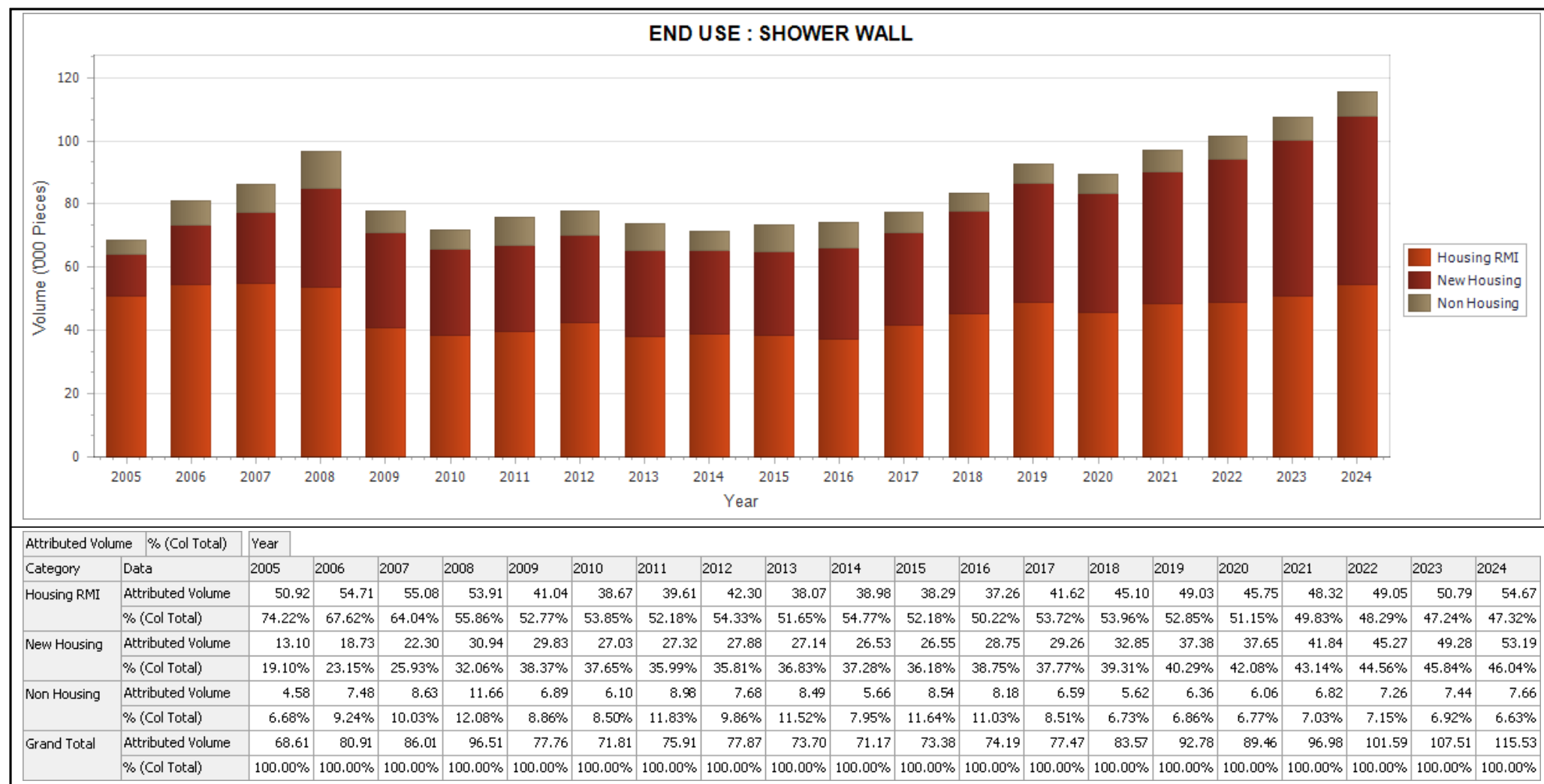
RO - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

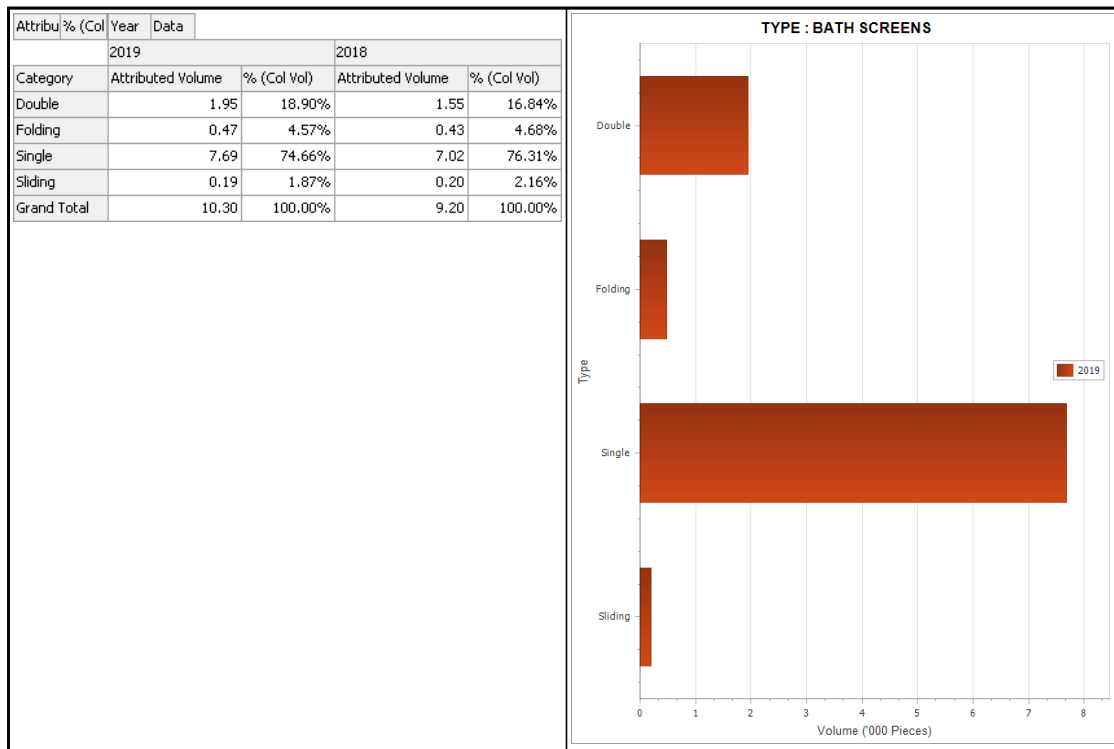
RO - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

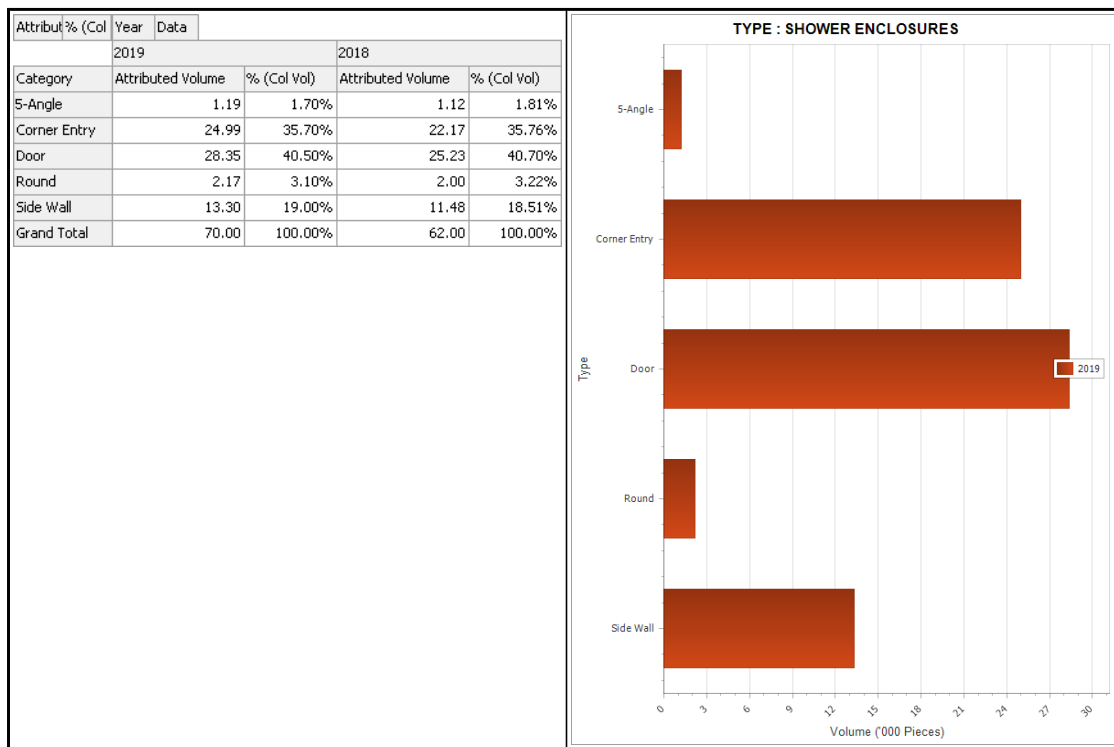
RO - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

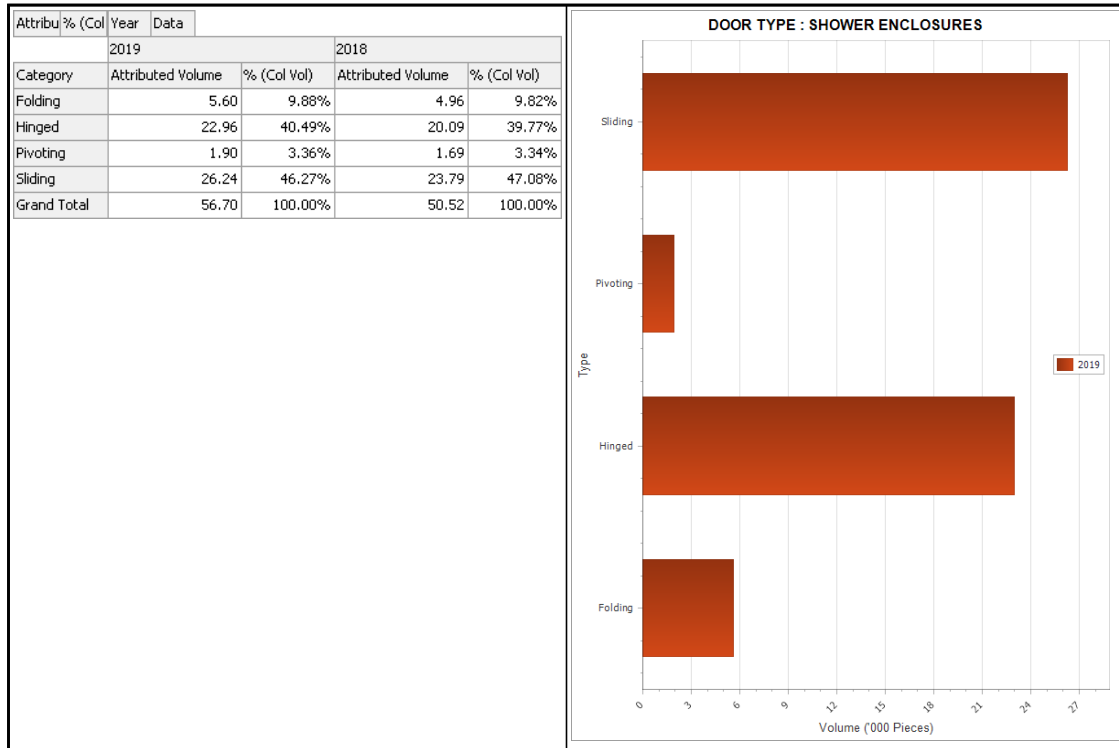
RO - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

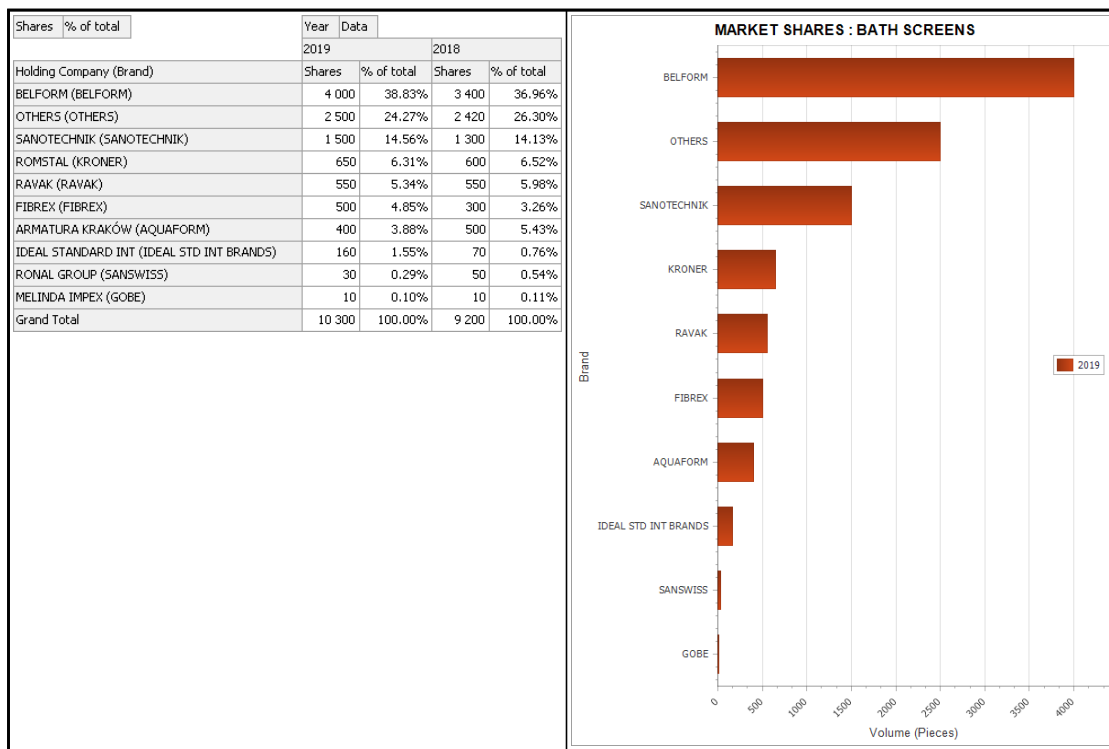
RO - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

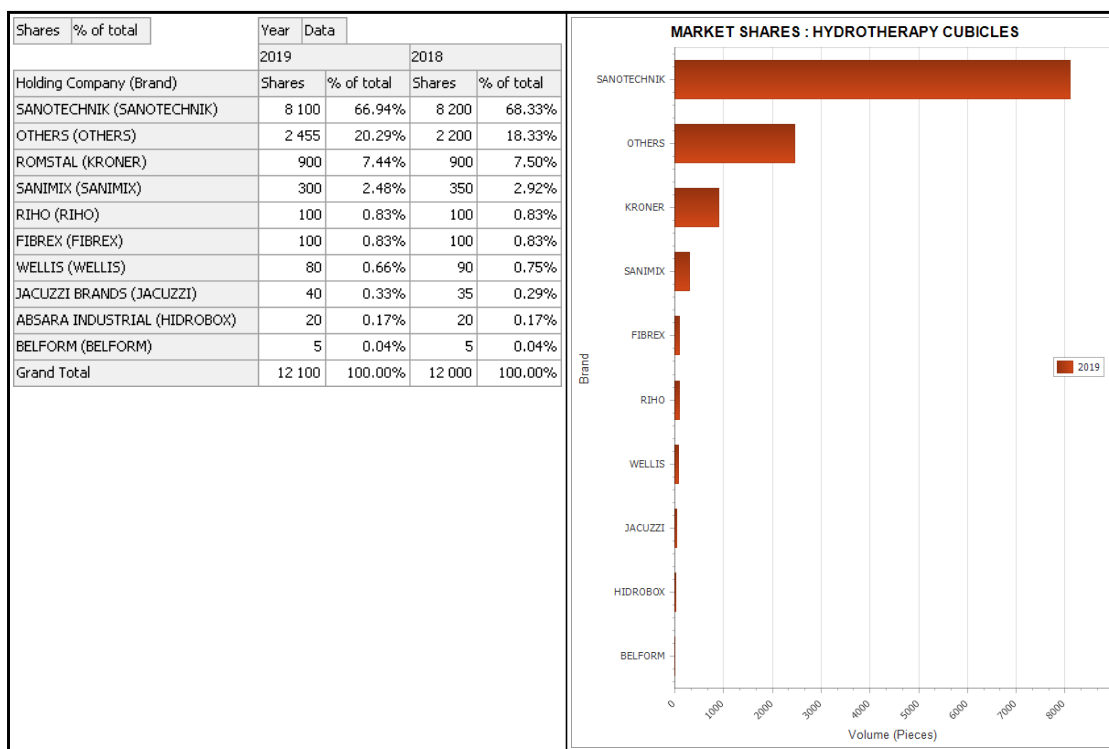
RO - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Hydrotherapy Shower Cubicles

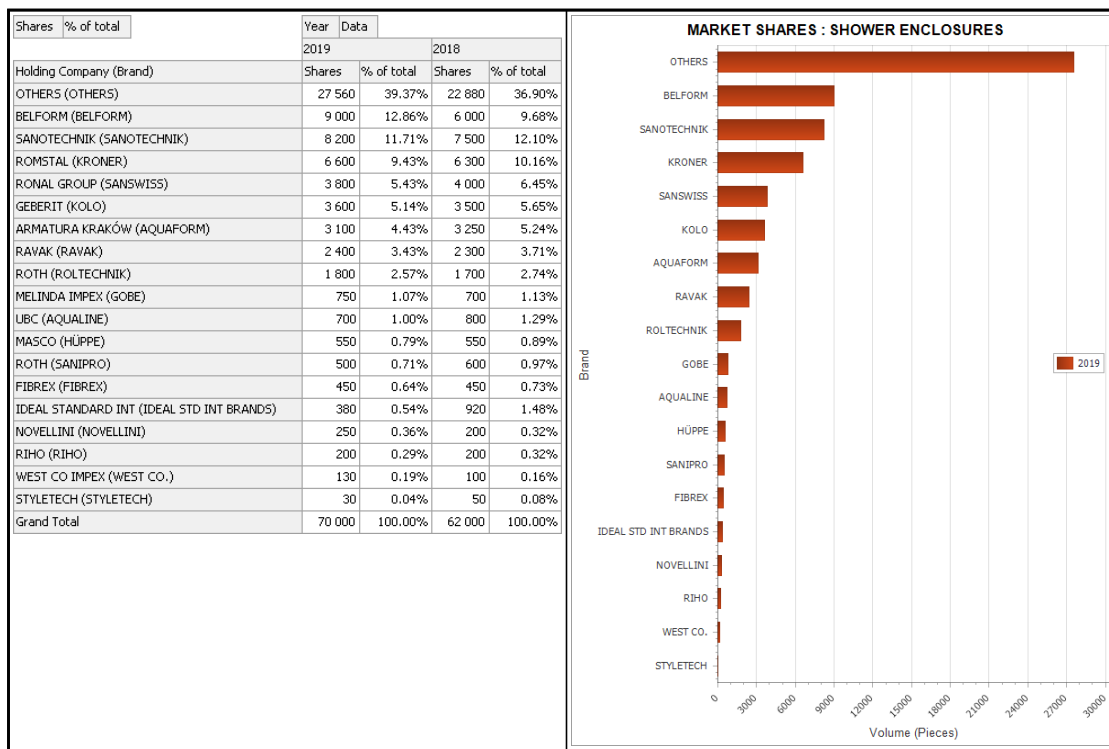
RO - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Shower Enclosures

RO - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1

Route to Market: Shower Wall
RO - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

40.9%
Wholesalers / Merchants
40.9%

Retail Level

Manufacturer	Wholesaler
7.5%	1.8%
Internet Retailers	
9.3%	

Manufacturer	Wholesaler
27.9%	2.0%
DIY Retailers	
29.8%	

Manufacturer	Wholesaler
14.2%	23.3%
Specialist Retailers	
37.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	11.8%	0.9%	6.0%	7.5%
Installers				
26.9%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
8.8%	0.5%	8.4%	23.9%	30.0%	21.5%
Residential					
93.1%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.5%	0.0%	0.0%	0.0%	5.4%
Non-Residential					
6.9%					

New Build			Residential RMI		
40.3%			52.8%		
Project	Non-Project		Project	Non-Project	
7.3%	33.0%		1.0%	51.9%	

New Build			Non-Residential RMI		
4.1%			2.7%		
Project	Non-Project		Project	Non-Project	
3.3%	0.8%		1.9%	0.8%	

4.6.2

Route to Market: Shower Wall
RO - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

39.8%
Wholesalers / Merchants
39.8%

Retail Level

Manufacturer	Wholesaler
9.8%	2.7%
Internet Retailers	
12.5%	

Manufacturer	Wholesaler
25.6%	1.1%
DIY Retailers	
26.7%	

Manufacturer	Wholesaler
13.6%	21.5%
Specialist Retailers	
35.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	12.4%	1.2%	5.3%	7.0%
Installers				
26.5%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
10.7%	0.7%	11.2%	21.3%	28.1%	21.3%
Residential					
93.4%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	1.4%	0.0%	0.0%	0.0%	5.2%
Non-Residential					
6.6%					

New Build			Residential RMI		
46.0%			47.3%		
Project	Non-Project		Project	Non-Project	
8.3%	37.8%		0.9%	46.5%	

New Build			Non-Residential RMI		
4.0%			2.7%		
Project	Non-Project		Project	Non-Project	
3.2%	0.8%		1.9%	0.8%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

RO - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

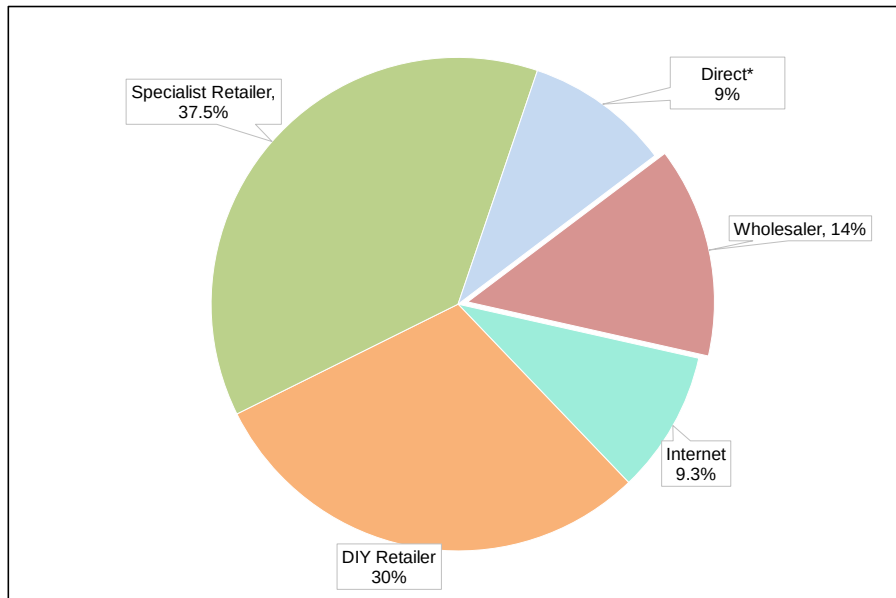
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
13.8%	9.3%	29.8%	37.5%	9.5%	8.2%	5.2%	84.9%	1.6%
100%					13.4%		86.6%	

4.6.4 Route to Market - Consolidated View : Shower Wall

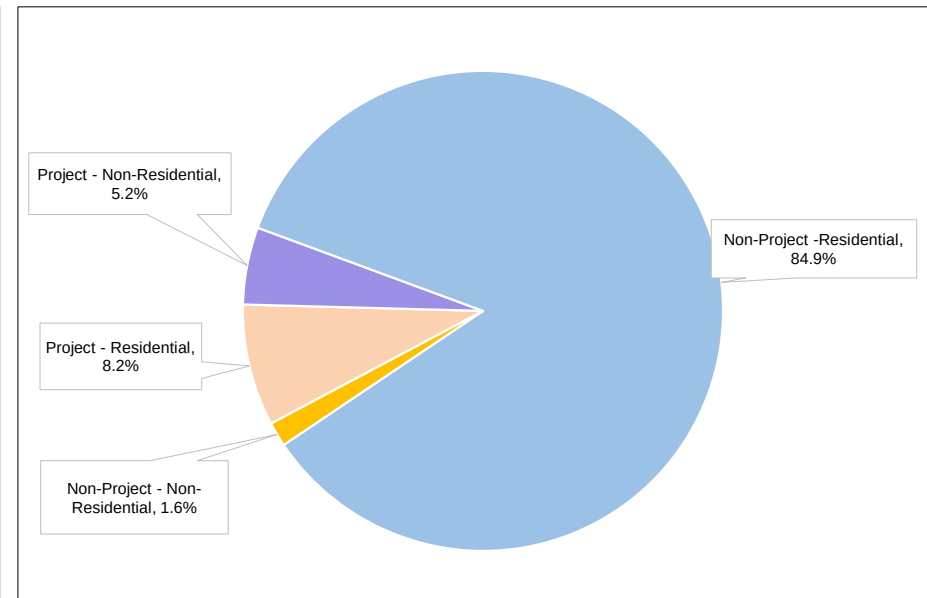
RO - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.5%	12.5%	26.7%	35.1%	11.2%	9.1%	5.0%	84.2%	1.6%
100%					14.2%		85.8%	

RO - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



RO - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Romanian Shower Wall Market (July 2020)

RO - REVISIONS IN THE ROMANIAN SHOWER WALL MARKET

Data Comparison: July 2019



The overall market size for enclosures only was adjusted and this was revised downward historically. Manufacturer input and thorough secondary research indicated that the strength of Chinese imports was quite overstated, given that they occupy the majority share of 'Others'. This was adjusted accordingly and now reflects a more accurate representation.